



THE COLOMBO FORT LAND & BUILDING PLC
Annual Report 2019 | 2020



Industrial Products



Consumer Products



Leisure



Plantations



Property Rental



Motors



Services



Investments



Manufacturing

The Colombo Fort Land & Building PLC

Annual Report 2019/20

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Group Financial Highlights

Financial Performance - For the year ended 31st March,		2020	2019	Change %
Revenue - Consolidated	Rs. million	36,231	41,689	(13)
Gross Profit	Rs. million	5,240	6,698	(22)
Share of Results of Associates (Net of Tax)	Rs. million	9.1	39.8	(77)
Profit before Interest & Tax (EBIT)	Rs. million	(453)	117	(488)
Profit/(Loss) before Tax	Rs. million	(3,709)	(3,360)	(10)
Profit/(Loss) for the Year	Rs. million	(3,706)	(3,165)	(17)
Profit/(Loss) Attributable to-				
Owners of the Company	Rs. million	(2,201)	(2,174)	(1)
Non Controlling Interest	Rs. million	(1,505)	(991)	(52)
Financial Position - As at 31st March,		2020	2019	Change %
Total Assets	Rs. million	46,609	48,741	(4)
Total Shareholders' Funds	Rs. million	2,939	5,529	(47)
Non Controlling Interest	Rs. million	3,020	4,220	(28)
Total Equity	Rs. million	5,958	9,749	(39)
Total Debt	Rs. million	20,173	18,550	9
Total Capital Employed	Rs. million	21,277	23,449	(9)
Net Assets per Share	Rs.	13.34	30.72	(57)
Market/Shareholder Information - As at 31st March,		2020	2019	Change %
Number of Shares in Issue	million	220	180	-
Market Price of Share	Rs.	7.10	13.50	(47)
Market Capitalisation	Rs. million	1,562	2,430	(36)
Price Earnings Ratio (PER)	No. of times	(0.60)	(1.12)	46
Key Financial Ratios - As at 31st March,		2020	2019	Change %
Gross Profit Margin	%	14.46	16.07	(10)
EBIT Margin	%	(1.25)	0.28	(547)
Interest Cover	No. of times	(0.14)	0.03	(515)
Net Profit Margin	%	(10.23)	(7.59)	(35)
Earnings per Share	Rs.	(11.94)	(12.08)	(1)
Return on Capital Employed	%	(2.13)	0.50	(528)
Return on Equity	%	(62.21)	(32.46)	(92)
Debt Ratio	%	87.22	80.00	9
Total Assets Turnover	No. of times	1.29	1.17	10
Current Ratio	No. of times	0.61	0.67	(13)
Dividend payout Ratio	No. of times	(0.03)	(0.02)	1

Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March 2020.

The Group's performance during the year was impacted firstly by the events of the Easter Sunday terrorist attacks and subsequently by the COVID-19 pandemic. Both events have consequently led to a significant drop in the GDP growth rate to 2.3% in 2019 compared to 3.3% in the previous year. This fall in the growth rate reflects subdued consumer and investor sentiments, volatility in the foreign currency markets and generally weak economic conditions.

On a positive note, a change in the monetary policy has led to a regime of lower interest rates as the new Government looked at ways to stimulate the economy. The lowering of the interest rates will have a beneficial impact in the subsequent financial years and it is our view that a regime of lower interest rates will improve the prospects for higher growth in the years ahead.

Amidst these unprecedented challenges taking place during the year under review, the Group recorded a turnover of Rs.36.2 Billion compared to a turnover of Rs.41.7 Billion in the previous year. At Company level, the profit declined from Rs.22.7 Million to a loss of Rs.44.4 Million, mainly on account of the provisions carried out in relation to fall in value of investments and receivables.

The overall volume growth of our FMCG cluster, the primary contributor towards the Group's topline, was adversely affected by twin shocks that we witnessed during the year. Most telling was the lockdown ordered during March of 2020 during what is traditionally the busiest time of the year for the industry leading up to the New Year celebrations.

The Plantation cluster was also affected negatively by the host of problems affecting the industry. Erratic weather patterns, global commodity price fluctuations, high fixed labor costs and low productivity have all impacted in the massive losses suffered by the sector. Additionally, a rapid depreciation of the Sri Lankan Rupee as at 31st March 2020 also caused additional losses as US Dollar loans were marked against the new exchange rates. Thankfully we have seen a substantial strengthening of the currency since then which has reversed some of those losses.

The Group's automobile segment witnessed one of the most difficult years' in the recent past. The taxation model for motor vehicles having initially dampened the demand due to the prohibitive costs involved in buying a car, faced a second setback, when in the aftermath of the COVID-19 pandemic the Government implemented a strict policy to completely limit the importation of all motor vehicles. The above negative externalities drastically impacted the performance of our automobile segment which includes vehicle sales and the aftersales support segments. We believe our decision to dispose of our subsidiary KIA Motors (Lanka) Limited in August 2019 proved to be the correct approach given the current dynamics in the industry.

The leisure sector too reported a drop in performance as tourist arrivals to Sri Lanka saw a decrease of 29% year on year on account of adverse travel advisories imposed by key tourism markets in the immediate aftermath of the Easter Attacks. Although by the third quarter, the sector showed signs of a recovery and had strong bookings for 2020, all our properties were in complete closure from mid-March 2020 in light of the global pandemic.

Consequently, the management has actioned their respective business continuity plans relating to the leisure sector to ensure that the operations will turnaround, whilst focusing on a strategic drive to keep costs as low as possible until key markets open hopefully in the year 2021.

Given the high leverage rates of certain companies in the Group, the prevailing lower interest rates will have a positive impact on their performances in the year ahead. The COVID-19 pandemic has forced all our group companies to take a strong look at their cost structures and business models and we are of the view that this inward look will have a beneficial impact in the year ahead. In these difficult times, the employees of the group continue to perform their roles with commitment and diligence despite the risks associated with the pandemic. On behalf of the Board I wish to thank these employees who have enabled the Group to keep functioning in these troubled times.

In conclusion, I wish to extend my sincere appreciation to my colleagues on the Board for their wise counsel and guidance in determining the strategic direction of the group. I am humbled by the loyalty of our customers, many business partners and our valued shareholders for their trust and confidence placed in our business as we forge ahead in our endeavours.

A. Rajaratnam
Chairman

17th December, 2020

Directors' Profiles

A. Rajaratnam - Chairman

FCA

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He also serves as Chairman on the Boards of certain subsidiaries of The Colombo Fort Land & Building PLC Group and holds other Directorships within the Group.

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam joined the Board in the year 2000 and was appointed Deputy Chairman in November 2011. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Arudpragasam also holds the position of Chairman, Lankem Ceylon PLC and functions as Chairman/ Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building PLC Group.

Anushman Rajaratnam – Group Managing Director

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011. He joined the Board of Lankem Ceylon PLC in 2005 and served as the company's Managing Director from 2009 until December 2016. He relinquished that position in December 2016 to take up the role as the Group Managing Director of The Colombo Fort Land & Building PLC in January 2017. In addition, he serves on the Boards of several subsidiary companies of the CFLB Group. Prior to joining the CFLB Group, he worked overseas for a leading global Accountancy Firm.

A.M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

R. Seevaratnam - Director

B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former senior partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

C.P.R. Perera – Director

Mr. C.P.R. Perera was appointed to the Board in May 2013. He serves on the Boards of several subsidiaries of the CFLB Group and also holds directorships in other private and public companies. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. He retired as Chairman of Forbes & Walker Ltd. and its subsidiary companies in June 2005 after almost 44 years of service. He presently functions as the Chairman of Ceylon Tea Brokers PLC. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon, and on the Committee of Management of the Ceylon Planters Provident Society.

P.M.A. Sirimane – Group Finance Director

FCA, MBA

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of Group Finance Director, CFLB. He joined the E.B. Creasy Group in October, 2009 and was appointed to the Board in November 2009. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Limited, Group Finance Director of United Tractor & Equipment Limited, Chief Financial Officer, Sri Lanka Telecom Limited and Director SLT Hong Kong Limited. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex officio member of the International Leasing Association.

Mr. Sirimane also serves on the Boards of several subsidiaries of The Colombo Fort Land & Building Group.

He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Masters in Business Administration from the University of Swinburne, Victoria, Australia.

Sanjeev Rajaratnam – Director

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He has been associated with overseas companies in the field of Finance. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group PLC is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relates to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

The Board comprises of one Executive Director and seven Non-Executive Directors of whom three are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and audit exposure with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. A. Rajaratnam - Chairman - Non-Executive
Mr. S.D.R. Arudpragasam - Deputy Chairman - Non-Executive
Mr. Anushman Rajaratnam - Group Managing Director -Executive
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. R. Seevaratnam - Independent Non-Executive
Mr. C.P.R. Perera - Independent Non-Executive
Mr. P.M.A. Sirimane - Group Finance Director - Non-Executive
Mr. Sanjeev Rajaratnam - Non-Executive

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholder and other stakeholders.

Financial Acumen

The Board includes seven finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, three are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and audit exposure possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non-Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be "Independent" are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne and Mr. R. Seevaratnam have served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office (other than those appointed to the Office of Chairman, Chief Executive, Managing or Joint Managing Director) to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 15 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

There have been no transactions during the year under review which fall within the definition of "Major Transactions" under Section 185 of the Companies Act No. 07 of 2007.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Corporate Governance contd.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are held to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee for the financial year ended 31st March, 2020 comprised of three Non-Executive Directors of whom two were Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 12 and 13 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in Note 31 on pages 134 to 141.

The Report of the Related Party Transactions Review Committee appears on page 14.

The Company's compliance status with Section 7 and 9 of the Colombo Stock Exchange Listing Rules on Corporate Governance which is mandatory for listed entities is disclosed on pages 08 to 11.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE FOR LISTED COMPANIES

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non-Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Not Applicable	No appointments during the year
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.6 (a)	Composition of Audit Committee	- Shall comprise of a minimum of two Independent Non- Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher. - A Non-Executive Director shall be appointed as the Chairman of the Committee. - Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings. - The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied Complied Complied The Group Managing Director attends meetings Complied	Audit Committee Report
7.10.6 (b)	Audit Committee Functions	Functions shall include; a) Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards. b) Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements. c) Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards. d) Assessment of the Independence and performance of the External Auditors. e) Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied Complied Complied Complied Complied	Audit Committee Report
7.10.6 (c)	Disclosure in the Annual Report	a) Names of Directors comprising the Audit Committee. b) The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination. c) The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions.	Complied Complied Complied	Audit Committee Report
9.1	Related Party Transactions - Shareholder Approval	The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;		
9.1.1	Non-Recurrent Transactions	(a) Any Related Party Transaction of a value equal to, or more than: i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.	Not Applicable Not Applicable	Not Applicable Not Applicable

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.1.2	Recurrent Transactions	(a) Any recurrent Related Party Transaction of value equal to, or more than i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity: or ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year. and iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public	Not Applicable Not Applicable Not Applicable	Not Applicable Not Applicable Not Applicable
9.2	Related Party Transactions Review Committee	A listed Company shall have a Related Party Transactions Review Committee (RPTRC) in Conformity with the following:		
9.2.1	Review of Transactions	Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee Report
9.2.2	Composition	The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity.	Complied	Related Party Transactions Review Committee Report
		One Independent Non-Executive Director shall be appointed as Chairman.	Complied	
9.2.3	Related Party Transactions Review Committee of the Parent Company	In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary. However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.	Not Applicable	Not Applicable
9.2.4	Committee Meetings	The Committee shall meet at least once a calendar quarter	The Committee has met eight times	Related Party Transactions Review Committee Report
	Documentation of minutes	The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied	Related Party Transactions Review Committee Report
9.2.5	Professional and Expert Advice	Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.	Complied	Related Party Transactions Review Committee Report
9.3	Disclosures			

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.3.1	Immediate Disclosures	i. The Listed Entity shall make an immediate announcement to the exchange: of any Non-Recurrent Related Party Transaction with value exceeding 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. or of the latest transaction if the aggregate value of all Non-Recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.	Not Applicable	All the Non- Recurrent transactions were below the disclosure threshold
9.3.2	Disclosure in the Annual Report	a) Disclosure of Non-Recurrent Related Party Transactions if aggregate value of the Non- Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the Listing Rules. b) Disclosure of Recurrent Related Party Transactions If the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements. The Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the Listing Rules. c) Report by the Related Party Transactions Review Committee d) A declaration by the Board of Directors	Not Applicable Not Applicable Complied Complied	All the Non- Recurrent transactions were below the disclosure threshold All the Recurrent transactions were below the disclosure threshold Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report and Annual Report of the Board of Directors
9.4	Acquisition and Disposal of Assets from/ to Related Parties			
9.4.1		The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to value which exceeds 1/3 of the total assets of the Entity (a substantial asset) as per latest Audited Financial Statements	Not Applicable	Not Applicable
9.4.4		The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.	Not Applicable	Not Applicable
9.4.5		The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above.	Not Applicable	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

Role of the Audit Committee

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication, with the management and External Auditors. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

Composition

The Audit Committee for the financial year ended 31st March, 2020 comprised of three Non-Executive Directors of whom two were independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales. The members of the Committee are named below.

Mr. R. Seevaratnam - Chairman - Independent Non-Executive
Mr. A.M. de S. Jayaratne - Member - Independent Non-Executive
Mr. S.D.R. Arudpragasam - Member - Non-Executive

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

Meetings and Attendance

The Audit Committee has met on nine occasions during the financial year ended 31st March, 2020 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman (8/9)
Mr. A.M. de S. Jayaratne (9/9)
Mr. S.D.R. Arudpragasam (5/9)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries, the Group Managing Director and other Directors and Senior Management Personnel are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- Risk Management.
- Efficiency of the system of internal controls.
- Independence and objectivity of the External (Statutory) Auditors.
- Appropriateness of the principal accounting policies used.
- Financial Statement integrity.

Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2020 and the services provided by them are segregated between audit/assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2021 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.



R. Seevaratnam

Chairman

Audit Committee

17th December, 2020

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

Composition

The Related Party Transactions Review Committee of the Company comprises of the following members:

Mr. R. Seevaratnam	- Chairman	- Independent / Non-Executive Director
Mr. A.M. de S. Jayaratne	- Member	- Independent / Non-Executive Director
Mr. S.D.R. Arudpragasam	- Member	- Non- Executive Director

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

Meetings of the Committee

The Related Party Transactions Review Committee met on eight occasions during the financial year ended 31st March, 2020 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(7/8)
Mr. A.M. de S. Jayaratne	(8/8)
Mr. S.D.R. Arudpragasam	(4/8)

In addition to these Meetings certain Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views of the Committee have been communicated on a regular basis to the Board of Directors by tabling the Minutes of the Committee Meetings at Meetings of the Board.

Functions of the Committee:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.



R. Seevaratnam
Chairman
Related Party Transactions Review Committee

17th December, 2020

Remuneration Committee Report

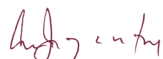
The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - Chairman / Independent Non-Executive
Mr. R. Seevaratnam - Member / Independent Non-Executive
Mr. S.D.R. Arudpragasam - Member / Non-Executive

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB only if it is required, to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries.



A.M. de S. Jayaratne
Chairman
Remuneration Committee

17th December, 2020

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2020.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 27 to 157.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on pages 21 to 26.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 32 to 50.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 31 'Related Party Transactions', on pages 134 to 141.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2020	No. of shares as at 31.03.2019
A. Rajaratnam	5,690	-
S.D.R. Arudpragasam	176,000	176,000
A.M. de S. Jayaratne	666	500
R. Seevaratnam	-	-
Anushman Rajaratnam	1,000,666	-
C.P.R. Perera	10,000	10,000
S. Rajaratnam	1,000,133	-
P.M.A. Sirimane	-	-

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2019/2020 is given in Note 7 to the Financial Statements on page 52.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year are given below and are profiled on page 04.

Mr. A. Rajaratnam - Chairman
 Mr. S.D.R. Arudpragasam - Deputy Chairman
 Mr. Anushman Rajaratnam - Group Managing Director
 Mr. A.M. de S. Jayaratne
 Mr. R. Seevaratnam
 Mr. C.P.R. Perera
 Mr. P.M.A. Sirimane - Group Finance Director
 Mr. Sanjeev Rajaratnam

In terms of Articles 85 and 86 of the Articles of Association Mr. S.D.R. Arudpragasam and Mr. Sanjeev Rajaratnam retire by rotation and being eligible offer themselves for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 06 to 11.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs.1,134,000/- (2018/19 - Rs.1,134,000/-) as audit fees by the Company. In addition, they were paid Rs.152,650/- (2018/19 - Rs.142,000/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs.133.14 million (2018/19 – Rs.128.59 million).

RESULTS

The Company made a net loss before tax of Rs.43.81 million against a profit of Rs.29.07 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 27.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2020 were Rs.1,226.59 million (2018/19 – Rs.1,224.41 million) and the Market Value of such Investments were Rs.1,898.47 million (2018/19 - Rs.2,810.28 million). The detailed investment portfolio is given in Notes 15, 16 and 17 to the Financial Statements on pages 74 to 97.

PROPERTY, PLANT & EQUIPMENT

During 2019/20, the Company invested Rs.2.93 million in Property, Plant & Equipment (2018/19 – Rs.0.59 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2020.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2020 was Rs.730,368,050.00 represented by 220,336,805 issued and fully paid Ordinary Shares.

RIGHTS ISSUE OF SHARES

The Company made a Rights Issue of 60,000,000 Ordinary Shares at a price of Rs. 10.00 per Share to the holders of the Issued Ordinary Shares of the Company as at the end of trading on 31st January 2020, in the proportion of One (1) new Ordinary Share for every Three (3) existing Ordinary Shares held in the Capital of the Company. The Issue closed on 25th February 2020. Consequent to the said Rights Issue, 40,336,805 Shares were issued and the total consideration received was Rs.403,368,050.00. The purpose of the Rights Issue was to raise funds to settle intercompany and bank borrowings and the proceeds were utilized for the said purposes.

RESERVES

The total reserves of the Company as at 31st March, 2020 amounted to Rs.1,041.59 (2018/19 - Rs.1,086.05 million). The Reserves comprise, Property Development Reserve of Rs.10 million (2018/19 - Rs.10 million), General Reserve of Rs.0.5 million (2018/19 - Rs.0.5 million), Available for Sale Reserve of Rs.0.67 million (2018/19 - Rs.0.71 million) and the accumulated profit of Rs.1,030.42 million (2018/19 - Rs.1,074.84 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto the Company is liable to pay income tax at the rate of 28% for the first nine months and at 24% for the next three months during the Year of Assessment 2019/20. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 53 to 56.

Annual Report of the Board of Directors contd.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 31 from pages 134 to 141.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 159 and 160.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 38 to the Financial Statements on pages 152 and 153.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 35 and 36 to the Financial Statements on pages 147 to 149.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,



S.D.R. Arudpragasam
Director



Anushman Rajaratnam
Director

By Order of the Board,



Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
17th December, 2020

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Independent Auditor's Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 32 to 157 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2020, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

01. Assessment of the Going Concern, Impairment of Investments in Subsidiaries and Goodwill – Company & Group

Risk Description

The Group incurred loss of Rs. 3,706 Mn for the year ended 31 March 2020, and at that date the Group current liabilities exceed its current assets by Rs. 10,032 Mn. As disclosed in Note 37 to the financial statements, this is mainly due to the fact that some of the subsidiaries of the Group namely Kotagala Plantations PLC, Lankem Developments PLC, Agarapatana (Pvt) Limited and Lankem Ceylon PLC have incurred a net loss of Rs. 829 Mn, Rs. 136 Mn, Rs. 1,212 Mn and Rs. 324 Mn respectively during the year ended 31 March 2020 and as of that date, accumulated losses of those companies amounted to Rs. 1,123 Mn, Rs. 921 Mn, Rs. 2,547 Mn and Rs. 815 Mn respectively. However, the directors have determined that use of the going concern basis of accounting is appropriate in preparing the financial statements. Their assessment of the going concern was based on the feasibility of management plans and cash flow forecasts.

Further, at 31 March 2020, the Group recorded Rs. 797 Mn as goodwill and the Company recorded Rs. 1,389 Mn as investments in subsidiaries. As required by relevant accounting standards, at 31 March 2020 the management performed an impairment assessment on goodwill by allocating it to the respective cash generating units and performed the impairment assessment for investments in subsidiaries with indicators of impairment and determined their recoverable amounts based on value-in-use calculations.

Due to the inherent uncertainty involved in forecasting and discounting cash flows, which are the basis of the Group's assessment of the Group's ability to continue as a going concern, recoverability of investment in subsidiaries and impairment of goodwill, this is one of the key judgment areas that our audit is concentrated in.

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyaratne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan FCA	M.N.M. Shameel ACA	Ms. C.T.K.N. Perera ACA
A.M.R.P. Alahakoon ACA		

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. P.M.K. Sumanasekara FCA

Independent Auditor's Report contd.



Our audit procedures included,

- Evaluating the indications of possible impairment of investments in subsidiaries and goodwill.
- Assessing the credibility of business plan and cash flow forecasts which were used by the management for the assessment of recoverability of the investments in subsidiaries and goodwill.
- Assessing whether the estimates reflected the latest economic conditions pursuant to the COVID 19 outbreak.
- Evaluating the going concern of the Group and the significant components and assessing the implication on the group financial statements through discussion with the component auditors.
- Obtaining the forecasted cash flows of the subsidiaries and assessing the reasonableness of the discounted cash flow models, principles and accuracy of the forecasts and challenging the assumptions used and the valuation technique applied.
- Evaluating the adequacy of the Group's going concern disclosures, recoverability of investment in subsidiary and impairment of Goodwill in the financial statements.

02. Measurement of Biological Assets - Group

Risk Description

As described in Note 10.4 and Note 10.6 the Group has recognised bearer biological assets in the amount of Rs. 5,526 Mn and consumable biological assets in the amount of Rs. 2,653 Mn.

Consumable Biological Assets

The commercially cultivated timber trees on estates managed by the Group are classified as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years (if any) are carried at cost less impairment as the fair value cannot be reliably measured. The valuation of consumable biological assets requires significant levels of judgments and technical expertise in selecting appropriate valuation models and assumptions. Management engaged a subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the Group as at reporting date.

Bearer Biological Assets

Bearer biological assets mainly include mature and immature tea fields. Inappropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalization of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants. As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point of which commercial harvesting could start depends on the soil condition, weather patterns and plant breed.

We considered measurement of biological assets as a key audit matter because the valuation of consumable biological assets involved significant judgments exercised by the management and external valuation expert and were subjected to significant level of estimation uncertainty. Further, immature to mature transfer of bearer biological assets require management to exercise their judgement in determining the point at which a plant is deemed ready for commercial harvesting.

Our audit procedures for Consumable Biological Assets included,

- Evaluating the competence, qualifications, capabilities and objectivity of the independent valuer.
- Obtaining estate wise census books of timber trees and comparing the number of timber trees recorded in the census book with the valuation report to ensure the completeness and accuracy of the data. We also evaluated the accuracy of valuation formulae contained in the valuation report.
- Physically verifying the actual girth and height pertaining to a selected sample of trees during our estate visits, in order to ascertain the accuracy of the average girth and height used in the valuation report.
- Assessing the key assumptions and methodology used in the valuation, in particular the discount rate, estimated height and average market price by comparing with industry norms that are generally accepted in determining volume of timber.
- Verifying the mathematical accuracy of the consumable biological assets valuation.



Our audit procedures for Bearer Biological Assets included,

- Testing the design, implementation and operating effectiveness of key internal controls in respect of capitalization of bearer biological assets.
- Obtaining schedules of costs incurred and capitalized under immature plantations as well as cost transferred to mature plantations by each estate and reconciling those balances to the general ledger on sample basis, verifying the reconciling items and obtaining explanations from management for any significant variances identified.
- Testing immature to mature cost transfer worksheet for selected estates to check whether the amount transferred during the year was consistent with the Group's accounting policy and industry norms.
- Assessing the adequacy of the disclosure relating to biological assets in the financial statements, including the description and appropriateness of the inherent degree of subjectivity and the key assumptions.

03. Valuation of Retirement Benefit Obligations - Group

Risk Description

As described in Note 28 the Group has recognised retirement benefit obligations in the amount of Rs. 3,573 Mn.

The valuation of the Group's retirement benefit obligation requires significant judgment and estimation to be applied across numerous assumptions, including salary increases and discount rate. Minor changes in those assumptions could have a significant effect on the financial performance and financial position of the Group. Management engaged an independent actuary to assist them in the estimation of the Retirement benefit obligation.

We considered the estimation of the retirement benefit obligation to be a key audit matter due to the magnitude of the amounts recognized in the financial statements as well as estimation uncertainty involved in determining the amounts.

Our audit procedures included,

- Assessing the competency, objectivity and capabilities of the independent actuary engaged by the Group.
- Testing the samples of the employees' details used in the computation to the human resource records and performed re-computation of the post-employment benefit liabilities with the assistance of our internal valuation specialist.
- Evaluating the reasonableness of the total annual salaries used in the computation by comparing to the historical data.
- Assessing reasonableness of the other key assumptions used in the valuation, in particular the discount rate, inflation rate and future salary increment rate.
- Assessing the adequacy of the disclosures made in the financial statements including sensitivity analysis.

04. Impairment of Trade Receivables - Group

Risk Description

As disclosed in Note 20 to the Financial Statements, the Group has recognized trade receivables balance of Rs. 5,764 Mn as at 31 March 2020, after netting off of provision for impairment of Rs. 674 Mn.

The Group has estimated provision for impairment of trade receivables based on the expected credit losses to be incurred, which is estimated by taking into account the credit history of the customers, current and forecasted market and economic conditions, all of which involves a significant degree of management judgment.

We identified impairment of trade receivables as a key audit matter because determining level of impairment allowance requires the exercise of significant management judgment.

Independent Auditor's Report contd.



Our audit procedures included,

- Evaluating the appropriateness of the impairment methodology adopted by the Group in accordance with SLFRS 9 and challenging the key assumptions and evaluating the reasonableness of the key judgments and methodology used by the management.
- Evaluating the completeness, accuracy and relevance of data used in the preparation of the provision for impairment of trade receivables as at 31 March 2020.
- Comparing the economic factors used in the models to market information to assess whether they are aligned with the market and economic development.
- Evaluating the adequacy of the Group's disclosures regarding the degree of judgments and estimation involved in arriving at the provision for impairment of trade receivables.

05.Recoverability of Deferred Tax Assets on Accumulated Tax Losses - Group

Risk Description

As disclosed in Note 18 and Note 27 to the Financial Statements, the Group has recorded deferred tax assets of Rs.878 Mn and Rs.926 Mn as at 31 March 2020 on deductible temporary differences arising from accumulated tax losses.

In recognizing this deferred tax asset, the management has considered expected utilization or recovery in the future through generation of future taxable profits by the Group entities or set off against deferred tax liabilities. This consideration involves significant judgment and estimates of the management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profits being generated by the entities within the Group.

The recoverability of the deferred tax asset on accumulated tax losses was significant to our audit because it involves significant management judgments based on the assumptions that are affected by expected future business strategies.

Our audit procedures included,

- Assessing the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets on accumulated tax losses.
- Challenging the key assumptions included in forecasting the future taxable profits after considering the accumulated unutilized tax losses by comparing the key inputs used in the forecasts, including future revenue growth, management of operating costs with historical performance of the entities.
- Assessing the appropriateness of the approval for the forecasts used by the management.
- Assessing the adequacy of disclosures in the financial statements as required by the relevant accounting standards.

06. Carrying Value of Inventories - Group

Risk Description

As disclosed in Note 19 to the Financial Statements, the Group has recognized inventories amounting to Rs. 6,537 Mn as at 31 March 2020.

The Group has significant amount of inventory and judgment is exercised with regard to categorisation of stocks as obsolete and/or slow moving to be considered for provision; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realizable value. Given the level of judgements and estimates involved this is considered to be a key audit matter.

Our audit procedures included,

- Testing key controls over inventory valuation and controls designed to identify slow moving and obsolete inventories;
- Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the categorisation as obsolete or slow moving;
- On sample basis, physically verify the inventories as at reporting date;
- Assessing the realisations of inventories during the period and after the period end, in particular of clearance categories, and compare these to the expected recoveries for inventory categorized as obsolete and/or slow moving at the period end date;
- assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning;



Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

Independent Auditor's Report contd.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

A handwritten signature in blue ink, appearing to be 'K. M. M.', written over a horizontal line.

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

17 December 2020

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,	Notes	GROUP		COMPANY	
		2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Revenue	4	36,230,793	41,689,356	133,140	128,595
Cost of Sales		(30,990,847)	(34,991,333)	-	-
Gross Profit		5,239,946	6,698,023	133,140	128,595
Other Income	5.1	1,656,034	938,728	41,817	93,461
Distribution Expenses		(2,473,164)	(2,396,202)	-	-
Administrative Expenses		(4,051,786)	(4,599,775)	(70,330)	(83,678)
Other Expenses	5.2	(833,379)	(563,877)	(68,049)	(34,500)
Finance Income	6.1	43,710	111,259	26,263	20,987
Finance Costs	6.2	(3,299,118)	(3,587,997)	(106,656)	(95,795)
Net Finance Cost	6	(3,255,408)	(3,476,738)	(80,393)	(74,808)
Share of Results of Equity Accounted Investees Net of Tax	16.1	1,168	(6,889)	-	-
Share of Results of Joint Venture, Net of Tax	16.2	7,963	46,659	-	-
Profit / (Loss) before Tax	7	(3,708,626)	(3,360,071)	(43,815)	29,070
Income Tax Expense	8	2,377	195,450	(609)	(6,385)
Profit / (Loss) for the Year		(3,706,249)	(3,164,621)	(44,424)	22,685
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Gains on Defined Benefit Plans		19,494	1,830	-	-
Tax on Other Comprehensive Income		27,346	(24,015)	-	-
Share of Other Comprehensive Income of Equity Accounted Investees, (Net of tax)	16.1	(148,703)	(112,161)	-	-
Revaluation of Land		-	6,713,254	-	-
Deferred Tax on Revaluation of Land		-	(1,675,576)	-	-
Items that are or may be reclassified to Profit or Loss					
Change in Value of FVOCI Financial Assets		(65,925)	(15,955)	(38)	(509)
Exchange Differences on Translation of Foreign Operations		(8,877)	(3,295)	-	-
Other Comprehensive Income / (Loss) for the Year Net of Tax		(176,665)	4,884,082	(38)	(509)
Total Comprehensive Income / (Loss) for the Year		(3,882,914)	1,719,461	(44,462)	22,176
Profit/(Loss) Attributable to:					
Owners of the Company		(2,201,313)	(2,173,801)	(44,424)	22,685
Non - Controlling Interest		(1,504,936)	(990,820)	-	-
Profit / (Loss) for the Year		(3,706,249)	(3,164,621)	(44,424)	22,685
Total Comprehensive Income / (Loss) Attributable to:					
Owners of the Company		(3,100,616)	511,909	(44,462)	22,176
Non - Controlling Interest		(782,298)	1,207,552	-	-
Total Comprehensive Income / (Loss) for the Year		(3,882,914)	1,719,461	(44,462)	22,176
Earnings / (Loss) per Share (Rs.)	9	(11.93)	(12.06)	(0.24)	0.13

The Notes from pages 32 to 157 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,	Notes	GROUP		COMPANY	
		2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	10	21,784,218	24,526,759	11,721	11,949
Consumer Biological Assets	10.6	2,653,128	1,988,592	-	-
Leasehold Property	11	849,011	409,438	-	-
Right of use Assets	12	794,343	-	-	-
Investment Property	13	2,309,313	1,973,439	800,821	804,233
Intangible Assets	14	851,817	973,367	-	-
Investments in Subsidiaries	15	-	-	1,388,512	1,435,593
Investments in Associates	16.1	179,309	330,162	95,819	93,649
Investment in Joint Venture	16.2	341,765	333,802	-	-
Other Financial Assets	17	641,431	619,432	993	1,027
Employee Benefits	28	58,885	56,143	-	-
Deferred Tax Assets	18	785,553	462,906	-	-
Total Non-Current Assets		31,248,773	31,674,040	2,297,866	2,346,451
Current Assets					
Inventories	19	6,536,676	6,990,030	-	-
Fair Value gain on growing produce of bearer Biological Assets	10.5	3,629	10,974	-	-
Trade & Other Receivables	20	7,168,505	8,205,579	34,754	17,341
Amounts due from Related Parties	31	161,442	94,751	266,123	133,809
Loans Given to Related Parties	31	-	-	167,000	97,000
Income Tax Recoverable		194,453	185,818	-	-
Other Financial Assets	17.3	450,876	568,352	-	-
Cash & Cash Equivalents	21	784,923	944,281	227,518	14,451
Total Current Assets		15,300,504	16,999,785	695,395	262,601
Assets Held for Sale	22	60,000	67,365	-	-
Total Assets		46,609,277	48,741,190	2,993,261	2,609,052
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	23	730,368	327,000	730,368	327,000
Capital Reserves	24	20,058	20,058	10,000	10,000
Reserves		2,188,358	5,181,961	1,031,590	1,076,052
Equity Attributable to Owners of the Company		2,938,784	5,529,019	1,771,958	1,413,052
Non - Controlling Interest		3,019,296	4,220,461	-	-
Total Equity		5,958,080	9,749,480	1,771,958	1,413,052
Non-Current Liabilities					
Loans and Borrowings	25	9,052,878	7,700,093	54,004	107,813
Deferred Income-Capital Grants	26	547,933	553,922	-	-
Deferred Tax Liabilities	27	2,135,040	2,281,509	195,869	195,260
Employee Benefits	28	3,573,209	3,139,229	-	-
Rent Received In Advance	29	9,582	24,640	-	-
Total Non-Current Liabilities		15,318,642	13,699,393	249,873	303,073
Current Liabilities					
Trade & Other Payables	30	9,773,056	9,921,146	63,921	59,567
Amounts due to Related Parties	31	735,660	1,044,949	659,959	728,592
Loans and Borrowings	25	11,120,219	10,849,988	53,383	46,576
Rent Received in Advance	29	8,888	10,164	8,888	10,164
Income Tax Payable		339,740	363,605	48,028	48,028
Bank Overdraft	21	3,354,992	3,102,465	137,251	-
Total Current Liabilities		25,332,555	25,292,317	971,430	892,927
Total Liabilities		40,651,197	38,991,710	1,221,303	1,196,000
Total Equity and Liabilities		46,609,277	48,741,190	2,993,261	2,609,052
Net Assets per Share (Rs.)		13.34	30.72	8.04	7.85

The Notes on pages 32 to 157 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



M.V.M. Paulraj
Director
Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board,


S.D.R. Arudpragasam
Director

Colombo
17th December, 2020


Anushman Rajaratnam
Director

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent											Non-Controlling Interest	Total	
	Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	FVOCI Reserve		General Reserve		Foreign Currency Translation Reserve		Revaluation Reserve	Retained Earnings			Total
				Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000					
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2018	327,000	15,190	4,868	1,046,198	84,453	1,433	-	3,647,788	5,126,931	3,159,291	8,286,221			
Adjustment of initial application of SLFRS 15	-	-	-	-	-	-	-	(82,639)	(82,639)	-	(82,639)			
Adjustment of initial application of SLFRS 09	-	-	-	-	-	-	-	-	-	(36,492)	(36,492)			
Adjustment to Associate share of Equity - SLFRS 09	-	-	-	-	-	-	-	(181)	(181)	-	(181)			
Adjusted Balance as at 01st April, 2018	327,000	15,190	4,868	1,046,198	84,453	1,433	-	3,564,967	5,044,110	3,122,800	8,166,909			
Profit / (Loss) for the year	-	-	-	-	-	-	-	(2,173,801)	(2,173,801)	(990,820)	(3,164,621)			
Other Comprehensive Income/(Loss) for the Year	-	-	-	(55,102)	-	-	2,868,970	(128,157)	2,685,710	2,198,372	4,884,082			
Dividend Paid -2017/2018	-	-	-	-	-	-	-	(27,000)	(27,000)	-	(27,000)			
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	(109,890)	(109,890)			
Balance as at 31st March, 2019	327,000	15,190	4,868	991,096	84,453	1,433	2,868,970	1,236,009	5,529,019	4,220,461	9,749,480			
Adjusted Balance as at 01st April, 2019	327,000	15,190	4,868	991,096	84,453	1,433	2,868,970	1,343,022	5,636,032	4,288,855	9,924,887			
Profit / (Loss) for the year	-	-	-	-	-	-	-	(2,201,313)	(2,201,313)	(1,504,936)	(3,706,249)			
Other Comprehensive Income for the Year	-	-	-	99,299	-	(8,877)	-	(989,725)	(899,303)	722,638	(176,665)			
Reclassification of Foreign Currency Translation Reserve	-	-	-	-	-	(3,295)	-	3,295	-	-	-			
Allotment of Right Issue shares	403,368	-	-	-	-	-	-	-	403,368	-	403,368			
Adjustment on Disposal of Subsidiaries	-	-	-	-	-	-	(304,823)	304,823	-	(408,640)	(408,640)			
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	(78,621)	(78,621)			
Balance as at 31st March, 2020	730,368	15,190	4,868	1,090,395	84,453	(10,739)	2,564,147	(1,539,898)	2,938,784	3,019,296	5,958,080			

COMPANY	Equity Attributable to Equity Holders of the Parent						Non-Controlling Interest	Total
	Stated Capital	Property Development Reserve	General Reserve	FVOCI Reserve	General Reserve	Foreign Currency Translation Reserve		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2018	327,000	10,000	501	1,218	1,084,944	-	-	1,423,663
Adjustment on Initial application of SLFRS 09	-	-	-	-	(5,787)	-	-	(5,787)
Adjusted Balance as at 01st April, 2018	327,000	10,000	501	1,218	1,079,157	-	-	1,417,876
Profit for the year	-	-	-	-	22,685	-	-	22,685
Remeasuring of other non-current financial assets	-	-	-	(509)	-	-	-	(509)
Dividend Paid	-	-	-	-	(27,000)	-	-	(27,000)
Balance as at 31st March, 2019	327,000	10,000	501	709	1,074,842	-	-	1,413,052
Loss for the year	-	-	-	-	(44,424)	-	-	(44,424)
Allotment of Rights Issue Shares	403,368	-	-	-	-	-	-	403,368
Remeasuring of other non-current financial assets	-	-	-	(38)	-	-	-	(38)
Balance as at 31st March, 2020	730,368	10,000	501	671	1,030,418	-	-	1,771,958

The Notes from pages 32 to 157 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Cash Flows

For the year ended 31st March,	Notes	GROUP		COMPANY	
		2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	1,582,407	1,941,483	34,517	31,237
Changes in; Inventories		(69,266)	382,453	-	-
Changes in; Trade & Other Receivables		574,774	915,455	(17,085)	(14,801)
Changes in; Amounts due from Related Parties		(149,866)	10,176	(153,283)	(24,762)
Changes in; Trade & Other Payables		2,512	2,159,927	3,774	18,888
Changes in; Amounts due to Related Parties		(290,175)	379,751	(98,133)	8,729
Cash generated from /(used in) Operating Activities		1,650,386	5,789,245	(230,210)	19,291
Income Tax Paid		(331,127)	(347,068)	-	(500)
Interest Expenses Paid		(3,208,396)	(3,587,997)	(105,373)	(94,580)
Gratuity Paid		(91,688)	(234,125)	-	-
Rent Income Received		38,834	64,771	38,086	42,245
Net Cash generated from/(used in) Operating Activities		(1,941,991)	1,684,826	(297,497)	(33,544)
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment, Investment					
Property & Biological Assets		(1,383,899)	(2,350,114)	(2,931)	(4,534)
Acquisition of Intangible Assets		(1,987)	(16,976)	-	-
Proceeds from Disposal of Property, Plant & Equipment		432,526	1,009,249	-	-
Loans given to Related Parties		-	-	(70,000)	
Settlements of Loans due from Related Parties		-	-	-	10,000
(Acquisition)/Disposal of Subsidiaries and Associates		858,966	-	(2,170)	(22,223)
Acquisition of Financial Assets at FVTPL		(18,685)	(11,936)	-	-
Proceeds from Disposal of Financial Assets at FVTPL		1,454	22,666	-	-
Net Disposal of Other Investments		(87,924)	3,326	-	-
Interest Income Received		43,710	111,259	25,928	20,753
Dividend Income Received		148,625	52,665	37,322	72,661
Net Cash generated from/(used in) Investing Activities		(7,214)	(1,179,861)	(11,851)	76,657
Cash Flows from Financing Activities					
Capital Grants Received		5,779	6,429	-	-
Increase/(Decrease) in Other Short-Term Loans		802,929	(1,548,850)	-	-
Increase in Loan due to Related Parties		-	-	29,500	60,000
Proceeds from Rights Issue		403,368	-	403,368	-
Repayment of Lease Rentals		(251,318)	(137,043)	(2,171)	(2,171)
Receipt of Interest-bearing Borrowings		4,895,310	5,436,426	-	-
Redemption of Debenture		(221,719)	(250,000)	-	-
Repayment of Interest-bearing Borrowings		(4,018,408)	(4,762,442)	(45,533)	(81,962)
Dividend Paid		-	(27,000)	-	(27,000)
Dividend Paid to Non Controlling Interests		(78,621)	(109,890)	-	-
Net Cash generated from/(used in) Financing Activities		1,537,320	(1,392,370)	385,164	(51,133)
Net (Decrease) / Increase in Cash & Cash Equivalents		(411,885)	(887,405)	75,816	(8,020)
Cash & Cash Equivalents at the beginning of the year	21	(2,158,184)	(1,270,779)	14,451	22,471
Cash & Cash Equivalents at the end of the year	21	(2,570,069)	(2,158,184)	90,267	14,451

The Notes from pages 32 to 157 form an integral part of these Financial Statements

Figures in brackets indicate deductions.

For the year ended 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
A. Profit/(Loss) before Working Capital Changes				
Profit/(Loss) Before Tax	(3,708,626)	(3,360,071)	(43,815)	29,070
Adjustments for ;				
Depreciation and Amortisation	1,626,055	1,258,471	6,571	6,312
Dividend Income	(145,308)	(52,665)	(37,319)	(72,601)
Amortisation of Rent Income	(55,168)	(56,658)	(39,362)	(40,852)
Interest Expense	3,299,118	3,587,997	106,656	95,795
Amortisation of Intangible Assets	38,181	47,340	-	-
Amortisation of Capital Grants	(11,768)	(23,667)	-	-
Gain on Disposal of Property, Plant & Equipment	(77,094)	(208,500)	-	-
Exchange Loss on Translation of Foreign Currency Loan	28,391	71,782	-	-
Interest Income	(43,710)	(111,259)	(26,263)	(20,987)
Provision for Retirement Gratuity	581,995	503,953	-	-
Share of (Profit)/Loss of Equity Accounted Investees	(1,168)	6,889	-	-
Share of results of Joint Ventures	(7,963)	(46,659)	-	-
Gain on Disposal of Investments in Subsidiaries	(294,280)	-	-	-
Change in Fair Value of Financial Assets at FVTPL	134,706	168,559	-	-
Impairment of Other Financial Assets non current	-	1,933	-	-
Provision for Impairment in Fall in Value of Investments	-	-	47,081	32,910
Impairment Loss on Trade & Other Receivables	438,473	123,253	-	-
Impairment Loss on Related Party Receivables	83,175	12	20,968	1,590
Change in Fair Value of Biological Assets	(500,600)	(196,834)	-	-
Write-off during the year	109,994	72,307	-	-
Impairment on Inventories	104,025	113,201	-	-
Creditors No Longer Payable Written Back	(97,854)	(10,049)	-	-
Impairment of Goodwill	82,994	56,465	-	-
Reversal of Provision for Bad Debts on Trade Receivables	(1,161)	(4,317)	-	-
	1,582,407	1,941,483	34,517	31,237

Notes to the Financial Statements

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the Companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The Companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut and cultivation and sale of palm oil.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and the consolidated financial statements of the Group comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

This is the first set of the financial statements in which SLFRS 16 Leases have been applied. Changes to significant accounting policies are described in Note 3.1.

The financial statements of the Group and the Company for the year ended 31st March, 2020 were authorised for issue by the Board of Directors on 17th December, 2020.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value.
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value.
- Non-derivative Financial instruments at fair value through Other Comprehensive Income are measured at fair value.
- Class of land under Property, Plant & Equipment is valued under Revaluation model.
- Biological assets (managed timber) are measured at fair value less costs to sell.
- Defined benefit assets are measured at the present value of the defined benefit obligations.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs : are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs : are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs : are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Key accounting judgements and estimates

The preparation of financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

2.4.1 Impact of COVID-19 Pandemic

The COVID-19 pandemic and its effect on the global economy have impacted our customers, operations and Group performance. The outbreak necessitated governments to respond at unprecedented levels to protect the health of the population, local economies and livelihoods. It has affected different regions at different times and at varying degrees and there remains a risk of subsequent waves of infection. Thus the pandemic has significantly increased the estimation uncertainty in the preparation of these financial statements including:

- The extent and duration of the expected economic downturn and the duration taken for the global economy to recover from the downturn.
- The extent and duration of the disruption to business arising from the actions of governments, businesses and consumers to contain the spread of the virus.
- The effectiveness of the measurement taken by the authorities to support business and consumers through this disruption and economic downturn.

The Group has made various accounting estimates in these financial statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31st March 2020 about future events that the Directors believe are reasonable in the circumstances. There is a considerable degree of judgment involved in preparing these estimates. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements. The significant accounting estimates impacted by these forecasts and associated uncertainties are predominantly related to fair value measurement and the assessment of the recoverable amount of non-financial assets.

Further information on the key judgments and estimates that we consider material to the financial statements are contained within each relevant note to the financial statements.

2.4.2 Judgements

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.3.1	10
Valuation of Leasehold Property	3.11.1	11
Valuation of Investment Property	3.3.6	13
Valuation of Intangible Assets	3.3.8	14
Deferred Tax	3.10.2	27 and 18
Valuation of Employee Benefit Liabilities	3.7	28
Valuation of Biological Assets	3.11.9	10.6
Leases	3.3.5	12
Provisions, Contingent Assets and Liabilities	3.8	36

2.5 Materiality and Aggregation

Each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

2.6 Comparative Information

Comparative information has been reclassified to conform to the current year's presentation, where necessary. Except when a standard permits or requires otherwise, comparative information is disclosed in respect of the previous period. Where the presentation or classification of items in the financial statements are amended, comparative amounts are reclassified unless it is impracticable.

2.7 Going Concern

The management has made an assessment of its ability to continue as a going concern and it is satisfied that it has the resources to continue in business for the foreseeable future. Therefore, the financial statement of the group continues to be prepared on a going concern basis.

3. SIGNIFICANT ACCOUNTING POLICIES

Except for the changes below, the Group has consistently applied the accounting policies to all periods presented in these Financial Statements.

3.1 Changes in Significant Accounting Policies

3.1.1 SLFRS 16 – “Leases”

The Group has applied SLFRS 16 with an initial application date of 1 April 2019. As a result, the Group has changed its accounting policy for lease contracts as detailed below. A number of other new standards are also effective from 1 April 2019, but they do not have a material effect on the Group's Financial Statements.

Notes to the Financial Statements contd.

The Group applied SLFRS 16 using the modified retrospective approach. Accordingly, the comparative information presented for 2018/19 is not restated – i.e. it is presented as previously reported, under LKAS 17 and related interpretations. The details of the changes in accounting policies are disclosed below. Additionally, the disclosure requirements in SLFRS 16 have not been applied to comparative information.

Definition of a Lease

Previously, the Group determined at contract inception whether an arrangement is or contains a lease under IFRIC 4. Under SLFRS 16, the Group now assesses whether a contract is or contains a lease based on the definition of lease, as explained in Note 3.3.5.

On transition to SLFRS 16, the Group elected to apply the practical expedient to grandfather the assessment of which transactions are leases. The Group applied SLFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified under LKAS 17 and IFRIC 4 were not reassessed for whether there is a lease under SLFRS 16. Therefore the definition of a lease under SLFRS 16 was applied only to contracts entered into or changed on or after 1 April 2019.

As a Lessee

As a lessee, the Group previously classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all of the risks and rewards incidental to the ownership of the underlying asset to the Group. Under SLFRS 16, the Group recognises right-of-use asset and lease liabilities for all of its leases. i.e these leases are on-balance sheet. At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone price. However, for leases of property the Group has elected not to separate non-lease components and account for the lease and associated non-lease components as a single lease component.

Leases Classified as Operating Leases Under LKAS 17 (Other than JEDB/SLSPS Estates)

Previously, the group classified property leases as operating leases under LKS 17. At transition, lease liabilities were measured at the present value of remaining lease payments, discounted at the Group's incremental borrowing rate as at 01 April 2019. The right-of-use assets are measured at either:

Option 1: their carrying amount as if SLFRS 16 had been applied since the commencement date. (Discounted using the incremental borrowing rate at the date of initial application); or

Option 2: at an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments.

The Group has tested its right-of-use assets for impairment on the date of transition and has concluded that there is no indication that the right-of-use assets are impaired.

- The Group used the following practical expedient when applying SLFRS 16 to leases previously classified as operating leases under LKAS 17:
- applied a single discount rate to a portfolio of leases with similar characteristics;
- Adjusted the right-of-use assets by the amount of LKAS 37 onerous contract provision immediately before the date of initial application, as an alternative to an impairment review.
- did not recognise right-of-use assets and liabilities for leases for which the lease term ends within 12 months of the date of initial application; did not recognise right-of-use assets and liabilities for leases of low value assets (e.g. IT equipment);
- excluded initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- Used hindsight when determining the lease term if the contract contains options to extend or terminate the lease.

Leases previously classified as finance leases

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability as at 1 April 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

Recognition of leases of JEDB/ SLSPC estates

On transition to SLFRS 16, there was a material impact on the Group's financial statements from leases of JEDB/SLSPC estates handed over to the Group for a period of 26 years as at 1 April 2019.

Policy applicable from 1st April 2019 (Transition)

The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) has analysed the provisions in the prevailing SoAT and the way forward in that context and withdrawn the SoAT going forward and replace with the guidance for initial application of SLFRS 16 at the transition. Application of this guideline by the companies which followed the SoAT issued by CA Sri Lanka is treated as a change in the accounting policies due to issuance of SLFRS 16 and therefore this guideline is prepared to help the transition of such companies consistently.

Accordingly, the Group elects to apply not to restate comparative information, instead the Group shall recognise the cumulative effect of initial application of SLFRS 16 as an adjustment to the opening balance of retained earnings as at the date of initial application. On transition to SLFRS 16, the Group increased the carrying amount of right-of-use asset by LKR 485,433,469 and lease liabilities by LKR 293,200,469. The Leases incremental borrowing rate applied to lease liabilities as at 1 April 2019 was 15%.

3.1.1.1 Impact on Financial Statements

The impact on transition is summarised below.

At 1 April 2019	Note	Group Rs. '000
Right-of-use assets	12	820,191
Deferred tax assets	18	1,775
Deferred tax liabilities	27	2,999
Leasehold Right to Bare Land of JEDB/ SLSPC Estates	11	485,433
Lease Obligation - JEDB/SLSPC	25	293,200
Lease liability recognised at 1 April 2019	25	751,962
Property Plant and Equipment		(99,558)
Rent Received in Advance		(24,640)
Trade and other receivable		(10,618)
Investment		(125)
Retained earnings		175,407

When measuring the lease liabilities for leases that were classified as operating leases, the Group discounted lease payments using its incremental borrowing rate at 1 April 2019. Incremental borrowing rate is 12% - 17%.

At 1 April 2019	Group Rs. '000
Operating lease commitments as at 31 March 2019 as disclosed under LKAS 17 in the Group's Financial Statements	356,073
Adjustment to update for SLFRS 16	293,200
Impact of discounting using incremental borrowing rate as at 01 April 2019	751,962
Recognition exemption for leases with less than 12 months of lease term at transition	-
Lease liability recognised at 1 April 2019	1,401,235

3.2 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Group, its Subsidiaries and the Group's interest in equity accounted investees.

Business combinations are accounted for using acquisition method as at the acquisition date, which is the date on which control is transferred to the Group. In assessing control, the Group takes into consideration potential voting rights that currently are exercisable.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition - date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.2.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.2.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

Notes to the Financial Statements contd.

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.73%
Laxapana Batteries PLC	30.90%
Marawila Resorts PLC	37.89%
C.W. Mackie PLC	37.85%
Agarapatana Plantations Limited	41.48%
Lankem Developments PLC	47.32%
Sigiriya Village Hotels PLC	42.56%
Beruwala Resorts PLC	49.35%
York Arcade Holdings PLC	49.99%
Ceylon Tapes (Pvt) Ltd	42.33%

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on

the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as a FVOCI financial asset depending on the level of influence retained.

3.2.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the Other Comprehensive Income or equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of profit or loss and Other Comprehensive Income or the changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognise an impairment

loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

Summarised financial information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

3.2.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in Note 3.4 below. The income from these investments is recognised only to the extent of dividend received.

3.2.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.2.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.2.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.2.8 Reporting Date

All subsidiaries and equity accounted investees of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Whose financial year ends on 31st December. Group incorporates the results of Sunquick Lanka Property (Private) Limited up to 31st March in the Group's financial statements.

3.2.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between the amortised cost in Sri Lankan Rupees at the beginning of the period, adjusted for effective interest and payments during the period, and the amortized cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.3 Property, Plant & Equipment

3.3.1 Recognition and Measurement

Items of property, plant & equipment except freehold land are measured at cost less accumulated depreciation and accumulated impairment losses. From 31 March 2019, freehold land of the Group is recognised at revalued amount and such revaluation will be assessed once in three years.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

Notes to the Financial Statements contd.

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.3.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.3.3 Derecognition and Depreciation

Derecognition

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use whereas depreciation of an asset ceases at the earlier of the date that the asset is classified as held-for-sale and the date that the asset is derecognised. Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10-40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04-05
Office Equipment	08-10
Furniture & Fittings	08-10
Computer Equipment	04-05
Sanitation, Water Supply and Electricity	20
Mature Plantations - Tea	33 1/3
Mature Plantations - Rubber	20
CTC Machinery	20
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis /4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.3.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.3.5 Leases

The Group has applied SLFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under LKAS 17 and IFRIC 4. The details of accounting policies under LKAS 17 and IFRIC 4 are disclosed separately if they are different from those under SLFRS 16 and the impact of changes is disclosed in Note 3.1.1.

3.3.5.1 Policy Applicable from 1 April 2019

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16.

This policy is applied to contracts entered into, on or after 1 April 2019.

3.3.5.1.1 As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group entities uses its incremental borrowing rate as the discount rate.

The Group entities determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an

- extension option, and penalties early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in "Right-of-use" assets and lease liabilities in interest bearing loans and borrowings in the statement of Financial Position.

Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.3.5.1.2 As a Lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risk and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic useful life of the asset.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies sub-lease as an operating lease.

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The Group recognises lease payments received under operating leases as rental income on a straight-line basis over the lease term as part of 'other income'. Generally, the accounting policies to the Group as a lessor in the comparative period were not different from SLFRS 16.

3.3.5.2 Policy Applicable before 1 April 2019

For contracts entered into before 1 April 2019, the Group determined whether the arrangement was or contained a lease based on the assessment of whether:

- fulfilment of the arrangement was dependent on the use of a specific asset or assets; and
- the arrangement has conveyed the right to use the asset. An arrangement conveyed the right to use the asset if one of the following was met:
- the purchaser had the ability or right to operate the asset while obtaining or controlling more than an insignificant amount of the output;
- the purchaser had the ability or right to control physical access to the asset while obtaining or controlling more than an insignificant amount of the output; or
- facts and circumstances indicated that it was remote that other parties would take more than an insignificant amount of the output, and the price per unit was neither fixed per unit of output nor equal to the current market price per unit of output.

3.3.5.2.1 As a Lessee

In the comparative period, as a lessee the Group classified leases that transferred substantially all of the risks and rewards of ownership as finance leases. When this was the case, the leased assets were measured initially at an amount equal to the lower of their fair value and the present value of the minimum lease payments. Minimum lease payments were the payments over the lease term that the lessee was required to make, excluding any contingent rent. Subsequent to initial recognition, the assets were accounted for in accordance with the accounting policy applicable to that asset.

Assets held under other leases were classified as operating leases and were not recognised in the Group's Statement of Financial Position. Payments made under operating leases were recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received were recognised as an integral part of the total lease expense, over the term of the lease.

3.3.5.2.2 As a Lessor

When the Group acted as a lessor, it determined at lease inception whether each lease was a finance lease or an operating lease.

To classify each lease, the Group made an overall assessment of whether the lease transferred substantially all of the risk and rewards incidental to ownership of the underlying asset. If this was the case,

then the lease was a finance lease; if not, then it was an operating lease. As part of this assessment, the Group considered certain indicators such as whether the lease was for the major part of the economic life of the asset.

3.3.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.3.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.3.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.3.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in Candy Delights Limited whose cost of inventory is determined on first-in, first out basis (FIFO).

The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

Goods in transit are determined based on actual cost.

3.3.10 Assets Held for Sale

Before the classification as held-for-sale, non-current assets and liabilities in the disposal group are measured in accordance with relevant SLFRSs. Non-current assets and disposal groups classified as held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Non-current assets are classified as held for distribution when the Company/Group committed to distribute the assets or disposal group to its owners.

Impairment losses on initial classification as held-for-sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

3.4 Financial Instruments

3.4.1 Recognition and Initial Measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provision of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.4.2 Classification and subsequent measurement

3.4.2.1 Financial Assets

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity instrument; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

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- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and

- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permit or requires prepayment at an annual amount that substantially represent the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.

3.4.2.2 Financial Liabilities

Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.4.2.3 Derivative Financial Instruments

Derivatives are initially recognised at fair value; any directly attributable transaction costs are recognised in profit or loss as incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

3.4.3 De-recognition

3.4.3.1 Financial Assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which

substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

3.4.3.2 Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.4.5 Impairment

3.4.5.1 Non-derivative Financial Assets

The Group recognises loss allowances for Expected Credit Loss (ECL) on:

- financial assets measured at amortised cost;
- debt investments measured at FVOCI; and
- contract assets.

The Group measures loss allowance at an amount equal to lifetime ECLs, except for the following, which are measured at 12-months ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for trade receivables and contract assets are always measured at an amount equals to life time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating

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ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data;

- significant financial difficulty of the borrower;
- a breach of contract such as default or being more than 90 days past due;

- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 90 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

3.4.5.2 Non-financial Assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than biological assets, investment property, inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indicator exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.5 Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and call deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short term commitments.

3.6 Stated Capital

Ordinary Shares

Ordinary shares are classified as equity. As per the Companies Act No. 07 of 2007, Section 58 (1), stated capital in relation to a Company means the total of all amounts received by the Group or due and payable to the Group in respect of the issue of shares and in respect of call in arrears.

3.7 Employee Benefits

Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

Provisions has not been made for gratuity in the accounts of the Company as per LKAS 19 – 'Employee Benefits', since the Company did not employ any staff. All staff related services are provided by Corporate Managers & Secretaries (Pvt) Ltd.

Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

Contribution for Employees Provident Fund and Employees Trust Fund have not been made since the Company does not employ any staff.

3.8 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

3.9 Statement of Profit or Loss and Other Comprehensive Income

3.9.1 Revenue Recognition

As per SLFRS 15, Revenue from contracts with customers, revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes.

The nature and timing of the satisfaction of performance obligations in contract with customers, including significant payment terms, and the related revenue recognition policies are given below:

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Sale of Goods

Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time. Invoices are usually payable within 30/60/90 days based on the product category

Rendering of Services

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

Revenue from Hotel Services

Apartment revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

3.9.1.1 Other Sources of Revenue

Dividend Income

Dividend Income is recognised in the Statement of Profit or Loss on the date when the entities right to receive payment is established.

Finance Income

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL), gains on the disposal and Fair Value Gains on Financial Assets at fair value through Profit or Loss. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

Rental Income

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Other Income - Other income recognised based on the actual basis

Gains and losses of a revenue nature on the disposal of Property, Plant and Equipment and other non-current assets are recognised by comparing the net sales proceeds with the carrying amount of the corresponding asset and are recognised net within 'other income' in the Statement of Profit or Loss.

3.9.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

3.9.3 Finance Income and Finance Costs

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.10 Income Tax Expenses

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in Statement of Profit or Loss and Other Comprehensive Income except to the extent that it relates to items recognised directly in other comprehensive income or Changes in Equity, in which case it is recognised directly in the respective statement.

3.10.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.24 of 2017.

3.10.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.11 Accounting Policies Which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.11.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement

date less any lease incentives received. The leasehold rights of assets taken over from JEDB/SLSPC are amortised in equal amounts over the shorter of the remaining lease periods and the useful lives as follows:

Description of the Property	No. of Years
Bare Land of JEDB/SLSPC	53
Land Development Cost (Improvement to Land)	30
Buildings	25
Plant and Machinery	15
Water Projects and Sanitation	20-30
Mature Plantations - Tea	30
Mature Plantations - Rubber	30
Mature Plantations - Others	25
Road and Bridges	40
Fences and Securities	20
Machinery	15
Power Augmentation	20
Vested Tea	30

3.11.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.11.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

Notes to the Financial Statements contd.

3.11.4 Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.11.5 Infilling Cost on Bearer Biological Assets

Where Infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of Comprehensive Income in the year in which they are incurred.

3.11.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material Limited)	At average cost (Agarapatana Plantations At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables Produce Stocks	At actual cost on FIFO basis. Estimated realisable price or since realised price or cost

3.11.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic

basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Group receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.11.8 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified Actuaries as disclosed in Note 27.

The Group expects to carry out actuarial valuation every year. The key assumptions used by the actuary include the following.

- Rate of Interest - 10% p.a.
- Salary Increment Rate - Staff 10% per annum Workers 16% once in two years
- Retirement Age - Staff 60 years Workers 60 years
- Daily Wage Rate - Rs. 700/- for workers

3.11.9 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter planting and fertilizing etc. incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads. The expenditure incurred on bearer biological assets (Tea) which comes into bearing during the year, is transferred to mature plantations.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional valuer.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling price	Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.
Discount Rate	Future cash flows are discounted at the rate of 13%, 14% & 15% (2018/19- 14%, 15% & 16%)

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

Impairments to biological assets are charged to the Profit or Loss Statement in full and reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.12 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short term deposits net of outstanding bank overdrafts.

3.13 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.14 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.15 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.16 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

Notes to the Financial Statements contd.

3.17 Operating Profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes net finance costs, share of profit of equity accounted investees and income taxes.

3.18 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 32 in conformity with Sri Lanka Financial Reporting Standards.

3.19 Directors responsibilities

Board of Directors is responsible for the preparation and fair presentation of these financial statements in accordance with Sri Lanka Accounting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

3.20 New Accounting Standards Issued but Not Effective as at the Reporting Date

The Institute of Chartered Accountants of Sri Lanka has issued New Accounting Standards for annual periods beginning after the current financial year.

Accordingly these standards have not been applied in preparing these financial statements and the Group plans to apply these standards as and when they become effective.

Group does not expect the following new Accounting standards, amendments and interpretations that will become effective for future accounting periods will have a significant impact on the financial statements.

- Amendments to references to conceptual framework in Sri Lanka Financial Reporting Standards.
- Amendments to Sri Lanka Accounting Standard - LKAS 1 "Presentation to Financial Statements" and Sri Lanka Accounting Standard - LKAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors"
- Amendments to Sri Lanka Accounting Standard - SLFRS 3 Business Combinations.

For the year ended 31 March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
4 REVENUE				
4.1 Summary				
Gross Revenue	37,454,789	43,561,830	133,140	128,595
Less: Revenue Related Taxes	(1,223,996)	(1,872,474)	-	-
Net Revenue	36,230,793	41,689,356	133,140	128,595
4.2 Business Segment Analysis				
Trading of Consumer Products	24,196,876	26,548,500	-	-
Trading of Industrial Products	9,740,952	10,736,485	-	-
Leisure	1,171,437	1,700,969	-	-
Plantations	5,898,442	7,264,624	-	-
Others	1,030,466	1,137,011	133,140	128,595
	42,038,173	47,387,589	133,140	128,595
Less: Inter-Segment Revenue	(5,807,380)	(5,698,233)	-	-
Net Revenue	36,230,793	41,689,356	133,140	128,595
5. OTHER INCOME / EXPENSES				
5.1 Other Income				
Gain on Disposal of Property, Plant and Equipment	77,094	208,500	-	-
Dividend Income	145,308	52,665	37,319	72,601
Sale of Rubber Trees	284,543	102,092	-	-
Sale of Timber & Scrap	43,363	39,061	-	-
Amortisation of Grants and Subsidies	11,768	23,667	-	-
Net Gain on Disposal of Subsidiaries	294,280	-	-	-
Commission Income	6,116	11,199	600	600
Reversal of Impairment Loss on Trade and other Receivables	1,161	4,317	-	-
Creditors No Longer Payable Written Back	97,854	10,049	-	-
Change in Fair Value of Biological Assets	500,600	196,834	-	-
Rental Income	168,535	139,357	-	-
Gain on Bargain Purchases	-	2,035	-	-
Sundry Income	25,412	148,952	3,898	20,260
	1,656,034	938,728	41,817	93,461
5.2 Other Expenses				
Loss on Financial Assets at Fair Value Through Profit or Loss	134,706	168,559	-	-
Net Impairment of Inventories	104,025	113,201	-	-
Write off of Millewa Estate	-	68,428	-	-
Impairment of Related Party Receivables	-	-	20,968	1,590
Write off / Impairment of Trade and Other Receivables	438,473	123,265	-	-
Impairment of Goodwill (Note 14.1.2)	82,994	56,465	-	-
Impairment Loss on Property Plant and Equipment	15,281	3,879	-	-
Impairment of Investment in Subsidiaries	-	-	47,081	32,910
Impairment on Other Long Term Investments	-	1,933	-	-
Others	57,900	28,147	-	-
	833,379	563,877	68,049	34,500

Notes to the Financial Statements contd.

For the year ended 31 March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
6 NET FINANCE COSTS				
Finance Income				
Interest Income	43,710	111,259	26,263	20,987
Total	43,710	111,259	26,263	20,987
6.2 Finance Costs				
Interest on Loans - Related Parties	-	-	73,658	58,532
Interest on Loans	2,359,066	2,473,505	21,612	29,096
Interest on Finance Leases	57,369	10,731	700	931
Interest on JEDB/SLPC Estate Lease	91,381	64,951	-	-
Debenture Interest	85,876	103,520	-	-
Interest on Bank Overdraft	460,280	391,019	10,686	7,236
Other Interest	118,790	309,532	-	-
Net loss on Translation of Foreign Currency	248,117	376,879	-	-
Amount Capitalised	(121,761)	(142,140)	-	-
Total	3,299,118	3,587,997	106,656	95,795
Net Finance Costs	3,255,408	3,476,738	80,393	74,808
7 PROFIT/(LOSS) BEFORE TAXATION				
Is stated after charging all expenses including the following:				
Audit Services				
KPMG	26,821	25,102	1,134	1,134
Other Auditors	16,816	16,636	-	-
Non-Audit Services				
KPMG	6,301	4,050	153	142
Other Auditors	8,496	2,594	-	-
Amortisation of Intangible Assets (Note 14)	38,181	47,340	-	-
Depreciation and Amortisation (Note 7.1)	1,533,312	1,251,801	6,571	6,312
Director's Remuneration	471,529	525,189	11,400	12,113
Staff Costs (Note 7.2)	8,090,084	8,182,733	-	-
Donations	10,933	10,011	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipment (Note 10.1 & 10.2)	1,463,113	1,202,977	3,159	3,059
Leasehold Property (Note 11)	45,860	27,313	-	-
Investment Property (Note 13)	24,339	21,511	3,412	3,253
	1,533,312	1,251,801	6,571	6,312
7.2 Staff Costs				
Salaries and Wages	6,629,364	6,945,431	-	-
Defined Contribution Plan Cost - EPF & ETF	878,725	733,349	-	-
Defined Benefit Plan Cost - Retiring Gratuity	581,995	503,953	-	-
	8,090,084	8,182,733	-	-

For the year ended 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
8 INCOME TAX EXPENSE				
Current Tax Expense				
Taxation on Profit for the Year (Note 8.1)	214,785	234,184	-	-
Under Provision on Taxation in respect of previous years	62,948	37,464	-	-
	277,733	271,648	-	-
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	(280,110)	(467,098)	609	6,385
	(2,377)	(195,450)	609	6,385

8.1 Taxation on Profit for the Year

Reconciliation of Accounting Profit to Income Tax Expense

Profit / (Loss) before Tax	(3,708,626)	(3,360,071)	(43,815)	29,070
Intra-Group Adjustments	(647,556)	(138,673)	-	-
	(4,356,182)	(3,498,744)	(43,815)	29,070
Aggregate Disallowed Expenses	3,939,487	4,012,868	88,310	54,307
Aggregate Allowable Items	(1,334,721)	(2,111,141)	(38,199)	(9,793)
Tax Exempt (Income)/Loss	(83,442)	(220,107)	(37,319)	(72,601)
Assessable (Income)/Loss from Business	(1,834,858)	(1,817,124)	(31,023)	983
Investment / Other Source of Income	628,710	51,278	26,263	-
Tax Losses utilised during the year	(74,104)	(428,990)	(26,263)	(983)
Taxable Income/(Loss)	(1,280,253)	(2,194,836)	(31,023)	-
Income Tax @ 28%	152,721	206,816	-	-
Income Tax @ 24%	21,477	2,100	-	-
Income Tax @ 10 % & 12%	18,305	416	-	-
Income Tax @ 14%	11,756	24,851	-	-
Income Tax at Other Rates	10,526	-	-	-
Current Income Tax Expenses	214,785	234,184	-	-
Tax Losses				
Tax Losses B/F	12,338,105	10,500,237	36,112	44,732
Adjustment in respect of prior year	542,961	640,563	-	(7,637)
Tax Loss during the year	3,096,786	1,626,295	31,023	-
Tax Loss utilised	(74,104)	(428,990)	(26,263)	(983)
Tax Losses C/F	15,903,748	12,338,105	40,872	36,112

8.2 Income Tax Expense

In accordance with the IRD Notice No PN/IT/2020/03 dated 12th February 2020, The Colombo Fort Land & Building PLC and its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated their adjusted profits at 24% from 1st of January 2020 to 31st March 2020 on the income earned from sources that were liable to income tax at 28% prior to 1st of January 2020. (other than in respect of companies / activities set out in notes 8.2.1 and 8.2.2 below).

Though the legislative process relating to the amendments to laws need to be completed in order for the tax rate to be considered as substantively enacted as at the reporting date and the difference between the application of the proposed tax rate of 24% and existing 28% has an immaterial impact on the financial statements.

Notes to the Financial Statements contd.

8.2.1 Companies exempted from Income Tax

Company	Activity	Statute	Period
Waverly Power (Private) Limited	Taxable profit	According to the extra ordinary gazette notification issued under section 194 of the Inland Revenue Act No. 24 of 2017 and exemption granted under section 160 of the Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto.	The income tax would be exempted up to year of assessment 2019/20.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
E.B.Creasy & Company PLC	Profit/Income earned by Manufacturing Companies	With effect from 1st of January 2020 Manufacturing Companies were liable to tax at 18% as per the Notice PN/IT/2020-03 (Revised) of 18.02.2020.	Indefinite
Agrapata Plantations Limited	Profits from agricultural undertaking	As per the Inland Revenue Act No. 24 of 2017 (ACT) , in the case of a company predominantly conducting an agricultural business, the applicable income tax rate is 14%. As per the above ACT "Predominantly" is defined as 80% or more calculated based on gross income. The "Agriculture Business" is defined in section 195 (1) as business of producing agricultural, horticultural or any animal produce and includes an undertaking for the purpose of rearing livestock or poultry. Based on the legal expert opinion obtained, the management is of the view that the Company is predominantly engaged in agricultural business.	Indefinite
Kotagala Plantations PLC	Profits from agricultural undertaking	As per the Inland Revenue Act No. 24 of 2017 (ACT), which is effective from year of assessment 2019/20 the company is liable to pay income tax at the rate of 14% for it's business income, since the management as assessed that the company is predominantly conducting an agricultural business.	Indefinite
Beruwala Resorts PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.	Indefinite
Galle Fort Hotel Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.	Indefinite
Marawila Resorts PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.	Indefinite
Sigiriya Village Hotels PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017	Indefinite
Lak Kraft (Private) Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017	Indefinite
Sherwood Holidays Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017	Indefinite
Lanka Special Steels Limited	Manufacturing, Importing an Exporting galvanised wire.	20 % under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322.	Indefinite
Lankem Ceylon PLC	Gains & Profits earned by Manufacturing Companies	With effect from 1st of January 2020 Manufacturing Companies were liable to tax at 18% as per Notice PN/IT/2020-03 (Revised) of 18.02.2020.	Indefinite
Ceymac Rubber Limited	Profits from exports activities	Liable for income tax at the concessionary rate of 14% under predominary concept on export activities and same rate will be applicable for entire taxable income as a single tax rate.	Indefinite

The income earned from activities other than mentioned above are liable to income tax at the rate of 24% and 14% on Dividend Income with effect from 01st January, 2020.

- 8.3 Lankem Paints Limited, Lankem Chemicals Limited, Lankem Research Limited, Lankem Consumer Products Limited, Lankem Export Limited, Nature's Link Limited, Sun Agro Farms Limited, Sun Agro Food Limited, Lankem Technology Services Limited, Associated Farms (Private) Limited, and Lankem Agrochemicals Limited were non-operative during the year.

8.4 Changes Applicable to the Group Under Inland Revenue act no. 24 of 2017

8.4.1 Revaluation Surplus on freehold land

The group elected to apply the optional exception to use the previous revaluation as deemed cost on 1st April 2011, the date of SLFRS transition. The pre transition revaluation surplus was transferred to retained earnings as at that date.

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold land used for business or investment purpose would be liable to tax at the time of realization. Deferred tax is recognized on the revaluation of freehold land which are treated as capital assets used in the business for tax purpose. In accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

Freehold land which are treated as investment assets for tax purposes has not been considered for deferred tax, since the Act requires the market value as at 30th September 2017 to be considered as cost. The deemed cost at which the freehold land treated as investment assets are recognised in the financial statements below the market value of these respective lands as at 30th September 2017 and will not be liable for tax on the pre transition surplus on disposal of these lands.

8.4.2 Tax loss Carried forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2020, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2020 and shall be carried forward up to 6 years. Accordingly the Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly.

8.4.3 Finance Cost Carried Forward

As per the Subsection (3) of Section 18 of the Inland Revenue Act No. 24 of 2017, finance cost for which a deduction is denied as a result of Subsection (1) of the same section, may be carried forward and treated as incurred during any of following six years of assessment, only to the extent of any unused limitation in Subsection (2) of the same section for the year. Accordingly, the Group has evaluated the recoverability of unclaimed finance costs and assets have been recognized.

8.5 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the rate of 28% for subsidiaries which are liable for income tax at the standard rate. The subsidiaries which are liable for income tax at reduced rates (below the standard rate) have computed deferred tax at the reduced rates.

- 8.5.1 Deferred tax expenses on companies resident in Sri Lanka are calculated based on tax rates specified in the Inland Revenue Act No. 24 of 2017, which are expected to be applied to the temporary difference when they reverse. As per provision of Inland Revenue Act No. 24 of 2017, deferred tax is recognized on the revaluation surplus on freehold land.

- (i) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Lankem Chemicals Limited, Lankem Technology Services (Private) Limited, Associated Farms Limited, Kelani Valley Canneries Limited, SunAgro Foods Limited, Union Investments (Private) Limited and Guardian Asset Management Limited SunAgro Farms Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC, Ceytra Limited and Ceymac Rubber Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom. The tax losses carried forward are as follows;

Notes to the Financial Statements contd.

As at 31st March, Unrecognised Deferred Tax Assets	2020 Rs. Mn.	2019 Rs. Mn.
Agarapatana Plantations Limited	151.0	58.8
Colombo Fort Hotels Limited	1.4	1.2
Lankem Ceylon PLC	408.1	495.5
Lankem Developments PLC	25.3	38.9
Lankem Exports (Private) Limited	8.7	8.7
Lankem Consumer Products Limited	53.8	53.9
Lankem Research Limited	3.8	1.6
Lankem Chemicals Limited	0.8	0.8
Lankem Paints Limited	23.4	25.3
Kelani Valley Canneries Limited	81.1	72.5
Muller & Phipps (Ceylon) PLC	21.4	23.1
SunAgro Foods Limited	121.1	99.6
SunAgro Farms Limited	16.7	16.5
Lankem Technology Services (Private) Limited.	0.1	0.1
Ceymac Rubber Company Limited	6.8	3.1
Associated Farms Limited	6.0	5.9
Ceytra (Private) Limited	14.2	12.7

9 BASIC EARNINGS / (DEFICIT) PER SHARE

Basic Earnings / (Deficit) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

For the year ended 31st March,	GROUP		COMPANY	
	2020	2019	2020	2019
Profit / (Loss) attributable to Equity Holders of the Company (Rs.'000)	(2,201,313)	(2,173,801)	(44,424)	22,685
Weighted Average Number of Ordinary Shares (No.'000)	184,438	180,360	184,438	180,360
Earnings / (Deficit) Per Share (Rs.)	(11.93)	(12.06)	(0.24)	0.13
Weighted Average Number of Ordinary Shares				
Number of Shares in issue as at 01st April (No.'000)	180,000	180,000	180,000	180,000
Number of Shares Issued due to Rights Issue (No.'000)	4,438	360	4,438	360
Number Shares Issued due to Rights Issue (No.'000)	184,438	180,360	184,438	180,360

10 PROPERTY, PLANT & EQUIPMENT

10.1 Group

	Balance as at 01.04.2019 Rs.'000	Additions during the Year Rs.'000	Disposals / Write-off / Transfers during the Year Rs.'000	Disposal of Subsidiary Rs.'000	Transfer to / (from) Investment Property Rs.'000	Balance as at 31.03.2020 Rs.'000
Cost						
Land (Access Roads)	69,315	-	-	-	-	69,315
Freehold						
Land (Note 10.3)	10,325,242	-	(29,917)	(976,885)	(76,763)	9,241,677
Buildings	6,336,603	167,620	(542,092)	(559,917)	(283,450)	5,118,764
Mature/Immature Plantations (Note 10.4.1)	7,226,386	1,133,871	(1,176,594)	-	-	7,183,663
Plant & Machinery	5,600,603	376,778	(78,410)	(121,810)	-	5,777,161
Motor Vehicles	1,351,211	347,736	(128,934)	(130,925)	-	1,439,088
Office Equipments	859,634	48,310	(29,501)	-	-	878,443
Furniture and Fittings	973,650	27,943	(31,962)	-	-	969,631
	32,742,644	2,102,258	(2,017,410)	(1,789,537)	(360,213)	30,677,742
Leasehold						
Buildings	124,559	-	(87,728)	(21,182)	-	15,649
Plant & Machinery	181,154	-	(111,977)	-	-	69,177
Motor Vehicles	263,320	8,374	(241,737)	-	-	29,957
Office Equipments	375	-	(375)	-	-	-
Furniture and Fittings	1,587	-	(1,587)	-	-	-
	570,995	8,374	(443,404)	(21,182)	-	114,783
Capital WIP*	335,848	198,557	(43,885)	(13,059)	-	477,461
Total Cost/Valuation	33,649,487	2,309,189	(2,504,699)	(1,823,778)	(360,213)	31,269,986

Notes to the Financial Statements contd.

Accumulated Depreciation	Balance as at 31.03.2019 Rs.'000	Charge for the Year Rs.'000	Disposals/ Write-off during the Year Rs.'000	Disposal of Subsidiary Rs.'000	Transfer to Investment Property Rs.'000	Balance as at 31.03.2020 Rs.'000
Land (Access Roads)	28,991	2,773	(8,578)	-	-	23,186
Freehold						
Buildings	1,564,516	216,434	(354,690)	(35,796)	-	1,390,464
Mature/Immature Plantations (Note 10.4.1)	1,419,722	237,605	-	-	-	1,657,327
Plant & Machinery	3,275,199	504,164	(54,489)	(67,968)	-	3,656,906
Motor Vehicles	1,071,221	315,799	(116,640)	(108,359)	-	1,162,021
Office Equipments	637,556	109,917	(19,647)	-	-	727,826
Furniture and Fittings	737,683	64,415	(31,127)	-	-	770,972
	8,734,888	1,451,107	(585,171)	(212,123)	-	9,388,702
Leasehold						
Buildings	16,439	2,475	(6,145)	(6,634)	-	6,135
Plant & Machinery	115,679	4,625	(82,989)	-	-	37,315
Motor Vehicles	231,008	4,906	(220,394)	-	-	15,520
Office Equipments	312	-	(312)	-	-	-
Furniture and Fittings	1,587	-	(1,587)	-	-	-
	365,025	12,006	(311,427)	(6,634)	-	58,970
Total Depreciation	9,099,913	1,463,113	(896,598)	(218,757)	-	9,447,672
Carrying Value	24,549,574	-	-	-	-	21,822,314
Impairment	(22,815)	(15,281)	-	-	-	(38,096)
Total Carrying Value of Property, Plant & Equipment	24,526,759	-	-	-	-	21,784,218

Note : The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2020 is Rs.2,253 million (2018/2019 - Rs. 2,846 million)

Note : The Group has assessed its Property, Plant & Equipment for impairment where indications are identified. Based on such assessment, provision for impairment Rs. 38 million has been recognised.

- Capital Work in Progress Amount Transferred from capital work in progress during the year is included in additions.
- Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.
- Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 25.5 to these Financial Statements.

10.2 COMPANY

Cost	Balance as at 01.04.2019 Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2020 Rs.'000
Freehold					
Plant & Machinery	154	2,544	-	-	2,698
Motor Vehicle	15,019	-	-	-	15,019
Office Equipment	12,121	137	-	-	12,258
Furniture and Fittings	10,230	250	-	-	10,480
	37,524	2,931	-	-	40,455
Leasehold					
Motor Vehicle	12,500	-	-	-	12,500
	12,500	-	-	-	12,500
Total Cost	50,024	2,931	-	-	52,955

Accumulated Depreciation	Balance as at 01.04.2019 Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the year Rs.'000	Balance as at 31.03.2020 Rs.'000
Freehold					
Plant & Machinery	16	121	-	-	137
Motor Vehicle	15,019	-	-	-	15,019
Office Equipment	10,494	380	-	-	10,874
Furniture and Fittings	9,532	158	-	-	9,690
	35,061	659	-	-	35,720
Leasehold					
Motor Vehicle	3,014	2,500	-	-	5,514
	3,014	2,500	-	-	5,514
Total Accumulated Depreciation	38,075	3,159	-	-	41,234
Total Carrying Value of Property, Plant & Equipment	11,949	-	-	-	11,721

Note : The cost of fully depreciated Property Plant and equipment of the Company which are still in use as at 31st March 2020 is Rs. 33.96 million (2018/2019 - Rs. 33.42 million)

10.2 Impairment Company/Group

In light of current operational and economic conditions due to the ongoing COVID-19 pandemic, the Group has reassessed the expected future business performance relating to cash generating units where the management has concluded that the recoverable value of CGUs exceeds its carrying values.

Notes to the Financial Statements contd.

10.3 Group

The portfolio of Land in the Group consist of the following.

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
Marawila Resorts PLC	Marawila	4,346	52	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	1,180,700	1,180,700
Sigiriya Village Hotels PLC	Mankani Trincomalee	1,322	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	206,993	206,993
Galle Fort Hotel (Private) Limited	Galle Fort, Galle.	78	8	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	1,216,700	1,216,700
Beruwala Resorts PLC	Moragalla	3	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	267	267
B.O.T. Hotel Services (Private) Limited	Kaparathota Road, Waligama.	491	1	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	525,550	525,550
Lankem Development PLC	Maguruwila Road, Gonawala.	86	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	19,809	19,800
Union Commodities (Private Limited)	No.79, Biyagama Road, Talwatta, Kelaniya	611	11	Mr. P.B Kalugalagedara	31.03.2019	430,852	430,852
Teacom (Private) Limited	No.120/9, Maya Mawatha, Kiribathgoda	11	-	Mr. P.B Kalugalagedara	31.03.2019	3,150	3,150
	Paddy Land- Ranawiru JA Chaminda Mawatha	1,016	-	Mr. P.B Kalugalagedara	31.03.2019	12,700	12,700
Lankem Ceylon PLC	St. Anthony's Road, Ekala, Kuriduwatta.	476	11	Mr. P.P.T.Mohideen Chartered Valuer	31.01.2019	381,080	381,080
	Maguruwila Road, Gonawala.	868	10	Mr. P.P.T.Mohideen Chartered Valuer	31.01.2019	392,185	392,185
	Maduramadu, Vembu, Puttlam	1,431	2	Mr. P.P.T.Mohideen Chartered Valuer	31.01.2019	30,000	30,000
E B Creasy & Company PLC	Sri Sangaraja Mawatha, Colombo 10.	238	2	Mr.P.B. Kalugalagedara Chartered Valuer	31.03.2019	2,925,000	2,925,000
Candy Delight Limited	Ekala, Ja-Ela.	160	-	Mr.P.B. Kalugalagedara Chartered Valuer	31.03.2019	68,000	68,000
Laxapana Batteries PLC	Homagama.	577	3	Mr.H.W.I.G.A. Weerakoon	31.03.2016	439,450	439,450
C.W. Mackie PLC	Scan Bottling Plant Munagama, Horana.	485	4	Mr. K.T.D Tissera	31.03.2019	742,000	742,000
Ceymac Rubber Company Limited.	Industrial Estate Aramanagolla, Horana.	800	11				
Ceymac Rubber Company Limited.	Thebuwana, Narthupana	850	8				
Kelani Valley Canneries Limited	Kaluaggala, Hanwella	355	7				
Colonial Motors (Ceylon) Limited	41/35, Nagahamulla Road, Thalangama, Battaramulla	133	2	Chartered Valuer Mr. N.B.S.A. Nanayakkara	25.03.2019	226,000	226,000
J.F. Packaging Limited	Minuwangoda Road, Kotugoda	350	4	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	295,800	295,800
Ceylon Tapes (Private) Limited	Samagi Mawatha, Ja-ela	45	3	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	13,500	13,500
Total							9,109,727

10.4 Immature/Mature Plantations - Bearer Biological Assets

As at 31st March,

	31.03.2020 Rs.'000	31.03.2019 Rs.'000
Agarapatana Plantations Limited	2,232,461	2,338,679
Kotagala Plantations PLC (KPPLC)	3,293,873	3,467,986
	5,526,334	5,806,665

10.4.1 Mature/Immature Plantations- Bearer Biological Assets

Cost	Mature Plantations			Immature Plantations			Total	Total
	Tea Rs'000	Rubber Rs'000	Other Rs'000	Tea Rs'000	Rubber Rs'000	Other Rs'000	31.03.2020 Rs'000	31.03.2019 Rs'000
At the beginning of the year	2,677,617	1,977,267	451,660	1,195,093	569,657	355,092	7,226,386	6,945,376
Additions/Transfer in	783,248	94,677	44,215	77,912	99,850	33,967	1,133,869	719,635
Transfer out	-	-	-	(783,248)	(94,677)	(203,956)	(1,081,881)	(370,197)
Writing Off during the year	-	-	-	(3,228)	-	(91,485)	(94,713)	(68,427)
Reclassification	-	-	-	-	-	-	-	-
At the end of the year	3,460,865	2,071,944	495,875	486,529	574,830	93,618	7,183,661	7,226,387
Depreciation								
At the beginning of the year	610,530	736,829	72,363	-	-	-	1,419,722	1,224,400
Charge for the year	115,119	97,687	24,799	-	-	-	237,605	195,322
Writing Off during the year	-	-	-	-	-	-	-	-
At the end of the year	725,649	834,516	97,162	-	-	-	1,657,327	1,419,722
Carrying Value as at 31.03.2020	2,735,216	1,237,428	398,713	486,529	574,830	93,618	5,526,334	-
Carrying Value as at 31.03.2019	2,067,087	1,240,438	379,298	1,195,093	569,657	355,092	-	5,806,665

- a) These are investments in mature/immature plantations since the formation of the respective companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Companies have elected to measure the bearer biological assets at cost using LKAS 16 - Property, Plant & Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting to Rs. 17.1 million (2018/19- Rs.23.6 million) on tea and Rs. 73.8 million (2018/19- Rs.64.6 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 15.45% (2018/19 - 17.41%). Capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.30.9 million (2018/19- Rs.53.9 million) have been capitalised as part of the cost of the immature plantations. The average rate of interest for capitalisation was 12.34% (2018/19 - 11.08%). Capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

Notes to the Financial Statements contd.

10.5 Fair Value gain on growing produce of bearer Biological Assets

As at 31st March,

	2020 Rs.'000	2019 Rs.'000
At the beginning of the year	10,974	16,326
Change in Fair value less cost to sell	(7,345)	(5,352)
At the end of the year	3,629	10,974

10.6 Consumer Biological Assets

At the beginning of the year	1,988,592	1,777,139
Expenses on new planting (Net of Harvest)	(3,150)	9,267
Transfer from Consumable Assets- Immature	159,741	-
Gain arising from changes in fair value for the year	507,945	202,186
	2,653,128	1,988,592

Kotagala Plantations PLC and Agarapataka Plantations Limited have recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investment since taking over to bring them to maturity are transferred from Immature to mature.

The fair value of managed trees was ascertained by Mr.A.A.M Fathihu, (FIV), Incorporated Valuer.

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.
Discount rate	Future cash flows are discounted at the rate of 13%, 14% & 15% (2018/19 - 14% - 16%)

The board of directors established that the fair value of consumable biological assets of the Company is comprised of only managed trees which fall under the purview of the forestry management plan of the company, since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by The Institute of Chartered Accountants of Sri Lanka.

During the year ended 31st March 2020, a physical verification of timber was carried out by the management covering all the estates and the actual number of trees available in the estates was ascertained. The actual number of commercially cultivated managed timber trees available as per the physical verification is included within the fair value of timber (consumable biological assets) for the year ended 31st March, 2020.

The Company is exposed to the following risks relating to its timber plantations.

Regulatory and environmental risks

The Company is subject to laws and regulations in Sri Lanka. The Company has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Supply and demand risk

The Company is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible, the Company manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analysis to ensure that the Company's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Company's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Company has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

Agarapatana Plantations Limited (APL)

Managed timber plantation was measured at fair value and the corresponding gains/losses are recognised in the statement of profit and loss each year.

Managed trees include commercial timber plantations cultivated on estates. The cost of Immature trees is treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed trees was ascertained by the Independent, Incorporated Valuer Mr.A.A.M Fathihu, (FIV), for the current year in accordance with LKAS 41 - "Agriculture" using Discounted Cash Flow (DCF) method.

10.6.1 Measurement of Fair Value

- The Future cash flows are determined by reference to current timber prices
- The fair value measurement for the consumable biological assets has been categorized as level 3 fair value based on inputs to the valuations used. Breakdown of the total gains recognized in respect of level 3 fair values of biological assets are given below.

As at 31st March	Group	
	2020 Rs. `000	2019 Rs. `000
Change in fair value of consumable biological assets (Note 10.4)	348,204	202,186
Change in fair value of growing produce of bearer biological assets (Note 10.5)	(7,346)	(5,352)
	340,858	196,834

- Following table shows the valuation techniques in measuring level 3 fair value of consumable biological assets as well as significant unobservable inputs used.

Kotagala Plantations PLC (KPPLC)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years with GBH > 18 inches	Discounted Cash Flows The Valuation model considers present value of future cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-to-tree basis. Expected Cash flows are discounted using a high risk adjusted rate of; 13%- Trees age to harvest 5 years or below 14% - Trees age to harvest 6- 15 years 15% - Trees age to harvest 15 years or above comprising a risk free rate of 10.5%	Determination of Timber content Species planted in separate blocks as at Reporting date have been identified by a qualified forestry officer of the Company and the timber content has been estimated based on the age and current cubic content. Determination of Price of Timber Trees have been valued as per current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species ranging from Rs.260 to 800 per cubic feet.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables; The estimated timber content The estimated price per cubic meter The estimated selling related costs The estimated maturity age The risk adjusted discounting rate

Notes to the Financial Statements contd.

Agarapatana Plantations Limited (APL)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber	Discounted Cash Flows The valuations, as presented in the external valuation model based on net present values, takes into account the long term exploitation of the timber plantations. Expected Cash flows are discounted using ; 13%- Trees age to harvest 5 years or below 14% - Trees age to harvest 6- 15 years 15% - Trees age to harvest 15 years or above	Optimum Rotation (Maturity) - 25 years Volume at Rotation - 19.4- 88.5 cu.ft. Price per cu.ft. - Rs.245/- to Rs.800/-	Lower the rotation period, higher the fair value Higher the volume, higher the fair value Higher the price per cu.ft. higher the fair value. Higher the discount rate ,the lesser the fair value

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of Agarapatana Plantations Limited are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to realise in future, included in the calculation of the fair value and takes into account the age of the timber plants and not the expiration date of the lease.

10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	+10%	-10%
Sensitivity effect on the carrying value of Biological Assets Rs.(000)	249,646	(249,646)

b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets:

	+1%	-1%
Sensitivity effect on the net present value of Biological Assets Rs.(000)	(104,026)	112,702

11 LEASEHOLD PROPERTY

	Balance as at 01.04.2019 Rs.'000	Additions During the Year Rs.'000	Impact due to initial application of SLFRS 16	Balance as at 31.03.2020 Rs.'000
Cost				
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)				
Kotagala Plantations PLC (Note 11.1.a)	331,163	-	485,433	816,596
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	-	341,588
	672,751	-	485,433	1,158,184
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)				
Kotagala Plantations PLC (Note 11.2.a)	448,322	-	-	448,322
Agarapatana Plantations Limited (Note 11.2.b)	265,748	-	-	265,748
	714,070	-	-	714,070
Other Leasehold Assets				
SunAgro Farms Limited (Note 11.4)	2,555	-	-	2,555
Total Cost	1,389,376	-	485,433	1,874,809

	Balance as at 31.03.2019 Rs.'000	Charge for the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2020 Rs.'000
Accumulated Depreciation				
Leasehold Right to Bare Land of JEDB/SLSPC Estates				
Kotagala Plantations PLC (Note 11.1.a)	167,321	24,734	-	192,055
Agarapatana Plantations Limited (Note 11.1.b)	172,501	6,503	-	179,004
	339,822	31,237	-	371,059
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)				
Kotagala Plantations PLC (11.2.a)	408,880	8,417	-	417,297
Agarapatana Plantations Limited (11.2.b)	228,681	6,206	-	234,887
	637,561	14,623	-	652,184
Other Leasehold Assets				
SunAgro Farms Limited (11.4)	2,555	-	-	2,555
Total Depreciations	979,938	45,860	-	1,025,798
Carrying Value	409,438	(45,860)	485,433	849,011

Following assets are classified as receivable from the Urban Development Authority of Sri Lanka

Description	Rs. '000
Property Plant and Equipment	10,334
Leasehold Right to Bare Land	5,713
Immovable Leased Assets	48
Bearer Biological Assets	118,807
Total	134,902

Notes to the Financial Statements contd.

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka based on the existing accounting standards. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company. The value taken into the 22nd June, 1992, Statement of Financial Position and the amortisation of leasehold rights up to 31st March, 2020 are as follows.

Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to bare land was written off since the company no longer has control of the said estate.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs'000	to initial application of SLFRS 16	Balance 31.03.2020 Rs'000	Balance 31.03.2019 Rs'000
Right to use the Land of JEDB/SLSPC Estates	53 years	358,928	485,433	816,596	331,163
Amortisation	Balance as at 31.03.2019 Rs'000	Charge for the Year Rs'000	Balance as at 31.03.2020 Rs'000	Carrying Value as at 31.03.2020 Rs'000	Carrying Value as at 31.03.2019 Rs'000
	167,321	24,734	192,055	624,541	163,842

b) Agarapatana Plantations Limited

Right -of-use asset-Land" was previously accounted under Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka dated 21 August 2013. However, SLFRS 16 – Leases was applicable with effect from 01 January 2019 and therefore ,above "Right -of-use asset-Land" has accounted in accordance with such standard with effect from 01 April 2019. "Right -of-use asset-Land" have been executed for all estates for a period of 53 years. The unexpired period of the lease as at Statement of Financial Position date is 25 years.

This Right -of-use asset-Land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets.

Description	Cost / valuation as at 22.06.92 Rs.'000	Accumulated Amortisation 01.04.2019 Rs.'000	Amortisation During the Year Rs.'000	Accumulated Amortisation 31.03.2020 Rs.'000	Carrying Value as at 31.03.2020 Rs.'000	Carrying Value as at 31.03.2019 Rs.'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	172,501	6,503	179,004	162,585	169,089

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

In terms of the ruling of the UITF of the Institute of Chartered Accounts of Sri Lanka, all immovable assets in the JEDB/SLSPC estates under finance leases have been taken into the books of the Company retroactive to 22nd June 1992. For this purpose, the Board decided at its meeting on 08th March 1995 that these assets be restated at their book values as they appear in the books of the JEDB/SLSPC, on the day immediately preceding the date of formation of the Company. These assets are taken into the Balance Sheet as at 22nd June 1992 and depreciated as follows.

Revaluation	Life of the Asset	As at 22.06.92 Rs.'000	Balance 31.03.2019 Rs.'000	Balance 31.03.2020 Rs.'000
Land Development Cost	30 years	6,712	6,360	6,360
Buildings other than Worker housing	25 years	26,519	25,174	25,174
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations				
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	163,548	163,548
- Others	25 years	-	8,140	8,140
Immature Plantations				
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	448,322	448,322

Amortisation	Balance as at 31.03.2019 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2020 Rs.'000	Carrying Value As at 31.03.2020 Rs.'000	Carrying Value As at 31.03.2019 Rs.'000
Land Development Cost	5,682	212	5,894	466	678
Buildings other than Worker Housing	25,174	-	25,174	-	-
Plant & Machinery	8,757	-	8,757	-	-
Water Projects and Sanitations	7,755	289	8,044	644	933
Mature Plantations			-		
- Tea	192,105	7,589	199,694	27,961	35,550
- Rubber	163,548	-	163,548	-	-
- Others	5,859	327	6,186	1,953	2,280
	408,880	8,417	417,297	31,024	39,441

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22nd June, 1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

b) Agarapatana Plantation Limited

All the leases executed as at the reporting date will be retroactive to 22nd June 1992, the date of formation of the Company. The board decided at its meeting on 8th March 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. These assets are taken into the balance sheet as at 22nd June 1992 and depreciated as follows:

Notes to the Financial Statements contd.

Description	Revaluation as at 22.06.92	Transfers/ Immature to Mature (Adjustments)	Value as at 01.04.2019	Accumulated Depreciation 01.04.2019	Depreciation for the Year	Accumulated Depreciation 31.03.2020	Carrying Value As at 31.03.2020	Carrying Value As at 31.03.2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Improvement to Land	5,406	-	5,406	4,821	181	5,002	404	585
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	453	17	470	207	224
Buildings	62,634	-	62,634	62,634	-	62,634	-	-
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,823	(620)	8,202	8,202	-	8,202	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	144,281	5,968	150,249	28,844	34,812
Vested Tea	1,223	-	1,223	1,080	40	1,120	103	143
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(620)	265,748	228,681	6,206	234,887	30,861	37,067

Investment in Plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under Immature Plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 41 - Agriculture. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further investments in such plantations to bring them to maturity are shown in Note 10.4.

11.3 Ceyflex Rubber Limited (Formerly known as Duramedical (Lanka) Limited)

Ceyflex Rubber Limited, a subsidiary of the Company, has entered into a Lease agreement with the Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and an annual ground rent of USD 5,000 per annum. The carrying value of lease rentals paid in advance was transferred to right-of-use asset in accordance with provisions in SLFRS - 16.

11.4 Sun Agro Farms Limited

Sun Agro Farms Limited, a subsidiary of the Company acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs and this was amortized over the period of lease. However, the balance was impaired as at 31st March 2014.

12 RIGHT-OF-USE ASSET

As at 31st March	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Cost				
Balance as at Beginning of the Year	-	-	-	-
Transfer of right-of-use assets on initial application of SLFRS 16	103,729	-	-	-
Recognition of right-of-use assets on initial application of SLFRS 16	716,462	-	-	-
Adjusted balance at Beginning of the Year	820,191	-	-	-
Additions during the year	91,359	-	-	-
Balance as at end of the Year	911,550	-	-	-

As at 31st March	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Accumulated Depreciation				
Balance as at Beginning of the Year	-	-	-	-
Transfer of right-of-use assets on initial application of SLFRS 16	4,171	-	-	-
Recognition of right-of-use assets on initial application of SLFRS 16	20,293	-	-	-
Adjusted balance at Beginning of the Year	24,464	-	-	-
Depreciation charge of the right-of-use assets for the year	92,743	-	-	-
Balance as at end of the Year	117,207	-	-	-
Total Carrying Value	794,343	-	-	-

(i) C W Mackie PLC

C W Mackie PLC has taken certain land and buildings on lease. In terms of the Grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99 year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

(ii) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037.

(iii) Sigiriya Village Hotels PLC

Sigiriya Village PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039.

13 INVESTMENT PROPERTY

As at 31st March	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Cost				
Balance as at Beginning of the Year	2,108,234	774,430	816,035	812,772
Prior year Adjustment	-	(49,969)	-	-
Transfers from Property Plant and Equipment	360,213	1,400,059	-	-
Additions during the year	-	-	684	3,263
Transfers from Revaluation Adjustment	-	(16,286)	-	-
Balance as at end of the Year	2,468,447	2,108,234	816,719	816,035
Accumulated Depreciation				
Balance as at Beginning of the Year	134,795	129,570	12,486	9,233
Charge for the Year	24,339	21,511	3,412	3,253
Transfers from Revaluation Adjustment /Property Plant and Equipment	-	(16,286)	-	-
Balance as at end of the Year	159,134	134,795	15,898	12,486
Carrying Value	2,309,313	1,973,439	800,821	803,549
Capital Work in Progress	-	-	-	684
Total Carrying Value (Note 13.1)	2,309,313	1,973,439	800,821	804,233

Notes to the Financial Statements contd.

13.1 Investment Property of the Group consist of the following.

Company	Location	Extent	Carrying Value Rs.'000	Fair Value
The Colombo Fort land and Building PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	156,436 Sq ft	800,821	2,998 Mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10	57,158 Sq ft	19,181	270.8 Mn
Sunquick Lanka Properties (Private) Limited	Munagama , Horana	128,774 Sq ft	177,920	275 Mn
Union Commodities (Private) Limited	No.79 , Biyagama Road , Talwatta, Kelaniya.	38,287 Sq ft	58,790	136 Mn
C M Holdings PLC	297,Colvin R De Silva Mw, Colombo 02.	1A,1R,6P	966,044	2670Mn
C M Holdings PLC	497/C Pannipitiya Road, Pelawatta	109.2P	102,206	363Mn
Imperial Hotels Limited	Halloluwa, Katugastota	6A,1R,36P	157,144	480 Mn
Sigiriya Village	Trincomalee	8A,1R, 2.3P	24,407	24 Mn
Laxapana Batteries PLC	Homagama Town centre, Panagoda, Godagama	7P	2,800	2 Mn
			2,462,618	

C.W. Mackie PLC

Part of the C.W. Mackie PLC Building complex has been given out on rent and the value of land and buildings of that portion has been classified as 'investment property' and accounted on "Cost Model" as required by LKAS 40 – Investment Property. As per the valuation carried out on 31st March 2019, by Mr. K.T.D. Tissera, an independent professional valuer J.P.U.M., Diploma in Valuation (Sri Lanka), F.R.I.C.S. (Eng), F.I.V. (Sri Lanka), Chartered Valuation Surveyor, these properties were valued based on income method for existing use basis.

C M Holdings PLC

The Company and the Group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years. Valuation of the land and buildings under Investment Property of the Company carried out by Chartered Valuation Surveyor Mr. P.P.T.Mohideen on 31st March, 2019 and 31st December, 2018

Imperial Hotels Ltd.

As a result of change in the company's business plan, Land recognised as Property , Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2020, amounted to Rs. 157.1 Mn.

As per the valuation carried out by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, fair value of investment property as at 31st March 2020 is Rs. 480 Mn.

Sigiriya Village Hotels PLC

During the year, as a result of a change in the Company 's business plan, land previously recognised under property, plant and equipment has been classified as investment property and accounted under "Cost Model" as required by LKAS 40 – Investment Property. The Company intends to hold the land for capital appreciation. The above investment property is situated in Trincomalee and the extent of the land is 8 A, 1 R & 2.3 P.

COMPANY

Investment property of the Company consists of land amounting to Rs.621.62 million (2019 - Rs.621.62) and building amounting to Rs.179.20 million (2019 - Rs.182.61 million) as at the reporting date. The Company has adopted the cost model to value the investment property.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	800,821	2,997,900

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS (England) and the fair value of the investment properties as at 31st March, 2019 was Rs.3.0 billion.

The rental income earned by the Company from the said properties is disclosed in Note 4 to the Financial Statement.

The Company has executed a Tertiary Mortgage Bond for Rs.100.0 million and a Quaternary Mortgage Bond for Rs.87.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

The Company reviewed the carrying values of Investment property as at the reporting date, to assess the impact of COVID-19 pandemic would have on the company assets and determined that no impairment is necessary, as the Company has evaluated their business continuity plans and is satisfied that it has taken necessary steps to safeguard the assets.

14 INTANGIBLE ASSETS

As at 31st March,	GROUP	
	2020 Rs.'000	2019 Rs.'000
Goodwill on Acquisition (Note 14.1)	797,262	880,256
Trade Mark (Note 14.2)	550	389
Computer software (Note 14.3)	54,005	92,722
	851,817	973,367

14.1 Goodwill

At the beginning of the Year	880,256	936,721
Acquisition of Subsidiary	-	-
Impairment of Goodwill (Note 14.1.2)	(82,994)	(56,465)
At the end of the Year (Note 14.1.1)	797,262	880,256

14.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

As at 31st March,	2020 Rs.'000	2019 Rs.'000
Lankem Developments PLC	-	5,503
Lankem Paints Limited	-	3,528
Lankem Chemicals Limited	-	3,428
Lankem Tea and Rubber Plantations (Private) Limited	-	51,766
Agarapathana Plantations Limited	-	16,385
Candy Delights Limited	-	2,259
Sunagro Lifescience Limited	-	125
C. W. Mackie PLC	92,778	92,778
Galle Fort Hotel (Private) Limited	267,885	267,885
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steel Limited	21,696	21,696
J.F.Packaging (Private) Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
Kiffs (Private) Limited	85,202	85,202
Alliance Five (Private) Limited	24,999	24,999
	797,262	880,256

Notes to the Financial Statements contd.

14.1.2 Impairment of Goodwill

Based on impairment assessment, the following goodwill were impaired during the year 2019/ 2020.

For the year ended 31st March	2020 Rs.'000	2019 Rs.'000
Consolidated Tea Plantations Limited	-	56,465
Lankem Developments PLC	5,503	
Lankem Tea and Rubber Plantations (Private) Limited	51,766	
Agarapathana Plantations Limited	16,385	
Sunagro Lifescience Limited	125	
Lankem Paints Limited	3,528	
Lankem Chemicals Limited	3,428	
Candy Delights Limited	2,259	
	82,994	56,465

For the purpose of impairment testing on goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination . CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

Carrying value of Goodwill as at the reporting date has been tested for impairment and no additional impairment losses were identified as at the reporting date. Details relating to goodwill impairment to date is disclosed above.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

14.1.3 Recoverable values measured with reference to the value in use

Investee	Significant unobservable inputs	Value of the input
Ceylon Tapes (Pvt) Ltd.	Average Growth rate	12%
	Discount rate (range)	13% - 15%
	Term	5 years (terminal value thereafter)
J.F.Packaging Limited	Average Growth rate	10%
	Discount rate (range)	13% - 16%
	Term	5 years (terminal value thereafter)
Kiffs (Pvt) Ltd.	Average Growth rate	12%
	Discount rate (range)	13% - 15%
	Term	5 years (terminal value thereafter)
Alliance Five (Pvt) Ltd.	Average Growth rate	14%
	Discount rate (range)	13% - 15%
	Term	5 years (terminal value thereafter)
Sherwood Holidays Ltd.	Average Growth rate	4.50%
	Discount rate (range)	20% - 24%
	Term	5 years (terminal value thereafter)

Investee	Significant unobservable inputs	Value of the input
Lanka Special Steels Limited	Average Growth Rate	10.00%
	Margin	Current Margin
	Discount Rate	12.00%
	Term	5 years (terminal value thereafter)

14.1.4 Recoverable values measured with reference to the fair value less cost to sell

Investee	Significant unobservable inputs	Value of the input
CW Mackie PLC	Adjusted NAV	Rs. 80 – Rs. 90
Galle Fort Hotel (Pvt) Ltd.	Market multiple (Price to book value)	Rs. 110 – Rs. 120
	Control premium (range)	15% - 25%

	GROUP	
As at 31st march,	2020 Rs.'000	2019 Rs.'000

14.2 Trade Mark

Cost

As at the beginning of the Year	14,461	14,409
Additions/ disposal during the Year	280	52
As at the end of the Year	14,741	14,461

Amortisation

As at the beginning of the Year	14,072	11,657
Amortised during the year	119	2,415
At the end of the Year	14,191	14,072
Carrying Value	550	389

14.3 Computer Software

Cost

As at the beginning of the Year	228,896	211,972
Additions/ disposal during the Year	1,707	16,924
Disposal of Subsidiary	(16,683)	-
As at the end of the Year	213,920	228,896

Amortisation

As at the beginning of the Year	136,174	91,249
Disposal of Subsidiary	(14,321)	-
Amortised during the year	38,062	44,925
At the end of the Year	159,915	136,174
Carrying Value	54,005	92,722

Trade Mark

Computer Software

Additions during the year relate to Software.

Notes to the Financial Statements contd.

15 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Group Holding 2020 %	Company Holding 2020 %	No. of Shares 2020	Cost 2020 Rs.'000	Fair Value 2020 Rs.'000	No. of Shares 2019	Cost 2019 Rs.'000	Fair Value 2019 Rs.'000
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15.1 COMPANY

15.1.1 Quoted Investments

Beruwala Resorts PLC	49.35	0.01	30,000	32	18	30,000	32	18
C M Holdings PLC	65.55	63.49	9,649,850	550,183	410,119	9,649,850	550,183	348,360
E.B. Creasy & Company PLC	59.91	52.99	1,343,610	35,228	1,097,595	1,343,610	35,228	2,001,979
Lankem Ceylon PLC	65.06	44.31	15,000,000	568,126	256,500	15,000,000	568,126	330,000
Marawila Resorts PLC	37.89	0.66	1,510,000	7,173	1,661	1,510,000	7,173	2,416
Muller & Phipps (Ceylon) PLC	30.73	0.02	60,030	91	36	60,030	91	36
York Arcade Holdings PLC	49.99	49.27	369,495	4,963	22,909	369,495	4,963	25,902
				1,165,796	1,788,838		1,165,796	2,708,711

15.1.2 Unquoted Investments

Agarapatana Plantations Limited	41.48	2.75	6,455,458	27,577	-	6,455,458	27,577	-
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Group Services (Pvt) Ltd	100.00	100.00	10,000	100	-	10,000	100	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Properties Limited	100.00	99.70	1,000	10	-	1,000	10	-
Consolidated Tea Plantations Limited	83.38	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				323,070	-		323,070	-

Total Cost				1,488,866			1,488,866	
Less: Provision for Impairment in Value of Investments (Note 15.2)				(100,354)			(53,273)	
Carrying Value of Investment in Subsidiaries				1,388,512			1,435,593	

	No. of Shares 2020	Cost 2020 Rs.'000	Market Value 2020 Rs.'000	No. of Shares 2019	Cost 2019 Rs.'000	Market Value 2019 Rs.'000
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15.1.3 Preference Shares

Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylon (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-			-	

15.2 Provision for Impairment in Value of Investments

	2020 Rs.'000	2019 Rs.'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	55	55
Beruwala Resorts PLC	14	14
Marawila Resorts PLC	5,512	4,757
	5,581	4,826
Unquoted Investments		
C.F. Travels Limited	15,000	15,000
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Consolidated Tea Plantations Ltd	77,998	31,672
Transways (Private) Limited	150	150
	94,773	48,447
	100,354	53,273

15.3 Group Companies Investment in Subsidiaries

Investor	Investee	% Holding		No. of Shares	
As at 31st March,		2020	2019	2020	2019
E. B. Creasy & Company PLC	Lankem Ceylon PLC	32.42%	32.42%	10,974,635	10,974,635
	Laxapana Batteries PLC	51.58%	51.58%	20,114,838	20,114,838
	Darley Butler & Co. Limited	100.00%	100.00%	4,999,964	4,999,964
	Candy Delights Limited	100.00%	100.00%	569,998	569,998
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	100.00%	1,200	1,200
	Island consumer suppliers Limited	100.00%	100.00%	119,999	119,999
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E B creasy logistic Limited	99.99%	99.99%	49,994	49,994
	Imperial Hotels Limited	0.14%	0.14%	19,825	19,825
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steel Limited	100.00%	100.00%	1,823,074	1,823,074
	Ceyflex Rubber Limited	100.00%	100.00%	7,100,000	7,100,000
Darley Butler & Company Limited	Lankem Ceylon PLC	1.59%	1.59%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.00%	6	6
	Agarapatana Plantations Limited	2.37%	2.37%	5,575,908	5,575,908
	Marawila Resorts PLC	0.00%	0.00%	188	188
	York Arcade Holdings PLC	0.60%	0.60%	4,500	4,500
Candy Delights Limited	Lankem Ceylon PLC	0.07%	0.07%	23,337	23,337
	York Arcade Holdings PLC	0.33%	0.33%	2,500	2,500
Island Consumer Suppliers (Private) Limited	Consolidated Tea Plantations Limited	0.00%	0.00%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	62,162	62,162
	Marawila Resorts PLC	0.07%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	6.91%	6.91%	9,344,800	233,620,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.00%	0.00%	536	536
	York Arcade Holdings PLC	0.27%	0.27%	2,000	2,000
	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993

Notes to the Financial Statements contd.

Investor	Investee	% Holding		No. of Shares	
As at 31st March,		2020	2019	2020	2019
Muller & Phipps (Ceylon) PLC	Pettah Pharmacy (Private) Limited	100.00%	100.00%	1,499,500	1,499,500
Pettah Pharmacy (Private) Limited	Colombo Fort Hotels Limited	0.94%	0.94%	1,275,200	31,880,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
Lankem Ceylon PLC	Lankem Development PLC	2.07%	2.04%	2,444,068	2,444,068
	Sigiriya Village Hotels PLC	23.12%	23.15%	2,083,760	2,083,760
	Marawila Resorts PLC	7.23%	7.32%	16,478,829	16,700,919
	Colombo Fort Hotels Limited	68.85%	68.85%	93,173,043	2,329,326,024
	Consolidated Tea Plantations Limited	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Lankem Exports Limited	100.00%	100.00%	9,997	9,997
	Lankem Paints Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Consumer Products Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Chemicals Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Research Limited	100.00%	100.00%	250,000	250,000
	SunAgro LifeScience Limited	100.00%	100.00%	200,000	200,000
	SunAgro Farms Limited	100.00%	100.00%	1,199,996	1,199,996
	Associated Farms Limited	100.00%	100.00%	55,398	55,398
	Kotagala Plantations PLC	1.46%	1.30%	1,100,221	977,899
	C.W. Mackie PLC	55.34%	55.34%	19,916,811	19,916,811
	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	SunAgro Foods Limited	100.00%	100.00%	4,999,994	4,999,994
	C M Holdings PLC	2.23%	2.23%	338,547	338,547
	Waverly Power (Private) Limited	43.59%	43.59%	3,400,000	3,400,000
	J.F. Packaging Limited	100.00%	100.00%	673,151	673,151
	Natures Link (Private) Limited	100.00%	100.00%	5,000,000	5,000,000
	Agrapathana Plantation Limited	0.75%	0.75%	1,760,204	1,760,204
Consolidated Tea Plantations Limited	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	48.11%	48.11%	36,187,500	36,187,500
	Lankem Developments PLC	49.80%	49.80%	59,762,295	59,762,295
	Union Commodities (Private) Limited	70.00%	70.00%	5,600,000	5,600,000
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	8.58%	8.58%	11,608,591	290,214,792
	Marawila Resorts PLC	0.00%	5.65%	-	12,878,000
	Kotagala Plantations PLC	23.93%	23.93%	18,003,937	18,003,937
	KIA Motors (Lanka) Limited	0.00%	15.00%	-	9,000,000
Lankem Developments PLC	Marawila Resorts PLC	0.14%	0.14%	312,500	312,500
	Kotagala Plantations PLC	0.12%	0.12%	90,000	90,000
	Agarapatana Plantations Limited	61.87%	61.87%	145,394,302	145,394,302
	Waverly Power (Private) Limited	56.41%	56.41%	4,400,000	4,400,000
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	Imperial Hotels Limited	34.08%	34.08%	4,921,506	4,921,506
	Marawila Resorts PLC	41.06%	41.06%	93,624,955	93,624,955
	Sigiriya Village Hotels PLC	41.16%	41.16%	3,704,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	10,384,214	10,384,214
	Lak Kraft (Private) Limited	99.11%	99.11%	222	222
	Sherwood Holidays Limited	100.00%	100.00%	7,791,920	7,791,920
	BOT Hotel Services Limited	31.32%	31.32%	18,008,162	18,008,162

Investor	Investee	% Holding		No. of Shares	
As at 31st March,		2020	2019	2020	2019
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	7.46%	17,000,000	17,000,000
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.02%	0.02%	24,000	600,000
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.02%	0.64%	24,000	21,656,460
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	68.68%	68.68%	39,491,798	39,491,798
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.02%	0.02%	24,000	600,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	0.22%	0.97%	1,300,000	5,835,973
	Union Commodities (Private) Limited	15.00%	15.00%	1,200,000	1,200,000
Kotagala Plantations PLC	Agarapatana Plantations Limited	7.38%	7.38%	17,333,333	17,333,333
	Imperial Hotels Limited	31.16%	31.16%	4,500,000	4,500,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,199,999	1,199,999
	Rubber & Allied Products (Colombo) Limited	99.85%	99.85%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.72%	3,148,551	3,148,551
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Sunquick Lanka Properties (Pvt) Ltd	51.00%	51.00%	3,070,000	3,070,000
	Kelani Valley Canneries Limited	88.23%	88.23%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	100,000	100,000
	York Arcade Holdings PLC	0.00%	0.00%	28	28
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	14.05%	12.57%	19,014,348	425,358,700
	Marawila Resorts PLC	0.44%	0.44%	1,000,000	1,000,000
	Carplan Limited	0.00%	100.00%	-	1,376,004
	Lankem Ceylon PLC	0.47%	0.47%	160,000	160,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
	KIA Motors (Lanka) Limited	0.00%	70.00%	-	41,999,952
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	167,700	167,700
	York Arcade Holdings PLC	0.00%	0.00%	35	35
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.04%	0.04%	12,000	12,000
	Lankem Developments PLC	6.79%	6.79%	8,150,000	8,150,000
	Agarapatana Plantations Limited	0.11%	0.11%	250,000	250,000
	C.W. Mackie PLC	2.81%	2.81%	1,010,000	1,010,000
	Marawila Resorts PLC	2.93%	0.00%	6,681,037	-

Notes to the Financial Statements contd.

Investor	Investee	% Holding		No. of Shares	
As at 31st March,		2020	2019	2020	2019
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantation PLC	0.00%	0.00%	279	279
	Muller & Phipps (Ceylon) PLC	0.00%	0.00%	500	500
	Laxapana Batteries PLC	0.00%	0.00%	300	300
	E. B. Creasy & Company PLC	0.00%	0.00%	72	72
	Colombo Investment Trust PLC	0.00%	0.00%	143	143
	Colombo Fort Investments PLC	0.00%	0.00%	83	83
	Lankem Developments PLC	0.00%	0.00%	296	296
	Lankem Ceylon PLC	1.18%	1.18%	400,300	400,300
	C M Holdings PLC	0.00%	0.00%	185	185
	Marawila Resorts PLC	0.00%	0.00%	640	640
	C.W. Mackie PLC	0.00%	0.00%	100	100
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
	Imperial Hotels Limited	3.46%	0.00%	500,000	-
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylon (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	3,500	3,500
J.F. Packaging Limited	Ceylon Tapes (Private) Limited	100.00%	100.00%	980,000	980,000
	Kiffs (Private) Limited	100.00%	100.00%	440,001	440,001
	Alliance Five (Private) Limited	100.00%	100.00%	649,750	649,750

Notes:

Impairment of Investments

C M Holdings PLC

The Investment in Colonial Motors (Ceylon) Limited was fully impaired as at 31st March 2020 due to continuous losses made by the entity led by adverse economic conditions in the motor vehicle industry. The impairment loss recognized for the year 2019/2020 was Rs. 141,640,476/-.

Disposal of Subsidiary

KIA Motors (Lanka) Limited and Carplan Limited

Group has disposed KIA Motors (Lanka) Limited along with its subsidiary Carplan Limited during the year for a total consideration of Rs. 867,000,000/-. The gain on disposal is recorded under note 5.1 - Other Income.

Marawila Resorts PLC

During the year Lankem Tea & Rubber Plantations (Private) Limited has disposed it's investments in Marawila Resorts PLC (5.6%).

15.4 SUBSIDIARY COMPANIES OF THE GROUP

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2020	2019
Agarapatana Plantations Limited	38.73	38.71
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	65.06	65.05
B.O.T. Hotel Services (Private) Limited	54.52	53.95
C.W. Mackie PLC	37.85	37.84
Ceymac Rubber Company Limited	37.36	37.36
Ceytra (Private) Limited	23.77	23.77
Ceylon Tapes limited	42.33	42.33
Corporate Systems Limited	59.87	59.85
Candy Delights Limited	59.91	59.90
Creasy Plantation Management Limited	24.56	24.56
Darley Butler & Company Limited	59.91	59.90
E.B. Creasy Logistics Limited	59.91	59.89
Filmpack Limited	59.91	59.89
Group Three Associates (Private) Limited	59.91	59.90
Guardian Trustees Limited	61.44	61.44
Island Consumer Supplies (Private) Limited	59.91	59.90
J.F.Packaging Limited	65.06	65.06
Kelani Valley Canneries Limited	33.39	33.39
Kotagala Plantations PLC	60.97	60.87
Lanka Special Steels (Lanka) Limited	59.91	59.90
Lankem Agrochemicals Limited	65.06	65.06
Lankem Chemicals Limited	65.06	65.06
Lankem Consumer Products Limited	65.06	65.06
Lankem Developments PLC	47.32	47.30
Lankem Exports (Private) Limited	65.06	65.04
Lankem Paints Limited	65.06	65.06
Lankem Plantation Services Limited	39.04	39.03
Lankem Research Limited	65.06	65.06
Lankem Tea & Rubber Plantations (Private) Limited	83.18	83.18
Laxapana Batteries PLC	30.90	30.89
SunAgro Farms Limited	65.06	65.06
SunAgro LifeScience Limited	65.06	65.06
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylon (Private) Limited	74.43	74.43
York Hotel Management Services Limited	99.99	99.99
Imperial Hotels Limited	54.78	54.30
York Tours Limited	99.99	99.99

Notes to the Financial Statements contd.

16 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

	Holding %	No. of Shares	Balance as at 2020 Rs.'000	Fair Value 2020 Rs.'000	Holding %	No. of Shares	Balance as at 2019 Rs.'000	Fair Value 2019 Rs.'000
As at 31st March,	2020	2020			2019	2019		

16.1 Investments in Associates

GROUP

Quoted Investments

Colombo Fort Investments PLC (CFIL)	16.32	1,103,603	98,826	60,698	15.97	1,080,039	127,082	52,947
Colombo Investment Trust PLC (CITL)	11.70	785,880	77,084	47,939	11.50	772,005	101,760	45,497
			175,910	108,637			228,842	98,444

Unquoted Investments

Capital Investments Limited (CIL)	46.67	3,499,930	157,861		46.67	3,499,930	226,679	
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Unrealised profit on disposal of shares

to equity accounted investee		(3,609)		(3,609)
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Balance as at 1st April		330,162		451,912
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Statement of Profit or Loss		1,168		(6,889)
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Other Comprehensive Income		(148,704)		(112,161)
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Share of Results of Equity Accounted Investees

(Net of Tax) for the Year		(147,536)		(119,051)
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Dividend Paid during the Year		(3,317)		(2,700)
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Carrying Value of Investments in Equity

Accounted Investees		179,309		330,162
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a. Market value of quoted investments as at 31st March, 2020 was Rs. 109 million (Rs.98 million- 31st March, 2019) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs.156 million as at 31st March, 2020 (Rs.227 million - 31st March, 2019) for the Group and Company as well.

b. Summarised Financial Information of Equity Accounted Investees

	Group	
As at 31st March,	2020 Rs.'000	2019 Rs.'000
Assets & Liabilities		
Total Assets	1,539,325	2,278,432
Total Liabilities	(69,692)	(80,478)
Net Assets	1,469,633	2,197,684

Summary of the Statement of Profit or Loss

For the year ended 31st March,	2020 Rs.'000				2019 Rs.'000			
	CFIL	CITL	CIL	Total	CFIL	CITL	CIL	Total
Revenue	12,515	18,967	347	31,829	22,236	22,732	4,059	49,027
Cost of Investment Disposed	-	(5,964)	-	(5,964)	-	(848)	-	(848)
Fair Value changes on Financial Assets	(7,251)	398	-	(6,853)	(46,389)	(48,277)	-	(94,666)
Other Income	4,287	20	-	4,307	4,228	32	-	4,260
	9,551	13,421	347	23,319	(19,925)	(26,361)	4,059	(42,227)
Administrative Expenses	(3,238)	(3,398)	(323)	(6,959)	(3,331)	(3,512)	(344)	(7,187)
Other Expenses	(267)	634	-	367	(5)	(37)	-	(42)
Profit From Operations	6,046	10,657	24	16,727	23,261	(29,910)	3,715	(49,456)
Net Finance Cost	(3,269)	538	(910)	(3,641)	(4,021)	227	(1,475)	(5,269)
Profit / (Loss) Before Tax	2,777	11,195	(886)	13,086	(27,282)	(29,683)	2,240	(54,724)
Income Tax Expenses	(1,111)	-	-	(1,111)	(1,035)	-	-	(1,035)
Net Profit /(Loss) for the year	1,666	11,195	(886)	11,975	(28,317)	(29,683)	2,240	(55,760)
Total other Comprehensive Income / (Expense) for the year.	(303,353)	(297,852)	(137,890)	(739,095)	(140,682)	(177,002)	(148,587)	(466,313)
Total Comprehensive Income / (Expense) for the year	(301,687)	(286,657)	(138,776)	(727,120)	(160,998)	(206,685)	(146,347)	(522,071)

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

Company	Holding %	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2020	2020	2020	2020	2019	2019	2019
			Rs.'000	Rs.'000		Rs.'000	Rs.'000
COMPANY							
Quoted Investments							
Colombo Fort Investments PLC	16.32	1,103,603	36,613	60,698	1,080,039	35,317	54,218
Colombo Investment Trust PLC	11.70	785,880	23,857	47,939	772,005	22,983	46,320
			60,470	108,637		58,300	100,538
Unquoted Investments.							
Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	
			35,349			35,349	
Carrying Value of Investments in Equity							
Accounted Investees			95,819			93,649	

16.2 INVESTMENT IN JOINT VENTURE

Sunquick Lanka (Private) Limited

The Company has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing of Co-Ro A/S, Denmark products in the form of concentrates and ready-to-drink (RTD) products marketed under 'Sunquick' brand.

The Group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below

Notes to the Financial Statements contd.

Summary of the Statement of Financial Position

As at	31.03.2020 Rs.'000	31.03.2019 Rs.'000
Summary of the Statement of Profit or Loss		
Revenue	1,264,116	1,475,450
Operating Expenses	(1,168,291)	(1,376,635)
Other Operating income	4,085	4,732
Finance Income	-	-
Finance Cost	(32,642)	7,249
Income tax	(51,017)	(15,225)
Other Comprehensive	-	(348)
Total comprehensive income / (expense) for the year	16,251	95,223
Share of Profit / (loss) for the year	7,963	46,659
Summarised Statement of Financial Position		
Non-Current Assets	635,497	427,457
Current Assets	1,105,448	878,611
Non-Current Liabilities	55,276	-
Current Liabilities	988,189	624,839
Equity	697,480	681,229
Carrying amount of the investments	341,765	333,802
Equity Reconciliation		
Carrying Value as at 1st April	333,802	287,143
Investment made during the year	-	-
Share of profit / (loss)	7,963	46,659
Carrying Value as at 31st March	341,765	333,802

17 OTHER FINANCIAL ASSETS - NON CURRENT

The Group / Company designated the investments shown below as financial assets measured at fair value through other comprehensive income because these investments represent instruments that the Group / Company intends to hold for long term as strategic investments.

As at 31st March,	Notes	GROUP		Notes	COMPANY	
		Fair Value 2020 Rs.'000	Fair Value 2019 Rs.'000		Fair Value 2020 Rs.'000	Fair Value 2019 Rs.'000
Quoted Investments - Financial Assets at FVOCI	17.1.1	81,000	108,355	17.2.1	993	1,027
Unquoted Investments - Financial Assets at FVOCI	17.1.2	337,529	325,102		-	-
Unit Trusts - Financial Assets at FVOCI	17.1.3	221,317	193,045		-	-
Foreign Exchange Forward Contract	17.1.4	8,655	-		-	-
		648,501	626,502		993	1,027
Less : Provision for Impairment in Value of Investment *		(7,070)	(7,070)		-	-
		641,431	619,432		993	1,027

* Impairment relates to Dutch Dairy international (Private) limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) limited.

		GROUP				
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
17.1 Group						
17.1.1 Quoted Investments						
Banks, Finance & Insurance						
Amana Takaful PLC	402	9	1	402	9	2
Arpico Finance Company PLC	333	11	42	333	11	51
Asia Capital PLC	100	-	-	100	-	1
Softlogic Life Insurance PLC	1,000	1	25	1,000	1	32
Central Finance Company PLC	10	-	1	10	-	1
Ceylinco Insurance PLC	22	-	39	22	-	47
Commercial Bank of Ceylon PLC-Voting	307	14	18	303	13	30
DFCC Bank PLC	21,180	1,631	1,613	16,716	1,631	1,146
First Capital Holdings PLC	3,600	11	82	100	4	2
Hatton National Bank PLC-Voting	10	-	1	10	-	2
HNB Assurance PLC	200	3	24	200	3	23
Housing Development Finance Corporation						
Bank of Sri Lanka	100	4	2	3,600	11	83
Janashakthi Insurance Company PLC	1,800	56	41	1,800	56	48
Lanka ORIX Leasing Company PLC	800	1	73	800	1	71
Lanka Ventures PLC	100	1	4	100	1	4
LB Finance PLC	1,156	3	139	1,156	3	139
Merchant Bank of Sri Lanka & Finance PLC	67	1	-	67	1	1
Nation Lanka Finance PLC	625	5	-	625	5	-
National Development Bank PLC	6,332	550	440	6,328	550	596
Nations Trust Bank PLC	12,696	287	843	12,696	287	1,141
Pan Asia Banking Corporation PLC	3,000	24	24	3,000	24	39
People's Leasing & Finance PLC	10,000	180	126	10,000	180	134
People's Merchant Finance PLC	270	4	2	270	4	2
Sampath Bank PLC	305	25	36	293	22	53
Seylan Bank PLC-Non-Voting	200	5	4	145	4	5
Seylan Bank PLC-Voting	8	-	-	6	-	-
SMB Leasing PLC	3,610	3	1	3,610	3	1
The Finance Company PLC	120	8	-	120	8	-
Union Bank of Colombo PLC	100	3	1	100	3	1
Vanik Incorporation PLC-Non-Voting	10	-	-	10	-	-
Vanik Incorporation PLC-Voting	100	-	-	100	-	-
Total		2,840	3,582		2,835	3,655

Notes to the Financial Statements contd.

	No. of Shares	Cost	GROUP Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Beverages, Food & Tobacco						
Bairaha Farms PLC	100	1	8	100	1	11
Cargills (Ceylon) PLC	343	9	58	343	9	69
Ceylon Beverage Holdings PLC	276	6	220	276	6	227
Ceylon Cold Stores PLC	64	1	42	64	1	37
Ceylon Tea Services PLC	80	3	42	80	3	50
Ceylon Tobacco Company PLC	7	-	7	7	-	9
Convenience Foods (Lanka) PLC	90	1	30	90	1	36
Distilleries Company of Sri Lanka PLC	118	1	2	118	1	2
Keells Food Products PLC	219	11	24	219	11	27
Lanka Milk Foods (CWE) PLC	133	3	10	133	3	15
Nestle Lanka PLC	40	4	40	40	4	65
Renuka Foods PLC -Voting	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	3	142	3	3
Three Acre Farms PLC	19	-	2	19	-	2
Total		43	488		43	553
Chemicals and Pharmaceuticals						
CIC Holdings PLC - Voting	4,239	29	148	4,239	29	163
Chemanex PLC	35,194	2,002	1,268	35,194	2,002	2,076
Haycarb PLC	27	1	4	27	1	3
Industrial Asphalts (Ceylon) PLC	10	1	3	10	1	4
J.L. Morison Sons & Jones Ceylon PLC-Non-Voting	60	17	-	60	17	25
J.L. Morison Sons & Jones Ceylon PLC-Voting	200	4	-	200	4	130
Standard Capital PLC	400	17	22	400	17	22
Total		2,071	1,445		2,071	2,423
Construction & Engineering						
Access Engineering PLC	-	-	-	-	-	-
Colombo Dockyard PLC	284	2	1	284	2	1
Total		2	1		2	1
Diversified Holdings						
Aitken Spence PLC	555	10	17	555	10	23
Browns Investments PLC	6,000	19	11	6,000	19	9
Carson Cumberbatch PLC	191	10	30	191	10	31
CT Holdings PLC	223	7	36	223	7	36
Janashakthi PLC	206	-	-	206	2	6
Hayleys PLC	9	1	1	9	1	2
Hemas Holdings PLC	161,772	8,162	11,232	156,074	8,162	12,133
John Keells Holdings PLC	192	11	22	192	11	30
Richard Peiris & Company PLC	3,705	2	29	3,705	2	34
The Colombo Fort Land & Building PLC	5,089,930	9,173	43,502	5,089,930	9,173	68,714
Meistacorp PLC	400	1	9	400	1	14
Total		17,396	54,891		17,398	81,031

As at 31st March,	No. of	Cost	GROUP	No. of	Cost	Fair
	Shares	2020	Fair	Shares	2019	Value
	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Footwear & Textile						
Hayleys Fabric PLC	409	7	4	409	7	3
Odel PLC	100	2	2	100	1	3
Total		9	6		8	6
Healthcare						
Asiri Hospital Holdings PLC	2,660	6	45	1,499	4	14
Singhe Hospital PLC	1000	3	1	1000	3	-
Asiri Surgical Hospital PLC	1,499	4	13	2,660	6	54
Ceylon Hospitals PLC	130	2	9	130	3	10
Durdans Hospitals PLC - Voting	130	3	10	130	2	9
Nawaloka Hospitals PLC	26,666	20	77	26,666	20	112
The Lanka Hospital Corporation PLC	100	2	3	100	2	4
Total		37	158		37	203
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	140	2	2	140	2	3
Amaya Leisure PLC	277	2	7	277	2	10
Asian Hotels & Properties PLC	200	1	6	200	1	8
Browns Beach Hotels PLC	150	-	1	150	-	2
Citrus Leisure PLC	53	1	-	53	1	-
Ceylon Hotels Corporation PLC	534	2	5	534	2	5
Dolphin Hotels PLC	125	1	2	125	1	3
Eden Hotel Lanka PLC	200	2	3	200	2	3
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Developers (Lanka) PLC	4	-	-	4	-	-
Hotel Sigiriya PLC	14,000	65	-	14,000	65	-
Hunas Falls Hotels PLC	450	19	63	450	19	81
John Keells Hotels PLC	1,506	5	10	1,506	5	11
Mahaweli Reach Hotels PLC	100	1	1	100	1	1
Miramar Beach Hotel PLC	100	1	-	100	1	6
Palm Garden Hotels PLC	56	3	1	56	3	1
Pegasus Hotels of Ceylon PLC	1,093	37	21	1,093	37	26
Renuka City Hotel PLC	600	148	114	600	148	150
Royal Palms Beach Hotels PLC	475	12	6	475	12	8
Tal Lanka Hotels PLC	100	-	1	100	-	1
The Kingsbury PLC	687	3	6	687	3	9
The Fortress Resorts PLC	500	5	4	500	5	5
The Lighthouse Hotel PLC	100	1	2	100	1	3
The Nuwara Eliya Hotels PLC	12	4	10	12	4	15
Trans Asia Hotels PLC	400	1	-	400	1	-
Total		315	266		315	352
Information Technology						
E - Channelling PLC	1,162	2	4	1,162	2	5
PC House PLC	1,000	11	-	1,000	11	-
Total		13	4		13	5

Notes to the Financial Statements contd.

As at 31st March,	No. of Shares 2020	Cost 2020 Rs.'000	GROUP	No. of Shares 2019	Cost 2019 Rs.'000	Fair Value 2019 Rs.'000
			Fair Value 2020 Rs.'000			
Investment Trust						
Ceylon Guardian Investment Trust PLC	174	2	12	174	2	11
Ceylon Investment PLC	463	3	13	463	3	17
Colombo Fort Investments PLC	81	2	5	81	2	4
Colombo Investment Trust PLC	140	2	9	140	2	9
Renuka Holdings PLC- Voting	164	1	2	164	1	2
Renuka Holdings PLC- Non Voting	1,180	17	11	1,180	17	11
Lanka Century Investments PLC	1,002	2	8	1,002	2	9
Total		29	61		29	62
Land & Property						
C.T. Land Development PLC	167	1	3	167	1	5
City Housing PLC	180	1	1	180	1	1
Colombo Land & Development Company PLC	1,200	6	19	1,400	2	17
Commercial Development PLC	600	6	46	600	6	42
East West Properties PLC	1,200	6	7	1,200	6	21
Equity Two PLC	337	4	5	100	1	5
Kelsey Developments PLC	155	-	9	337	4	8
On'ally Holdings PLC	300	2	4	31	-	3
Overseas Realty (Ceylon) PLC	30	2	4	300	2	5
Serendib Land PLC	204	1	35	30	2	39
Seylan Developments PLC	204	1	2	204	1	2
Touchwood Investments PLC	2,400	1	-	2,400	1	6
RIL Properties PLC	6,666	53	27	6,666	53	53
Total		84	161		80	207

	No. of Shares	Cost	GROUP Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Manufacturing						
Abans Electricals PLC	240	10	14	240	10	12
ACL Cables PLC	576	2	18	576	2	19
ACL Plastics PLC	100	3	12	100	3	8
ACME Printing and Packaging PLC	1,112,307	3,456	3,011	1,112,307	3,456	3,917
Alufab PLC	90	3	1	90	3	1
Blue Diamond Jewellery Worldwide PLC	22	-	-	22	-	-
Bogala Graphite Lanka PLC	200	1	2	200	1	2
Ceylon Grain Elevators PLC	10	-	0	10	-	1
Chevron Lubrications Lanka PLC	12,400	180	663	12,400	180	776
Dankotuwa Porcelain PLC	166	3	1	166	3	1
Dipped Products PLC	86	2	5	86	2	7
Hayleys Fibre PLC	105	2	9	105	2	9
Kelani Tyres PLC	360	2	12	360	2	11
Lanka Aluminium Industries PLC	10	-	0	10	-	1
Lanka Cement PLC	100	-	0	100	-	-
Lanka Ceramic PLC	7	1	1	7	1	1
Lanka Tiles PLC	52	1	3	52	1	4
Lanka Walltiles PLC	33	4	1	33	4	2
Pelwatte Sugar Industries PLC	-	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	11	3,428	6	12
Regnis (Lanka) PLC	30	1	2	30	1	2
Richard Peiris Exports PLC	92	3	18	92	3	20
Royal Ceramics Lanka PLC	10,896	114	609	10,896	114	643
Samson International PLC	50	1	4	50	1	5
Sierra Cables PLC	2,600	8	6	2,600	8	4
Singer Industries (Ceylon) PLC	85	1	5	85	1	5
Swisstek (Ceylon) PLC	100	-	3	100	-	3
Tokyo Cement Company (Lanka) PLC-Voting	655,235	30,000	14,742	655,235	30,000	13,563
Total		33,804	19,153		33,804	19,028
Motors						
Diesel & Motor Engineering PLC	6	-	2	6	-	2
Lanka Ashok Leyland PLC	90	1	63	90	1	57
Sathosa Motors PLC	66	2	17	66	2	30
The Autodrome PLC	100	2	6	100	2	8
Total		5	88		5	97
Oil Palms						
Bukit Darah PLC	10	3	2	10	3	2
Indo Malay PLC	5	1	5	5	1	7
Selinsing PLC	36	9	25	36	9	26
Total		13	32		13	35

Notes to the Financial Statements contd.

As at 31st March,	No. of	Cost	GROUP	No. of	Cost	Fair
	Shares		Fair	Shares		Value
	2020	2020	Value	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Plantations						
Agalawatte Plantations PLC	100	1	2	100	1	1
Balangoda Plantations PLC	310	5	3	310	4	3
Bogawantalawa Tea Estates PLC	46	-	0	46	-	1
Hapugastenne Plantations PLC	300	5	3	300	5	5
Horana Plantations PLC	120	2	3	120	2	3
Kahawatte Plantations PLC	531	9	19	531	9	20
Kegalle Plantations PLC	200	6	7	200	6	12
Kelani Valley Plantations PLC	200	7	16	200	7	17
Madulsima Plantations PLC	200	4	0	200	4	2
Malwatte Valley Plantations PLC	2,000	2	8	2,000	2	14
Maskeliya Plantations PLC	2,300	42	15	2,300	42	23
Namunukula Plantations PLC	1,200	22	94	1,200	22	75
Talawakelle Tea Estates PLC	700	15	28	700	15	34
Udapussellawa Plantations PLC	200	4	4	200	4	6
Watawala Plantations PLC	10,215	44	205	10,167	43	189
Hatton Plantation PLC	12,000	52	50	12,000	52	81
Total		220	457		218	486
Power and Energy						
Lanka IOC PLC	800	22	13	800	22	14
Panasian Power PLC	1,000	3	3	1,000	3	3
Resus Energy PLC	1,293	19	26	1,293	19	24
Vallibel Power Erathna PLC	3,000	8	16	3,000	8	18
Vidullanka PLC	2,042	2	8	2,042	2	9
Total		54	66		54	68
Service						
John Keells PLC	336	2	14	336	2	16
Paragon Ceylon PLC	100	1	6	100	1	5
Total		3	20		3	21
Stores and Suppliers						
Gestetner of Ceylon PLC	754	16	69	754	16	66
Hunters & Company PLC	24	1	8	24	1	10
Total		17	77		17	76
Telecommunications						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	4	200	3	4
Total		5	5		5	5

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Trading						
Brown & Company PLC	100	3	4	100	3	5
Ceylon & Foreign Traders PLC	10,000	5	32	10,000	5	32
Singer Sri Lanka PLC	90	3	2	90	3	2
Tess Agro PLC	2,053	2	1	2,053	2	1
Total		13	39		13	40

Total Quoted Investments	56,973	81,000		56,964	108,355
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17.1.2 Unquoted Investments

Asia Pacific Golf Courses Limited	2,500	250	250	2,500	250	250
Ceylon Biscuits Limited	5,041,680	30	321,508	5,041,680	30	305,326
Dacreel Ceylon Limited	1	-	-	1	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	160,500	1,670	1,742	160,500	1,670	1,757
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Srilanka Institute of Nanotechnology (Private) limited	3,814,182	50,105	8,596	3,814,182	50,000	12,336
York Conventions (Private) Limited	1	10	10	1	10	10
Total Unquoted Investments		57,806	337,529		57,701	325,102

17.1.3 Unit Trusts

Bartleet Transcapital Limited	-	-	-	-	-	-
Ceybank Unit Trust	13,580,829	138,708	216,737	13,580,829	138,708	188,326
Comtrust Equity Fund	94,856	1,835	1,232	94,856	1,835	1,588
Pyramid Unit Trust	87,321	2,447	3,348	87,321	2,447	3,131
Total Unit Trusts		142,990	221,317		142,990	193,045

17.1.4 Other Investments

Foreign Exchange Forward Contract	-	8,655	-	-	-	-
Total Financial Assets Held to Maturity		8,655	-		-	-

Market value per share are based on the price published by the Colombo Stock Exchange on the last date of trading (20th March, 2020) for the financial year ended 31st March, 2020 (2018/19 - 31st March, 2019).

Notes to the Financial Statements contd.

17.2 Company

As at 31st March,	No. of Shares 2020	Cost 2020 Rs.'000	Fair Value 2020 Rs.'000	No. of Shares 2019	Cost 2019 Rs.'000	Fair Value 2019 Rs.'000
17.2.1 Quoted Investments						
Banks, Finance & Insurance						
People's Leasing Company PLC	10,302	184	125	10,000	180	134
The Finance Company PLC	100	8	-	100	9	-
Total		192	125		189	134
Beverages, Food & Tobacco						
Ceylon Beverage PLC	226	1	181	226	1	186
Total		1	181		1	186
Manufacturing						
Royal Ceramic Lanka PLC	10,890	114	609	10,890	114	643
Total		114	609		114	643
Plantations						
Namunukula Plantations PLC	1,000	15	78	1,000	15	64
Total		15	78		15	64
Total		322	993		319	1,027

Market value per share are based on the price published by the Colombo Stock Exchange on the last date of trading (20th March, 2020) for the financial year ended 31st March, 2020 (2018/19 - 31st March, 2019).

17.3 Other Financial Assets - Current

		GROUP	
		Fair Value 2020 Rs.'000	Fair Value 2019 Rs.'000
Financial assets at Fair value through Profit or Loss	Notes		
Quoted Investments - Financial Assets at FVTPL	17.3.1	445,008	561,624
Unit Trusts	17.3.2	5,868	6,728
		450,876	568,352

The movement of the financial assets at fair value through profit or loss is as follows;

	GROUP	
	Fair Value 2020 Rs.'000	Fair Value 2019 Rs.'000
Investment in Unit Trust	6,728	8,346
Equity Investments	561,624	739,295
	568,352	747,641
Additions		
Investment in Unit Trust	-	-
Equity Investments	18,685	11,936
	18,685	11,936
Disposals		
Equity Investments	(1,454)	(22,666)
	(1,454)	(22,666)
Market Fair value changes		
Investment in Unit Trust	(860)	(1,617)
Equity Investments	(133,846)	(166,942)
	(134,706)	(168,559)
At the end of the year		
Investment in Unit Trust	5,868	6,728
Equity Investments	445,008	561,624
	450,876	568,352

Notes to the Financial Statements contd.

17.3.1 Quoted Investments

As at 31st March,	No. of Shares	Cost	GROUP Fair Value	No. of Shares	Cost	Fair Value
	2020	2020 Rs.'000	2020 Rs.'000	2019	2019 Rs.'000	2019 Rs.'000
Banks, Finance & Insurance						
Alliance Finance Company PLC	80,000	353	2,752	80,000	353	4,288
Amana Takaful PLC	75,000	753	330	75,000	753	210
Softlogic life Insurance PLC	100,000	284	2,470	100,000	284	3,150
Central Finance PLC	39,134	774	3,170	38,777	744	3,277
Commercial Bank of Ceylon PLC-Non-Voting	114,002	4,097	6,669	111,867	3,905	9,397
Commercial Bank of Ceylon PLC-Voting	1,005,274	33,758	60,417	989,327	32,081	97,647
Hatton National Bank PLC- Non-Voting	57,107	2,297	5,728	56,033	2,171	8,237
Hatton National Bank PLC-Voting	306,223	14,063	32,184	301,729	13,254	52,803
HNB Assurance PLC	100,000	1,308	12,100	100,000	1,308	11,570
Development Finance Corporation of Ceylon PLC	105,802	7,478	6,412	105,802	7,478	7,406
Lanka ORIX Finance PLC	99,250	620	218	79,400	544	246
Lanka ORIX Leasing Company PLC	394,000	939	35,775	394,000	939	35,027
Lanka Ventures PLC	339,700	11,405	12,229	339,700	11,405	13,214
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	699	124,879	8,170	1,299
Nation Lanka Finance PLC	11,250	68	8	11,250	68	7
National Development Bank PLC	22,892	1,011	1,515	22,040	949	2,076
Nations Trust Bank PLC	162,082	4,299	10,244	161,090	4,299	14,571
Pan Asia Banking Corporation PLC	467,100	4,703	3,784	467,100	4,703	6,026
People's Merchant Finance PLC	1,500	27	13	1,500	27	14
Sampath Bank PLC	121,420	11,698	14,449	116,626	10,956	21,004
Seylan Bank PLC-Non-Voting	399,454	7,742	12,946	288,321	5,033	10,351
Union Bank of Colombo PLC	374,100	7,685	3,030	384,100	7,685	4,225
Total		123,530	227,142		117,108	306,043
Beverages, Food & Tobacco						
Cargills (Ceylon) PLC	146,057	4,386	24,830	146,057	4,386	29,211
Ceylon Cold Stores PLC	9,320	178	6,105	9,320	177	5,359
Ceylon Tea Services PLC	1,428	86	758	1,428	86	885
Ceylon Tobacco Company PLC	3,500	140	3,500	3,500	140	4,690
Keells Food Products PLC	3,570	174	386	3,570	174	446
Lanka Milk Foods (CWE) PLC	133	4	10	133	4	15
Nestle Lanka PLC	4,700	404	4,753	4,700	404	7,636
Renuka Agri Foods PLC	91,560	307	174	91,560	307	183
Renuka Foods PLC -Voting	223,770	4,295	3,066	223,770	4,295	2,931
Renuka Foods PLC -Non Voting	1,914	24	16	1,914	24	19
Three Acre Farms PLC	25,000	216	2,000	25,000	216	2,457
Total		10,214	45,597		10,213	53,832

			GROUP			
	No. of	Cost	Fair	No. of	Cost	Fair
As at 31st March,	Shares		Value	Shares		Value
	2020	2020	2020	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Chemicals and Pharmaceuticals						
Chemanex PLC	17,700	1,558	708	17,700	1,558	1,044
Haycarb PLC	345	10	55	345	10	44
Union Chemicals Lanka PLC	100	1	40	100	1	40
Total		1,569	803		1,569	1,128
Construction & Engineering						
Colombo Dockyard PLC	16,380	927	598	16,380	927	868
MTD Walkers PLC	68,845	4,000	-	68,845	4,000	1,019
Total		4,927	598		4,927	1,887
Diversified Holdings						
Browns Investments PLC	706,000	1,933	1,341	706,000	1,933	1,059
Carson Cumberbatch PLC	664	81	103	664	81	106
Dunamis Capital PLC	60,875	419	1,382	60,875	419	1,845
Hayleys PLC	100,016	2,373	12,362	100,016	2,373	16,803
Hemas Holdings PLC	21,653	430	1,217	21,653	432	1,624
John Keells Holdings PLC	69,137	5,686	7,978	69,137	5,686	10,785
Richard Peiris & Company PLC	4,740	11	37	4,740	11	44
Sunshine Holdings PLC	712	24	27	712	24	33
Vallibel One PLC	104,000	2,600	1,248	104,000	2,600	1,487
Total		13,556	25,695		13,558	33,786
Footwear & Textile						
Hayleys Fabric PLC	8,590	194	75	8,590	194	73
Odel PLC	1,500	23	29	1,500	23	39
Total		217	103		217	112
Healthcare						
Asiri Hospital Holdings PLC	353,000	895	6,001	353,000	895	7,130
Asiri Surgical Hospital PLC	112,500	277	1,013	112,500	277	1,069
Ceylon Hospitals PLC (Durdans)-Voting	13,330	300	1,066	13,330	301	964
The Lanka Hospital Corporation PLC	33,000	489	908	33,000	489	1,442
Total		1,961	8,987		1,962	10,605

Notes to the Financial Statements contd.

As at 31st March,	No. of Shares 2020	Cost 2020 Rs.'000	GROUP		No. of Shares 2019	Cost 2019 Rs.'000	Fair Value 2019 Rs.'000
			Fair Value 2020 Rs.'000	Fair Value 2019 Rs.'000			
Hotel & Travel							
Aitken Spence Hotel Holdings PLC	100,625	1,856	1,519	100,625	1,856	2,385	
Amaya Leisure PLC	67,443	2,335	1,686	67,443	2,335	2,509	
Asian Hotels & Properties PLC	72,000	989	2,088	72,000	989	3,017	
Ceylon Hotels Corporation PLC	10,478	254	89	10,478	254	96	
Citrus Leisure PLC	-	-	-	168,714	4,029	709	
Dolphin Hotels PLC	20,000	275	366	20,000	275	530	
Eden Hotel Lanka PLC	350,000	7,006	5,390	350,000	7,006	4,725	
Galadari Hotels (Lanka) PLC	7,000	60	43	7,000	60	48	
Hikkaduwa Beach Resort PLC	33,742	675	108	33,742	675	125	
John Keells Hotels PLC	530,416	8,907	3,554	530,416	8,907	3,978	
Palm Garden Hotels PLC	15,164	711	273	15,164	711	281	
Pegasus Hotels of Ceylon PLC	22,666	499	433	22,666	499	544	
Renuka City Hotel PLC	12,740	897	2,433	12,740	897	3,185	
Royal Palms Beach Hotels PLC	15,700	629	199	15,700	629	253	
Serendib Hotels PLC-Non-Voting	31,250	296	344	31,250	296	394	
Tal Lanka Hotels PLC	19,500	182	150	19,500	182	183	
Tangerine Beach Hotels PLC	11,400	348	400	11,400	348	463	
The Fortress Resorts PLC	50	1	-	50	1	-	
The Lighthouse Hotel PLC	114,800	1,948	2,755	114,800	1,948	2,939	
Total		27,868	21,831		31,897	26,363	
Investment Trust							
Ceylon Guardian Investment Trust PLC	151,420	1,518	10,872	151,420	1,517	9,358	
Ceylon Investment PLC	595,848	2,862	17,339	595,848	2,862	21,748	
Guardian Capital Partners PLC	113,000	8,253	2,113	113,000	8,253	2,294	
Renuka Holdings PLC-Voting	1,147,000	5,852	2,179	1,147,000	5,852	2,294	
Total		18,484	32,503		18,484	35,694	
Land & Property							
C.T. Land Development PLC	3,333	14	68	3,333	14	95	
Colombo Land & Development Company PLC	522,460	4,783	7,158	522,460	4,783	6,165	
East West Properties PLC	48,000	338	278	48,000	338	840	
Equity Two PLC	25,200	217	1,142	25,200	217	1,336	
Property Development PLC	8,000	133	1,042	8,000	133	928	
Touchwood Investments PLC	600,000	10,602	-	600,000	10,602	-	
Total		16,086	9,687		16,087	9,364	

As at 31st March,	No. of	Cost	GROUP	No. of	Cost	Fair
	Shares		Fair	Shares		Value
	2020	2020	Value	2019	2019	2019
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Manufacturing						
ACL Cables PLC	72,000	1,485	2,239	72,000	1,485	2,326
ACME Printing and Packaging PLC	59,474	2,300	294	59,474	2,300	208
Bogala Graphite Lanka PLC	11,200	37	115	11,200	37	137
Ceylon Grain Elevators PLC	30,000	302	1,206	30,000	302	1,563
Chevron Lubrications Lanka PLC	20,000	387	1,070	20,000	387	1,252
Dankotuwa Porcelain PLC	52,500	414	236	52,500	414	278
Dipped Products PLC	35,024	1,562	1,996	35,024	1,562	2,732
Hayleys Fibre PLC	489	21	43	489	21	42
Kelani Cables PLC	400	7	21	400	7	27
Kelani Tyres PLC	160	1	5	160	1	5
Lanka Cement PLC	5,000	39	13	5,000	39	13
Lanka Floortiles PLC	25,000	630	1,253	25,000	630	1,750
Lanka Walltiles PLC	100,000	3,947	4,110	100,000	3,947	6,000
Orient Garments PLC	610,320	13,193	-	610,320	13,193	4,272
Pelwatte Sugar Industries PLC	5,000	96	-	5,000	96	-
Piramal Glass Ceylon PLC	250,000	1,400	825	250,000	1,400	875
Regnis (Lanka) PLC	137,853	2,464	8,244	137,853	2,464	8,630
Richard Peiris Exports PLC	40,600	1,066	7,746	40,600	1,066	8,607
Sierra Cables PLC	824,000	1,515	1,730	824,000	1,515	1,318
Singer Industries (Ceylon) PLC	82,680	844	5,201	82,680	844	4,795
Textured Jersey Lanka PLC	10,000	150	233	10,000	150	304
Tokyo Cement Company (Lanka) PLC Voting	87,109	160	1,960	150,776	7,890	2,981
Tokyo Cement Company (Lanka) PLC Non Voting	578,770	22,641	11,909	593,770	19,418	11,311
Total		54,663	50,449		59,168	59,425
Motors						
United Motors Lanka PLC	34,881	334	1,584	34,881	334	2,330
Total		334	1,584		334	2,330
Oil Palms						
Bukit Darah PLC	548	121	99	548	121	110
Total		121	99		121	110
Plantations						
Watawala Plantations PLC	364,201	495	7,284	360,000	438	6,660
Hatton Plantations PLC	432,000	-	1,814	432,000	-	2,894
Total		495	9,098		438	9,554
Power and Energy						
Lanka IOC PLC	174,600	5,418	2,759	174,600	5,418	3,038
Panasian Power PLC	29,200	88	73	29,200	88	88
Resus Energy PLC	142,250	2,813	2,873	142,250	2,813	2,632
Vallibel Power Erathna PLC	39,017	86	211	39,017	86	230
Vidullanka PLC	652,053	1,030	2,673	652,053	1,030	2,869
Total		9,434	8,589		9,435	8,857

Notes to the Financial Statements contd.

As at 31st March,	No. of Shares 2020	Cost 2020 Rs.'000	GROUP Fair Value 2020 Rs.'000	No. of Shares 2019	Cost 2019 Rs.'000	Fair Value 2019 Rs.'000
Service						
John Keells PLC	20,000	383	860	20,000	383	960
Total		383	860		383	960
Telecommunications						
Dialog Axiata PLC	15,000	224	128	15,000	224	137
Total		224	128		224	137
Trading						
Browns & Company PLC	28,900	2,745	1,214	28,900	2,745	1,387
Singer Sri Lanka PLC	2,000	3	40	2,000	3	50
Total		2,748	1,254		2,748	1,437
Total Financial Assets at FVTPL	-	286,813	445,008	-	288,873	561,624
17.3.2 Unit Trusts						
Bartleet Transcapital (Pvt) Ltd	10,000	200	200	10,000	200	200
Ceybank Unit Trust	318,639	5,037	4,805	318,639	5,037	5,665
National Equity Fund	12,000	120	256	12,000	120	296
NDB Wealth Growth & Income Fund	15,826	291	607	15,826	291	567
Total Unit Trusts		5,648	5,868		5,648	6,728

17.4 Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly.

Level 3: techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

Market value per share are based on the price published by the Colombo Stock Exchange on the last date of trading (20th March, 2020) for the financial year ended 31st March, 2020 (2018/19 - 31st March, 2019)

As at 31st March,	Level 1		Level 2		Level 3	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Quoted Investments - Financial Assets at FVOCI	81,000	108,355	-	-	-	-
Quoted Investments - Financial Assets at FVTPL	445,008	561,624	-	-	-	-
Unquoted Investments - Financial Assets at FVOCI	-	-	-	-	337,529	325,102
Unit Trusts - Financial Assets at FVOCI	221,317	193,045	-	-	-	-
Unit Trusts - Financial Assets at FVTPL	5,868	6,728	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Cash flow valuation	Cash inflows and outflows related to investments Discount rate applicable to relevant investments	Change in cashflow assumption would increase/(decrease) value of investment. The estimated fair value of investment would change if discount rate changes.

17.5 Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Quoted Investments - Financial Assets at FVOCI	993	1,027	-	-	-	-

18 DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Balance at the beginning of the Year	462,906	384,453	-	-
Adjustment of Initial application of SLFRS 9	-	974	-	-
Amount recognised in changes in equity due to initial application of SLFRS 16	1,775	-	-	-
	464,681	385,427	-	-
Disposal of Subsidiary	(6,950)	(33)	-	-
Recognised in Profit/Loss	325,211	388,784	-	-
Recognised in Other Comprehensive Income	2,611	(286,808)	-	-
Transfer to Deferred Tax Liabilities (Note 27)	-	(24,464)	-	-
Balance at the end of the Year	785,553	462,906	-	-

18.1 Deferred Tax Composition

Property Plant and Equipment	(372,772)	(189,023)	-	-
Lease liabilities	24,859	-	-	-
Right of use Assets	(22,808)	-	-	-
Defined Benefit Obligations	92,616	79,426	-	-
Impairment of Debtors	176,183	40,574	-	-
Impairment of Inventory	(35,561)	2,789	-	-
Tax loss carried forward	878,036	529,140	-	-
Deferred Tax Assets	785,553	462,906	-	-

Notes to the Financial Statements contd.

19 INVENTORIES

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Raw Materials	1,990,378	2,139,780	-	-
Growing Crop-Nurseries	35,164	25,744	-	-
Consumable Stock	23,586	30,519	-	-
Work- in -Progress	194,836	189,729	-	-
Finished Goods	3,507,066	3,338,623	-	-
Motor Vehicles	63,477	521,637	-	-
Right to recover finish goods	234,411	101,933	-	-
Goods-in-Transit	768,218	949,170	-	-
	6,817,136	7,297,135	-	-
Less: Net provision for Obsolete Inventories	(280,460)	(307,105)	-	-
	6,536,676	6,990,030	-	-

On adoption of SLFRS 15, an asset for right to recover returned goods is recognised in relation to products sold with a right to return.

20 TRADE AND OTHER RECEIVABLES

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Trade Debtors	6,437,841	6,966,532	12,927	4,621
Less: Impairment Loss on Trade Receivable	(673,701)	(517,943)	-	-
	5,764,140	6,448,589	12,927	4,621
Other Receivables	467,951	645,898	19,904	10,760
Deposits & Prepayments	371,131	587,057	1,923	1,960
Staff Loan	133,892	138,585	-	-
Other Tax Recoverable (Note -20.1)	431,391	385,450	-	-
	1,404,365	1,756,990	21,827	12,720
	7,168,505	8,205,579	34,754	17,341

The amount written off during the financial year amounts to Rs. 300 Million

20.1 Other Tax Recoverable

WHT Recoverable	14,242	2,471	-	-
NBT Recoverable	9,124	1,549	-	-
VAT Recoverable	128,677	104,106	-	-
ESC Recoverable	262,323	274,698	-	-
Other Tax Recoverable	17,025	2,626	-	-
	431,391	385,450	-	-

21 CASH AND CASH EQUIVALENTS

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Favourable Balance				
Fixed Deposits	279,874	341,110	158,951	4,875
Other Cash & Cash Equivalents	-	-	-	-
Cash at Bank	490,407	582,072	68,559	9,568
Cash in Hand	14,642	21,099	8	8
	784,923	944,281	227,518	14,451
Bank Overdraft	(3,354,992)	(3,102,465)	(137,251)	-
Cash & Cash Equivalents as per the Statement of Cash Flows	(2,570,069)	(2,158,184)	90,267	14,451

21.1 Security Details Over Bank Overdraft Facilities

21.1.1 Company

The bank overdraft facility of the Company is secured over the fixed deposit of Rs.153 million.

21.1.2 Group

E.B.Creasy & Company PLC

- The bank overdraft facility of Hatton National Bank PLC is secured by existing primary concurrent floating mortgage totaling to Rs.36.2 million over land & building situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
Existing tertiary mortgage bond totaling to Rs.100 Mn over property at No. 98, Sri Sangaraja Mawatha, Colombo 10.
- The bank overdraft facilities of Sampath Bank PLC is secured by Lankem Ceylon PLC shares to the value Rs. 20 million lodged in the custodial accounts.
- The bank overdraft facilities of Bank of Ceylon is secured by 2.5 million numbers of Lankem Ceylon PLC shares.
- The bank overdraft facilities of DFCC Bank is secured by a tri-partite agreement for Rs.50 million entered in to between the bank, the Company and the stock broker to assign up to 10,000,000 ordinary shares of Laxapana Batteries PLC held by the Company in favours of DFCC Bank PLC.

Candy Delights Limited

The bank overdraft is secured on the land, buildings and stocks at Unit Three - Industrial Estate, Ekala, Ja-Ela

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 200 million) from Bank of Ceylon .
- Primary mortgage over leasehold rights to bare land and building of Torrington Estate, Stock in trade, Movable Assets, Book Debts and Corporate Guarantee from Lankem Development PLC (facility amount Rs160 million) from Indian Bank.
- (C) Deposit of original title deeds and plan relating to Dambettenne Estate (facility amount Rs.20 million) from Commercial Bank of Ceylon PLC.

Notes to the Financial Statements contd.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs.50 million) and Standard Chartered Bank (facility amount Rs.250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- (a) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.
Primary mortgages over leasehold rights of the estate lands and buildings of Sorana Estates.
- (b) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

22 ASSETS HELD FOR SALE

As at 31st March,	GROUP	
	2020 Rs.'000	2019 Rs.'000
Leased land held-for-sale (Note 22.1)	60,000	67,365
	60,000	67,365

22.1 Lankem Ceylon PLC

Lankem Ceylon PLC, a subsidiary, has classified its lease rights at Nawam Mawatha and Kandathoduwawa, Puttalam as held for Sale since the Board of Directors has decided to proceed with selling the asset. Indicative values/proceeds of lands are Rs. 60 Million as at 31st March 2020.

23 STATED CAPITAL

As at 31st March,	2020		2019	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	180,000,000	327,000	180,000,000	327,000
Number Shares Issued due to Rights Issue	40,336,805	403,368	-	-
At the end of the Year	220,336,805	730,368	180,000,000	327,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

The Company made a Rights Issue of 60,000,000 Ordinary Shares at a price of Rs. 10/- per share to the holders of the issued Ordinary Shares of the Company as at the end of trading on 31st January, 2020, in the proportion of one (1) New Ordinary Share for every three (3) existing issued Ordinary Shares held. The issue closed on 25th February 2020 and 40,336,805 shares were issued and the total consideration received was Rs. 403,368,050/-. The Rights shares were allotted on 10th March 2020. The proceeds of the Rights Issue were utilised to settle inter-company borrowings and bank borrowings.

24 CAPITAL RESERVES

	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
GROUP			
Balance as at 31.03.2019	15,190	4,868	20,058
Balance as at 31.03.2020	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2019	10,000	-	10,000
Balance as at 31.03.2020	10,000	-	10,000

24.1 Nature and the Purpose of Reserves

24.1.1 Capital Reserves

24.1.1.1 Property Development Reserve

Represents the amount set aside for future development of properties.

24.1.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

24.1.2 Reserves

24.1.2.1 Financial Assets at FVOCI

The amount set aside out of retained profits for the changes in the fair value of investments classified as FVOCI.

24.1.2.2 Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve represents the differences between translated values of assets and liabilities of foreign operations at the exchange rate as at reporting date and historical rate

24.1.2.3 Revaluation Reserve

The Revaluation reserve relates to freehold lands which have been revalued by the Group

24.1.2.4 General Reserve

General reserve is the reserve set aside for general purposes.

25 LOANS & BORROWINGS

	GROUP		COMPANY	
As at 31st March,	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 25.1.1)	644,670	348,450	-	-
Lease Obligation- Others (Note 25.2.1)	650,357	88,894	1,518	3,261
Term Loans (Note 25.3)	7,318,447	6,832,749	52,486	104,552
Debentures (Note 25.4)	439,404	430,000	-	-
	9,052,878	7,700,093	54,004	107,813
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 25.1.1)	2,369	7,623	-	-
Lease Obligation - Others (Note 25.2.1)	156,597	22,548	1,744	1,470
Term Loans (Note 25.3)	3,590,614	4,020,984	51,639	45,106
Debentures (Note 25.4)	18,877	250,000	-	-
Trust receipt Loans (Note 25.6)	3,076,876	2,509,431	-	-
Other Short Term Loans	4,274,886	4,039,402	-	-
	11,120,219	10,849,988	53,383	46,576
	20,173,097	18,550,081	107,387	154,389

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
25.1 Lease Obligation - JEDB/SLSPC				
At the beginning of the year	356,073	581,413	-	-
Impact due to initial application of SLFRS 16	293,200	-	-	-
Adjusted Balance at the beginning of the year	649,273	581,413	-	-
Interest Charge for the year	91,527	91,381	-	-
Payments made during the Year	(93,761)	(91,381)	-	-
Less: Finance cost applicable for future Period	-	(225,340)	-	-
Net Lease Obligations	647,039	356,073	-	-
Amounts Recognised in Profit and Loss				
Interest charged during the year	91,527	91,381	-	-
Amounts Recognised in Cash Flow				
Payments made during the year	(93,761)	(91,381)	-	-
25.1.1 Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year end				
Gross Lease Obligations	93,761	22,170	-	-
Less: Finance cost applicable for future Period	(91,392)	(14,547)	-	-
Net Lease Obligations Repayable within One Year from the Year end	2,369	7,623	-	-
Lease Obligations Repayable within Two to Five Years				
Gross Lease Obligations	375,054	66,511	-	-
Less: Finance cost applicable for future Period	(363,400)	(41,765)	-	-
Net Lease Obligations Repayable within Two to Five Years	11,654	24,746	-	-
Lease Obligations Repayable after Five Years				
Gross Lease Obligations	2,367,368	492,732	-	-
Less: Interest in Suspense	(1,734,351)	(169,028)	-	-
Net Lease Obligations Repayable after Five Years	633,017	323,704	-	-
Net Lease Liability Repayable after One Year	644,670	348,450	-	-

Kotagala Plantations PLC

Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC.

In terms of the amendment of leases, Rs.22.2 million is payable each year as lease rental, commencing from 22.06.1996 till the end of the lease on 21.06.2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflator in the form of contingent rent.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
25.2 Lease Creditors - Others				
Balance at the beginning	114,102	225,594	5,969	8,140
Adjustment Due to Initial application of SLFRS 16	751,962	-	-	-
Adjusted Balance at the beginning of the year	866,064	225,594	5,969	8,140
Leases acquired during the Year	101,911	3,381	-	-
Payments made during the Year	(160,217)	(114,873)	(2,171)	(2,171)
	807,758	114,102	3,798	5,969
Less: Interest in Suspense	(804)	(2,660)	(537)	(1,237)
Balance at the end	806,954	111,442	3,261	4,732
Amounts Recognised in Profit and Loss				
Interest charged during the year	57,369	10,731	700	931
Amounts Recognised in Cash Flow				
Payments made during the year	(157,557)	(114,873)	(2,171)	(2,171)
25.2.1 Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year End				
Gross Liability	156,799	14,586	2,171	2,171
Less : Interest in Suspense	(202)	7,962	(427)	(701)
Net Lease Obligations Repayable within One Year from Year End	156,597	22,548	1,744	1,470
Lease Obligations Repayable after one year				
Gross Liability	650,959	93,475	1,628	3,799
Less : Interest in Suspense	(602)	(4,581)	(110)	(538)
Net Lease Obligations Repayable within Two to Five Years	650,357	88,894	1,518	3,261
25.3 Term Loans				
Balance at the beginning	10,853,733	9,996,475	149,658	231,620
Loans obtained during the Year	4,036,466	5,315,646	-	-
Re-Schedule During the year	-	117,399	-	-
Effect of Exchange Fluctuations	37,270	71,782	-	-
Payments made during the Year	(4,018,408)	(4,647,569)	(45,533)	(81,962)
Balance at the end	10,909,061	10,853,733	104,125	149,658
Payable within one Year	(3,590,614)	(4,020,984)	(51,639)	(45,106)
Payable after one Year	7,318,447	6,832,749	52,486	104,552

Notes to the Financial Statements contd.

25.4 Kotagala Plantations PLC a Subsidiary has issued Rs.500 Mn rated secured redeemable listed Debentures. The details are as follows;

25.4.1 Rated Secured Redeemable Listed Debentures - before restructure

Debenture Type	Year of Issue	Year of Redemption	Colombo Stock Exchange Listing	Issued Value	Interest Payable Frequency	Interest Rate %	Bond rate of comparable Government security %	Outstanding Balance as at 31st March	
								2020 Rs'000	2019 Rs'000
A	2014	2018	Listed	Rs.250Mn	Bi- Annually	14.25	11.41	-	-
B	2014	2019	Listed	Rs.250Mn	Bi- Annually	14.50	12.02	-	250,000
C	2014	2020	Listed	Rs.250Mn	Bi- Annually	14.75	12.12	250,000	250,000
D	2014	2021	Listed	Rs.250Mn	Bi- Annually	15.00	12.57	250,000	250,000
								500,000	750,000
Debentures Held By Related Companies of the Group								(41,719)	(70,000)
Debentures Non-related								458,281	680,000

25.4.2 Restructure of debenture payments

The redemption on above Type C and Type D debentures are restructured as per the board resolution passed on 14th September 2020;

Terms of Repayment	Type C		Type D					
			Non-related					Related
	Related	Non - related	D1	D2	D3	D4	D5	D6
Allotment date	1st September 2020							
Tenor	6 Years	5 Years	1 Year	2 Years	3 Years	4 Years	5 Years	6 Years
Capital repayment	Equal monthly capital repayment							
Interest	7.5% p.a.							
Starting date	30th September 2025	30th September 2020	31st August 2021	31st August 2022	31st August 2023	31st August 2024	31st August 2025	31st August 2026
Outstanding interest	Outstanding interest from the last interest payment date to the allotment date to be calculated at 7.5% per annum (On an actual basis) and paid over a 12-month period in equal amounts							

Capital Repayment	Year of Issue	Debenture Holder	(Rs'000)						
			2021	2022	2023	2024	2025	2026	2027
Type C	2014	Related	-	-	-	-	-	51,449	36,749
		Non-related	18,877	32,361	32,361	32,361	32,361	13,484	-
Type D	2014	Related	-	-	-	-	-	-	41,823
		Non-related	-	41,636	41,636	41,636	41,636	41,636	-

25.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Sampath Bank PLC	48.00	72.00	AWPLR + 2.5	Five equal annual instalments of Rs.24 million commencing from December, 2017.	Lien over 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
	Commercial Bank of Ceylon PLC Term Loan II	55.00	75.00	AWPLR + 3	Twenty equal quarterly instalments of Rs.5 million each.	Leeway of Rs.62.50 million available in existing Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million and Quaternary Mortgage Bond for Rs.87.50 million over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
	L B Finance PLC	1.12	2.66	12.5	In 36 monthly instalments of Rs.124,119/- each together with interest payable monthly on reducing balance of capital.	
		104.12	149.66			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC	Hatton National Bank PLC	-	29.66		In 59 equal monthly instalments of Rs.3,340,000/- and final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
	Sampath Bank PLC Term Loan I	69.57	56.90		Each sub loans to be paid in 60 monthly installments along with interest on 26th day of each month.	Loan agreement for respective sub loan amounts and mortgage over respective machinery to be imported and installed at the factory premises at Millewa estate Millewa.
	Sampath Bank PLC Term Loan II	5.45	6.74		In 71 equal monthly instalments of Rs.117,000/- and a final instalment Rs.186,000/-.	Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.8,493,000/-.
	Commercial Bank of Ceylon PLC Term Loan I	-	14.80		In 24 equal monthly instalment of Rs.1,830,000 each and a final instalment Rs. 1,834,164.86 together with interest.	Primary Mortgage Bond for Rs.100 million over industrial machinery imported through the Bank for the expansion of the personal care unit and installed at Millewa, Padukka.
	Commercial Bank of Ceylon PLC Term Loan II	14.83	34.87		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over the machinery.
	Commercial Bank of Ceylon PLC Term Loan III	64.80	93.00		In 59 equal monthly instalments of Rs.2,350,000/- each and final instalment of Rs.1,350,000/-	Primary Mortgage Bond to be executed for Rs.140 million over machinery.
	Nations Trust Bank PLC Term Loan I	4.15	49.99		47 monthly equal capital instalments of Rs.4,167,000/- and a final capital instalment of Rs.4,151,000/-.	Loan agreement for Rs.200 million.
	Nations Trust Bank PLC Term Loan II	3.70	25.15		35 monthly equal capital instalments of Rs.1,950,000/- and a final capital instalment of Rs.1,750,000/-.	Term loan agreement for Rs.70 million.
	Nations Trust Bank PLC Term Loan III	11.48	18.13		46 equal monthly instalments of Rs.702,000/- and final instalment of Rs.708,000/-.	Term loan agreement for Rs. 33 million.
	DFCC Bank	100.00	161.11		36 equal monthly instalments after a grace period of 01 month from the date of first disbursement.	A promissory note for Rs. 200 million.
		273.98	490.35			

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E. B. Creasy Logistics Limited	Sampath Bank PLC Term Loan I	5.49	8.04		Repayable over 48 equal monthly instalments of Rs.307,604/-.	Mortgage executed over movable machinery and racking equipment import under facility.
	Sampath Bank PLC Term Loan II	1.79	2.49		Repayable over 48 equal monthly instalments of Rs.88,510/-.	
	Sampath Bank PLC Term Loan III	1.22	1.74		Repayable over 48 equal monthly instalments of Rs.65,201/-.	
		8.50	12.27			
Muller & Phipps (Ceylon) PLC	Hatton National Bank PLC	84.04	-		In 24 equal monthly instalments of Rs. 3.75 million each.	Letter of awareness from Muller & Phipps (Ceylon) PLC.
		84.04	-			
Lankem Ceylon PLC	Sampath Bank PLC Term Loan I	60.11	60.11		In 60 monthly instalments in following manner after a grace period of 12 months. 1-12 months - Rs.0.25 million, 13-24 months - Rs.0.625 million, 25- 36 months - Rs.0.750 million, 37-48 months - Rs.0.875 million, 49-59 months - Rs.2.71 million 60th month Rs.0.302 million per month, interest to be serviced separately on monthly basis.	(a) Term Loan Agreement of Rs.60.11 million. (b) Term Loan Agreement of Rs.189.888 million. (c) Hypothecation bond over stocks and book debts of Pannala Rs.450 million. (d) Corporate guarantee of E.B. Creasy & Company PLC Rs. 250 million.
	Sampath Bank PLC Term Loan II	189.89	83.21		In addition to this loan Rs.106.68 Million is granted in Month of April 19. In 60 monthly installments in following manner after a grace period of 12 months. 1-12 months - Rs.0.75 million, 13-24 months - Rs.1.875 million, 25-36 months - Rs.2.250 million, 37-48 months - Rs.2.625 million, 49-59 months - Rs.8.130 million 60th month Rs.10.458million per month, interest to be serviced separately on monthly basis.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Commercial Bank of Ceylon PLC Term Loan I	26.80	36.50		In December 2017 Existing loan was convert to new reschedulement facility. Repayable in 55 equal monthly of Rs.0.96 million and a final instalment of Rs. 0.76 million together with interest.	
	Commercial Bank of Ceylon PLC Term Loan II	138.40	162.40		In December 2017 Existing loan was convert to new reschedulement facility. In 57 monthly installments of Yr -1 equal instalments Rs. 0.5 million Yr -2 equal instalments Rs. 2 million Yr- 3 equal instalments Rs. 3 million Yr- 4 equal instalments Rs. 5 million Yr -5 equal instalments Rs. 5.5 million for 8 months and a final instalment of Rs.4.4 million together with interest payable monthly on reducing balance of capital.	(a) Primary Mortgage for Rs. 200 million over land at Ja-ela & Gonawala. (b) Secondary Mortgage Bond No. 528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs. 307 million over above property. (d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by the Company.
	Commercial Bank of Ceylon PLC Term Loan III	32.80	37.20		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million together with interest payable monthly on reducing balance of capital.	(e) Corporate guarantee of E.B. Creasy & Company PLC Rs.382 Million

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Commercial Bank of Ceylon PLC Term Loan IV	91.50	103.50		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 1 million Yr- 3 equal instalments of Rs. 1.5 million Yr- 4 equal instalments of Rs. 2 million Yr -5 equal instalments of Rs. 4 million for 11 months and a final instalment of Rs.8.5 million together with interest payable monthly on reducing balance of capital.	(a) Primary Mortgage for Rs. 200 million over land at Ja-ela & Gonawala. (b) Secondary Mortgage Bond No. 528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs. 307 million over above property. (d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by the Company. (e) Corporate guarantee of E.B. Creasy & Company PLC Rs.382 Million
	Commercial Bank of Ceylon PLC Term Loan V	164.00	188.00		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.2 million Yr -2 equal instalments of Rs. 0.7 million Yr -3 equal instalments of Rs. 1.3 million Yr- 4 equal instalments of Rs. 2 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs.8 million together with interest payable monthly on reducing balance of capital.	
	Commercial Bank of Ceylon PLC Term Loan VI	72.80	82.30		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.1 million Yr - 2 equal instalments of Rs. 0.4 million Yr - 3 equal instalments of Rs. 0.6 million Yr - 4 equal instalments of Rs. 1 million Yr - 5 equal instalments of Rs. 1.2 million for 11 months and a final instalment of Rs. 1.6 million together with interest payable monthly on reducing balance of capital.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Peoples' Bank	545.00	545.00		In May 2018 existing loan Rs.555 million was converted to new re-schedulement facility. After re-schedulement Month 2 onwards Rs.2.5 million for 6 Months, Rs.8 million for 12 Months and Rs. 17.76 million for 25 Months.	Mortgage over stocks and Book debts on crystallization basis.
	National Development Bank	227.64	250.90		Payable over 48 monthly instalments.	Mortgage over stocks and Book debts
	Bank of Ceylon	288.00	335.00		In 60 monthly installments inclusive of 12 Months Grace Period.	Assignment over public quoted shares 16,000,000 of C.W.Mackie PLC.
	Central Finance Co. PLC	14.42	21.56		In 48 monthly equal instalments of Capital & Interest of Rs.0.917 million each.	Mortgage and special power of Attorney of 10 No. of Double cab vehicle Promissory Note.
	Union Bank Term Loan I	22.00	32.49		In 36 monthly instalments of Yr - 1 equal instalments of Rs. 0.75 million Yr - 2 equal instalments of Rs. 1 million Yr - 3 equal instalments of Rs. 1.5 million for 11 months and a final instalment of Rs. 2.5 million. together with interest payable monthly on reducing balance of capital.	Pledge over trading shares for Rs.121 million held in slash Account. Shares given below; C.W.Mackie 2,137,526 No. of Shares Marawilla Resorts PLC 11,023,676 No. of Shares, Lankem Development PLC 2,480,626 No. of Shares.
	Union Bank Term Loan II	67.40	74.00		In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.	

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Nations Trust Bank	274.10	273.69		In Sep 19 Existing loan of Rs.275 million was convert to new reschedule facility. In 36 monthly installments of 12 monthly instalments Rs.0.5 million, 6 monthly instalments of Rs. 1.00 million, 6 monthly instalments of Rs.5.00 million,11 monthly instalments of Rs. 20 million and final instalments of Rs.14.11million interest to be serviced separately on monthly basis.	Mortgage over stocks and Book debts of Rs. 300 million. Letter of comfort from The Colombo Fort Land & Building PLC.
	Hatton National Bank	403.90	405.00		In 99 monthly instalments with 11 month grace period and 18 monthly instalments Rs.0.2 million, 12 monthly instalments of Rs.0.5 million, 12 monthly instalments of Rs. 1.0 million, 12 monthly instalments of Rs. 5 million, 12 monthly instalments of Rs.7.5 million, 12 monthly instalments of Rs.10 million, 9 monthly instalments of Rs.12.5 million, and final installments of Rs.0.9 million.	Letter of awareness/ comfort from The Colombo Fort Land & Building PLC
	Peoples Leasing & Finance PLC	74.20	79.24		In 48 monthly instalments in following manner. 1st 12 Months - Rs.0.50 million, 2nd 12 Months - Rs.1.00 million, Balance in equal instalment with in period of 24 months.	Security Cheques (roll over) for Rs.79.24 million and Promissory Note of Rs.79.24 million.
	Pan Asia Banking Corporation PLC	158.00	-		Repayable with in 6 years with a grace period of 12 months.	Quoted shares held in the SLASH account at the Central Depository System in join names of Pan Asia Banking Corporation PLC / Lankem Ceylon PLC (Valued as at 14.10.2019 is Rs.213 million)
		2,850.96	2,770.10			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kelani Valley Canneries Limited	Commercial Bank of Ceylon PLC	2.74	3.49	AWPLR + 3		Mortgage bond over the machinery valued Rs.3 million and motor vehicle valued Rs.9 million at Kaluaggala, Hanwella.
		2.74	3.49			
Beruwala Resorts PLC	Cargills Bank PLC Term Loan USD	187.97	176.77	LIBOR + 3.5		Primary mortgage over land and buildings of BOT Hotel Services Ltd. situated at Weligama.
	Cargills Bank PLC Term Loan SLR	62.60	64.41	AWPLR + 2		Mortgage executed over brand new high capacity Laundry machinery manufactured in the USA worth of Rs.20 million for the Term Loan from Cargills Bank Ltd.
		250.57	241.18			
Sigiriya Village Hotels PLC	Sampath Bank PLC	143.54	127.43		Repayable over 35 monthly instalments.	Mortgage over leasehold rights of the land in Sigiriya.
		143.54	127.43			
Marawila Resorts PLC	Commercial Bank of Ceylon PLC Term Loan I	18.40	19.30	AWPLR + 3	To be repaid on maturity date in May 2023.	Floating mortgage Bond No: CTY/MBO/17/06/03 dated 10/08/2017 for Rs.25 million obtained over assignment of book debts totaling US\$ 5.37 million over the Hotel premises at Marawila.
	Commercial Bank of Ceylon PLC Term Loan II	48.50	50.00		To be repaid on maturity date in December 2022.	
	Commercial Bank of Ceylon PLC Term Loan III	26.66	-		To be repaid on maturity date in August 2024.	
	Commercial Bank of Ceylon PLC Term Loan IV	223.98	218.57	3 Months LIBOR + 4.15	To be repaid on maturity date which is December 2024.	Floating Primary Mortgage Bond for Rs. 120 million to be obtained over the property situated at "Club Palm Bay". Thalwilawella, Marawila morefully depicted as Lots 03 to 09 in Plan No. 5656 dated 16.10.2016 drawn by Mr. W S S A Fernando (L/S) in extent of A 24: R:0 P 2.7 owned by Marawila Resorts PLC.
		317.54	287.87			

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Galle Fort Hotel (Private) Limited	Cargills Bank PLC Term Loan I	-	53.91	LIBRO + 4.4	Repayable over 59 monthly instalments.	Primary mortgage bond over property for Rs.35 Mn and 0.775Mn USD, mentioned as Lot X in the plan no 130 situated at Fort Village in the gramasewa division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan II	-	21.26	AWPLR + 1.95	Repayable over 58 monthly instalments.	
	Cargills Bank PLC Term Loan III	-	34.26	LIBRO + 4.0	Repayable over 59 monthly instalments.	
	Cargills Bank PLC Term Loan IV	20.68	-	AWPLR + 1.95	Repayable over 39 equal monthly instalments of Rs.530,297 and a final instalment of Rs.530,306.66 together with monthly interest.	Primary mortgage bond over property for Rs.35 Mn and 0.775Mn USD, mentioned as Lot X in the plan no 130 situated at Fort Village in the gramasewa division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan V	55.72	-	LIBRO + 4.4	Repayable over 38 equal monthly instalments of USD 7,574 and a final instalment of USD 7,578.69 together with monthly interest.	
	Cargills Bank PLC Term Loan VI	35.45	-	LIBRO + 4.0	Repayable over 40 equal monthly instalments of USD 4,584 and a final instalment of USD 4,613.60 together with monthly interest.	
		111.85	109.43			
York Hotel Management Services Limited	Commercial Bank of Ceylon PLC	12.8	15.8	AWPLR + 3		Corporate guarantee from The Colombo Fort Land & Building PLC for Rs.20 million.
		12.8	15.8			
Kotagala Plantations PLC	National Development Bank PLC Term Loan I	23.58	23.58	AWPLR+5	Payable in 63 equal monthly instalments of Rs. 2,030,000/- with a first instalment of Rs. 2,110,000/-.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan II	23.58	23.58	AWPLR+8		
	National Development Bank PLC Term Loan III	30.32	30.32		Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	National Development Bank PLC Term Loan IV	20.91	21.22	LIBOR + 8 if delayed LIBOR + 11.	Payable in 56 equal monthly instalments of \$7,000 with a first instalment of \$8,000.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan V	20.91	21.22		Payable in 56 equal monthly instalments of \$7,000 with a first instalment of \$8,000.	
	National Development Bank PLC Term Loan VI	20.91	21.22		Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	
	Sampath Bank PLC Term Loan I	403.70	486.10	AWPLR + 3.5%	Payable in 71 equal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000 with a capital grace period of 12 months.	Primary Mortgage Bond for Rs.500 million over leasehold rights of Drayton and Kelliewatte Estates in Nuwara Eliya together with factory building therein.
	People's Leasing Company PLC Term Loan I	-	29.38	20.00	Payable in 12 equal monthly instalments of Rs. 2,315,863/-.	06 vehicles offered as security.
	People's Bank Term Loan I	177.00	177.66	AWPLR + 3	Repayable within 60 instalments of Rs.3,157,777/- each and monthly interest on outstanding balance.	Mortgage over lease hold right of Mount Vernon Estate situated at Dimbula & Ukutule villages in Kotagala with in the Nuwara Eliya Pradeshiya Sabha District of Nuwara Eliya. Mortgage over lease hold right of Mayfield Estate situated at Dimbula village in Kotagala with in the Nuwara Eliya Pradeshiya Sabha District of Nuwara Eliya.
	People's Bank Term Loan II	73.00	73.78	AWPLR + 3% if delayed AWPLR + 5%	Repayable within 60 instalments of Rs.1,725,000/- each.	Immovable properties Mortgage over lease hold right of Mount Vernon estate at Patana and Mayfield Estate Hatton.
	Standard Chartered Bank	13.77	31.77	SLIBOR + 3.5%	Payable within 2 years and 10 months.	Primary Mortgage Bond over leasehold rights of Hedigalle and Eduragala Estates together with factory building therein.
	Standard Chartered Bank Packing credit loan	71.34	71.34			

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	State Mortgage Bank	2.82	12.08	19.00	Repayment in 72 equal monthly instalments of Rs.111,240/- commencing after the date of disbursement of the loan.	10 vehicles offered as security.
	Cey Bank Asset Management Limited Commercial Paper	224.92	192.57	16.50	Repayable as per the Commercial Paper maturity date.	
	Sri Lanka Tea Board Term Loan I	20.10	21.31	5.00	Repayable within 36 instalments of Rs.1,301,221/- each.	
	Sri Lanka Tea Board Term Loan II	21.25	22.50	AWPLR +1%	Repayable within 36 monthly instalments of Rs.1,250,000/- each.	
	Sri Lanka Tea Board Term Loan III	30.02	-			
	Forbes & Walker Limited	64.00	-	19.00	Repayable within 30 monthly instalments of Rs.5,000,000/- each.	The realised and unrealised values of the stock of the teas catalogued and to be catalogued with broker.
	Seylan Bank PLC	88.00	95.20	16.00	Repayable within 72 months with following installements 12 installement of Rs.400,000 + Interest 12 installement of Rs.600,000 + Interest 12 installement of Rs.1,000,000 + Interest 12 installement of Rs.1,500,000 + Interest 12 installement of Rs.2,250,000 + Interest 11 installement of Rs.2,500,000 + Interest and final installement of Rs. 3,500,000	The realized and unrealized values of the stock of the teas catalogued and to be catalogued with broker.
		1,330.14	1,354.81			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited	Sampath Bank PLC Term Loan	424.99	500.00	AWPLR + 3.5	71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.	Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.
	Seylan Bank PLC Term Loan	45.35	46.10	16	84 equal instalments commencing from 30.11.2018.	Mortgage over leasehold rights over the estate land & building fixed & floating assets of Diyagama East Estate.
	Bank of Ceylon Term Loan I	49.50	99.10	AWPLR + 1.5	First and Second instalments of Rs.416,667/- and 60 installments of Rs.4,054,598/-.	Additional mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed at each of these estates.
	Bank of Ceylon Term Loan II	162.50	200.00	AWPLR + 2.5	48 monthly instalments commencing from 12.06.2019	Tri partite agreement with borrower, bank and the tea broker - John Keels PLC and Corporate Guarantee from Lankem Ceylon PLC.
	Bank of Ceylon Term Loan III	250.00	-	AWPLR + 3.5	72 monthly installements commencing from 03/05/2020 including six months of grace period for the capital	Tri partite agreement with borrower, bank and the tea broker John Keels PLC.
	Bank of Ceylon Term Loan IV	50.00	-	AWPLR + 3	72 monthly installements commencing from 03/05/2020 including six months of grace period for the capital	A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these estate.
	Commercial Bank of Ceylon PLC Term Loan	172.67	222.50	AWPLR + 3	84 monthly instalments commencing from 05.09.2016.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.
	People's Leasing & Finance PLC Term Loan I	8.80	9.93	17.5	60 monthly instalments commencing from 10.11.2018.	Original Certificate of Vehicle.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited (Contd.)	People's Leasing & Finance PLC Term Loan II	7.12	-	20	36 monthly installments commencing from 20.11.2019	Original Certificates of Registration of the vehicles and Fixed Deposit No. 82218547.
	People's Leasing & Finance PLC Term Loan III	8.83	-	20	36 monthly installments commencing from 20.11.2019	
	People's Leasing & Finance PLC Term Loan IV	4.77	-	20	36 monthly installments commencing from 20.11.2019	
	People's Leasing & Finance PLC Term Loan V	5.7	-	20	36 monthly installments commencing from 20.11.2019	
	Seylan Merchant Bank I	23.51	-	20	36 monthly installements commencing from 13/04/2020	Original Certificates of Registration of the vehicles
	Seylan Merchant Bank II	20.56	-	18	36 monthly installements commencing from 10/03/2020	Original Certificates of Registration of the vehicles
	Sri Lanka Tea Board Term Loan I	28.33	30.00	AWPLR +1	36 monthly instalments commencing from August 2017.	
	Sri Lanka Tea Board Term Loan II	39.98	42.39	5	36 monthly instalments commencing from July 2017.	
		1,302.61	1,150.02			
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC Term Loan	44.99	44.99		84 monthly instalments commencing from 01.04.2014.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC
	People's Leasing & Finance PLC	2.15	4.09			Promissory Notes worth Rs.25 million have been pledged.
	Union Bank PLC	32.57	34.73			
		79.71	83.81			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Waverley Power (Private) Limited	Sampath Bank PLC Term Loan I	44.99	46.50		96 monthly installements.	a) Loan agreement for Rs.25 million. b) Primary mortgage bond for Rs.25 million over the entirety of shares issued by the company, supported by an irrevocable Power of Attorney
	Sampath Bank PLC Term Loan II	95.50	-		96 monthly installments commencing one month after the date of first disbursement.	Loan agreement for Rs. 125 Million.
		140.49	46.50			
Consolidated Tea Plantations Limited	National Development Bank PLC	30.42	30.42	AWPLR + 8	84 monthly instalments.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC.
		30.42	30.42			
Union Commodities (Private) Limited	Commercial Bank of Ceylon PLC	843.60	742.30	AWPLR + 1.5	Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.	Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre-shipment loan.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Union Commodities (Private) Limited	DFCC Bank PLC	187.15	284.49	LIBOR + 4.5	Each loan to be settled within a period of 90 days from the date of disbursement of or at purchase of relative export documents, whichever is earlier.	Primary concurrent Mortgage bond for Rs.100 million and book debts of the company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from Union Commodities (Private) Limited to the value of Rs.195 million.
	Hatton National Bank PLC Term Loan I	-	621.99	LIBOR + 4	Advances restricted to 80% of the value of the LC / Confirmed orders should be paid within 90 days from export proceeds.	Export Loan documents and Deposit of irrevocable Export letters of credit /confirmed orders.
	Hatton National Bank PLC Term Loan II	1,278.70	644.74	LIBOR + 5	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 6.7 million over commercial property including immovable property at Biyagama Road Thalwatte, Kelaniya. Including Buildings and every thing standing thereon.
	Hatton National Bank PLC Term Loan III	218.50	158.63	LIBOR + 5	To be paid in 119 months ending November 2029.	Registered Primary Floating Mortgage Bond for USD 1.2 million over movable machinery at Biyagama Road Thalwatte Kelaniya.
	Hatton National Bank PLC Term Loan IV	1.48	-	LIBOR + 4	To be settled immediately.	
	National Development Bank PLC	294.38	293.46	6.5	Maximum 90 days from which date make it consistent with other disclosures.	Primary Concurrent pari pasu mortgage bond over stock and book debts in favour of the Hangkong and Shanghai Bankers Corporation.
		2,823.81	2,745.61			
J.F.Packaging Limited	Sampath Bank PLC Term Loan I	-	31.16		Repayable over 5 years in 59 monthly instalments of Rs.916,700/- and a final instalment of Rs.914,700/-.	Hypothecation Bond for Rs.105 million over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Sampath Bank PLC Term Loan II	-	6.27		Repayable over 3 years in 35 monthly instalments of Rs.570,500/- and a final instalment of Rs.569,500/-.	Mortgage over Dry laminating machine and related equipment.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
J.F.Packaging Limited (Contd.)	Sampath Bank PLC Term Loan III	-	112.72		Repayable over 5 years in 60 monthly instalments of Rs.3,626,129/- and a final instalment of Rs.569,500/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.150,000,000/- & Shares of Alliance Five (Pvt) Ltd.
	Sampath Bank PLC Term Loan IV	98.58	-		Repayable over 5 years in 60 monthly instalments 1 year Rs.322,500/- 2 year Rs.1,000,000/- 3 year Rs.1,750,000/- 4 year Rs.2,250,000/- 5 year Rs.3,000,000/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.98,870,000/- & mortgage over shares of Alliance Five (Pvt) Ltd.
	Sampath Bank PLC Term Loan V	25.17	-		Repayable over 5 years in 60 monthly instalments 1 year Rs.125,000/- 2 year Rs.250,000/- 3 year Rs.450,000/- 4 year Rs.575,000/- 5 year Rs.738,800/-.	
	Sampath Bank PLC Term Loan VI	2.66	-		Repayable over 5 years in 60 monthly instalments of Rs.47,500/-.	Mortgage over Dry laminating machine and related equipment.
	Sampath Bank PLC Term Loan VII	24.50	-		Repayable over 2 years in 24 monthly instalments 1 year Rs.125,000/- 2 year Rs.1,958,000/- and a final instalment of Rs.1,957,000/-.	
	Sampath Bank PLC Term Loan VIII	3.92	-		Repayable over 2 years in 23 equal monthly instalments of Rs.196,700/- and a final instalment of Rs.195,900/-.	

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
J.F.Packaging Limited (Contd.)	Bank of Ceylon Term Loan I	-	4.13		Repayable over 8 years in equal monthly instalments of Rs.1,032,967/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan II	-	0.65		Repayable over 5 years in 60 equal monthly instalments of Rs.337,079/-	
	Bank of Ceylon Term Loan III	-	3.36		Repayable over 5 years in 60 equal monthly instalments of Rs.500,000/-.	
	Bank of Ceylon Term Loan IV	122.57	128.52		Repayable over 4 years in 48 equal monthly instalments of Rs.3,125,000/-.	
	Bank of Ceylon Term Loan V	71.97	96.22		Repayable over 6 years in 72 equal monthly instalments of Rs.2,083,333/-.	
	Bank of Ceylon Term Loan VI	238.33	297.92		Repayable over 5 years in 60 equal monthly instalments of Rs.5,416,667/-.	
	Bank of Ceylon Term Loan VII	102.67	128.33		Repayable over 5 years in 60 equal monthly instalments of Rs.2,333,333/-.	
	Nations Trust Bank PLC	105.13	113.13		Repayable over 4 years 16 installment -Rs.1,000,000/- 32 installment -Rs.3,300,000/-	Mortgage over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
		795.50	922.41			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Candy Delights Limited	Hatton National Bank PLC Term Loan I	44.16	58.13	AWPLR + 2	To be repaid in 48 equal monthly instalments of Rs.1.25 million.	Primary Floating Mortgage Bond for Rs.60 million over the new movable machinery and equipment imported at a cost of Rs.82 million and Lying at Candy Delights Limited; Unit 3, Industrial Estate, Ekala.
	Hatton National Bank PLC Term Loan II	65.12	87.06		To be repaid in 48 equal monthly instalments of Rs. 1.875 million.	Registered Primary Floating Mortgage Bond for Rs.120 million over land, immovable machinery situated at 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/ or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fitting, services and such other rights attached or appertaining.
		109.28	145.19			
SunAgro Foods Limited	Sampath Bank PLC	9.60	-		In 25 monthly installments of Rs.100,000/- each for first 12 months, Rs.200,000/- each for next 12 months and a final installment of Rs.6,400,000/- on 26th day of each month commencing from September 2019.	Loan agreement and Corporate Guarantee from Lankem Ceylon PLC amounting to Rs.10 Mn.
		9.60	-			

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Sunagro Lifescience Limited	Commercial Bank of Ceylon PLC	127.06	144.06		Repayable over 60 monthly instalments.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.100 million.
	People's Leasing & Finance PLC Term Loan	46.86	53.86		Repayable over 48 monthly instalments.	Security Cheques (roll over) for Rs.53.86 million and Promissory Note of Rs.53.86 million.
	Peoples Leasing & Finance PLC - Short Term Loan	153.02	154.97		Monthly Repayment Rs. 150,000.	Security cheque to be lodged with People's Leasing Finance PLC for Rs. 154,972,027 Promissory Note of Rs. 154,972,027 & Corporate guarantee of Lankem Ceylon PLC to the value of Rs. 154,972,027.
	Siyapatha Finance	48.74	-		Monthly payments as per the schedule given by the Siyapatha Finance.	Lankem Ceylon PLC for Rs. 50 million.
		375.68	352.89			
Lanka Special Steel Limited	Nations Trust Bank PLC	-	31.25		48 monthly equal capital instalments of Rs. 3,125,000/-.	Secondary Mortgage over plant & machinery of the Company.
	Commercial Bank of Ceylon PLC	71.90	90.26		In 59 equal monthly instalment of Rs. 1,530,000/- and a final instalment of a Rs. 1,519,145/-.	Primary mortgage bond for Rs.91.8 million over wire drawing plant with accessories.
	DFCC Bank PLC	19.79	-		In 24 equal monthly instalments of Rs.1,041,667/- each.	Primary mortgage bond for Rs. 25 million over movable machinery in the plant & a mortgage for Rs. 300 million over stocks in the plant.
		91.69	121.51			
Ceyflex Rubber Limited	Nations Trust Bank PLC	27.68	42.24	AWPLR + 3	47 equal monthly instalments of Rs. 2,700,000/- each and a final installment of Rs. 3,100,000/- after a grace period of 6 months.	Primary mortgage bond for Rs. 150 million over Rights under the Board of Investments Agreement No.28 dated 12/05/2016, Buildings and Machinery on the project property at Horana Export Processing Zone. Simple lodgment of 100,000 Nos (unquoted) shares of Ceyflex Rubber Limited owned by E. B. Creasy & Company PLC.
		27.68	42.24			
Kiffs (Private) Limited	National Development Bank PLC Loan I	5.00	6.87		Repayable over 4 years in equal monthly capital of Rs.156,250/-.	Primary Mortgage over equipment located at No.179/6, Ragama Road, Kadawatha.
		5.00	6.87			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Colonial Motors (Ceylon) Limited	Commercial Bank of Ceylon PLC - Short Term Loan	50.24	-	AWPLR + 1.75 p.a	Repayable within 120 days	Floating Primary Mortgage Bond No.3639 - No.41/35,Nagahamulla Road,Thalangama South and more fully depicted as Lot A in plan No.1706A dated 30.09.2004 drawn by Mr.K M A H Bandara (L/S) in extent of 133.0 Perches owned by M/s. Colonial Motors (Ceylon) Ltd. Floating Primary Mortgage Bond No.CTY/VM/14/05 dated 25/02/2015 for Rs.66.0 Mn .Obtained over the Stocks of "Mazda" brand Vehicles and spare parts (Mazda/Tata/Land Rover) and/ or other movable assets. Floating Secondary Mortgage Bond No.CTY/15/04 dated 20.08.2015 for Rs.20.0 Mn over stocks obtained.

	Company/ Lender	Balance as at 31.03.2020 Rs. million	Balance as at 31.03.2019 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Colonial Motors (Ceylon) Limited (Contd.)	Commercial Bank of Ceylon PLC - Diribala - 1903944	6.68	9.29	8.5 p.a	58 monthly instalments of Rs.238,000/- and a final instalment of Rs.246,000/- with interest.	
	Commercial Bank of Ceylon PLC - Diribala - 1851271	7.10	10.81	8.5 p.a	53 monthly instalments of Rs.310,000/- and a final instalment of Rs.270,000/- with interest.	
	Commercial Bank of Ceylon PLC - Diribala - 1859449	28.20	37.58	8.5 p.a	Payable in monthly instalments of Rs.710,000/- for 10 months, Rs.665,000/- for 6 months, Rs.760,000/- for 10 months, Rs.825,000/- 10 months, Rs.900,000/- 12 months and Rs.1,037,500 for 12 months.	
	Commercial Bank of Ceylon PLC - Financial Lease	2.48	3.38	13.5 p.a	48 equal monthly instalments of Rs.117,476/-.	
	Hatton National Bank PLC - Short Term Loan	159.65	170.00	AWPLR + 1.25 p.a	Repayable eithin 180 days	Demand Promissory Note for Rs.215Mn
	Hatton National Bank PLC - Long Term Loan	29.52	36.75	AWPLR + 1.5 p.a	60 equal monthly instalments of Rs.750,000/- after an intial grace period of 06 months.	Demand Promissory Note for Rs.215Mn
	National Development Bank PLC - Short Term Loan	62.02	200	15% p.a		Primary Mortgage over stocks and book debts.
	National Development Bank PLC - Medium Short Term Loan	150.00		16 p.a		
		495.89	467.81			

Notes to the Financial Statements contd.

25.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans.

As at 31st March,	GROUP	
	2020 Rs.'000	2019 Rs.'000
E. B. Creasy & Company PLC	480,710	408,507
Lankem Ceylon PLC	1,285,744	948,821
Darley Butler & Company Limited	439,567	160,835
Laxapana Batteries PLC	63,657	92,379
Candy Delights Limited	4,473	5,235
Sun Agro Life Science Limited	128,645	-
J F Packageing Limited	674,080	510,564
Muller & Phipps (Ceylon) PLC	138,468	383,090
	3,076,876	2,509,431

E.B. Creasy & Company PLC

The Company's trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 and stocks in trade and assignments of book debts.

Darley Butler & Company Limited

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 and stocks in trade and assignments of book debts.

Pettah Pharmacy (Pvt) Limited

Trust receipt loans are secured by existing mortgage bonds to banks over pharmaceutical stocks in trade and assignments of book debts.

Candy Delights Limited

Trust Receipt loan is secured by floating charge on imported inventories at Unit Three Industrial Estate, Ekala, Ja- Ela and book debt.

Laxapana Batteries PLC

Company/ Lender	Facility No.	Interest	Outstanding as at 31.03.2020 Rs. 000	Outstanding as at 31.03.2019 Rs. 000	Terms of Repayment	Security Pledged
Sampath Bank PLC	Revolving Trust Receipt loan of Rs. 80 million.	AWPLR + 1.25	23,938	44,601	Each loan to be settled within 120 days from the date of grant.	Existing Primary Mortgage bond of Rs.95.9 million over the property situated in Panagoda, Homagama.
Union Bank of Colombo PLC	Revolving Trust Receipt loan of Rs. 20 million.	AWPLR + 2	-	16,060	Each loan to be settled within 120 days from the date of grant.	Primary floating mortgage bond of Rs.20 million over stocks at Company premises in Panagoda, Homagama and warehouse at Sapugaskanda and assignment over book debts.
DFCC Bank PLC	Revolving Trust Receipt loan of Rs. 60 million.	AWPLR + 1	39,719	31,718	Each loan to be settled within 120 days from the date of grant.	Mortgage for Rs. 60 million over stocks kept at Company premises at Panagoda, Homagama and warehouse At Sapugaskanda.
			63,657	92,379		

The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities.

26 DEFERRED INCOME - CAPITAL GRANTS

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Balance at the beginning of the Year	553,922	571,160	-	-
Additions during the Year	5,779	6,429	-	-
Amortised during the Year	(11,768)	(23,667)	-	-
Balance at the end of the Year (Note 26.a)	547,933	553,922	-	-

26.a Balance at the end of the Year

Kotagala Plantations PLC	330,309	328,357	-	-
Agarapatana Plantations Limited	203,196	208,756	-	-
SunAgro Foods Limited	8,948	11,696	-	-
C.W. Mackie PLC	952	325	-	-
E B Creasy & Company PLC	4,528	4,788	-	-
	547,933	553,922	-	-

26.1 The Group's utilisation of funds received is as below:

E B Creasy and Company PLC

The Company received a grant of Rs. 5.2 million during the year ended 31st March 2018 in relation to setting up of a solar roof top power project on net metering basis under ADB funded clean energy and network efficiency improvement projects.

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

c) Sri Lanka Tea Board

Funds received are utilised for replanting.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Agarapatana Plantations Ltd., has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank, Plantation Reform Project and Ministry of Livestock Development for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilised for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and the grant component is reflected under deferred Income.

Notes to the Financial Statements contd.

SunAgro Foods Limited

The Company has received grants from the USAID/ CORE project amounting to Rs.27.49 million for the purpose of establishing an out grower cereal cultivation with 1,000 farmers and to set up a processing facility for cereal legume mixture manufacturing in the Trincomalee District. The grant has been amortised over the useful lifetime of the assets.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited (KVC) has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounting to Rs.500,000/- for the acquisition of fully automated jam cup filling machine which was total cost of Rs.1.3 million. During the year, the Company has received Rs.702,375/- related the above said grant. The grant was received under the scheme with the aim of facilitating Micro Small and Medium Enterprise's (MSME) engaged in food based products by supporting them with funds needed to acquire new technology or purchase modern machinery to enhance the quality or productivity of their production. The government grant recognised as deferred income is being amortised over the useful life of the machinery.

The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

27 DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Balance at the beginning of the Year	2,281,509	1,129,441	195,260	188,875
Disposal of Subsidiary	(163,837)	-	-	-
On initial application of SLFRS 16	(2,999)	(157,938)	-	-
Origination/(Reversal) of Temporary Differences Recognised in Profit / (Loss) for the Year	45,101	(78,314)	609	6,385
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Other Comprehensive Income	(24,734)	1,412,784	-	-
Transfer from Deferred Tax Assets (Note 18)	-	(24,464)	-	-
Balance at the end of the year	2,135,040	2,281,509	195,869	195,260

27.1 Deferred Tax Composition

Property Plant and Equipment & Investment Property	2,336,571	2,387,761	33,258	31,316
Revaluation Surplus on Land	1,228,381	674,789	174,055	174,055
Right to use Assets	104,821	-	-	-
Lease Liability	(83,453)	-	-	-
Defined Benefit Obligations	(478,684)	(118,237)	-	-
Impairment of Inventory	1,232	(1,219)	-	-
Impairment of Debtors	(28,290)	(7,678)	-	-
Impairment of Financial Assets	(19,353)	(15,098)	-	-
Tax loss carried forward	(926,185)	(638,809)	(11,444)	(10,111)
	2,135,040	2,281,509	195,869	195,260

28 EMPLOYEE BENEFITS

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Fair Value of Plan Assets (Note 28.1)	58,885	56,143	-	-
Present Value of the Funded Obligations (Note 28.2)	264,395	226,022	-	-
Present Value of the Unfunded Obligations (Note 28.4)	3,308,814	2,913,207	-	-
Total Present Value of Retirement Benefit Obligations	3,573,209	3,139,229	-	-

28.1 Fair Value of Plan Assets

Movements in Fair Value of Plan Assets

Fair Value of Plan Assets as at 01st April	56,143	46,828	-	-
Contribution Paid to the Plan Assets	13,025	12,087	-	-
Expected Return on Plan Assets	5,785	4,804	-	-
Benefits Paid by the Plan	(12,415)	(6,896)	-	-
Actuarial Gains/(Losses)	(3,653)	(680)	-	-
Fair Value of Plan Assets as at 31st March	58,885	56,143	-	-

28.2 Present Value of the Funded Obligations

Movement in Present Value of Funded Obligations

Present value of Defined Benefit Obligations as at 1st April	226,022	238,542	-	-
Provision for the Year (Note 28.2.1)	44,401	45,585	-	-
	270,423	284,127	-	-
Inter-Company Liability Transfers	(3,476)	(1,340)	-	-
Benefits paid by the Plan	(22,560)	(23,702)	-	-
Actuarial Losses (Note 28.2.1)	20,008	(33,063)	-	-
Present Value of Defined Benefit Obligations as at 31st March	264,395	226,022	-	-

28.2.1 Expenses Recognised in the Statement of Comprehensive Income

Current Service Cost	18,409	19,493	-	-
Interest Cost	25,992	26,092	-	-
Provision for the Year	44,401	45,585	-	-
Net Actuarial (Gains)/Losses	20,008	(33,063)	-	-
	64,409	12,522	-	-

28.3 Present Value of Net Obligations

Fair Value of Plan Assets	58,885	56,143	-	-
Present Value of Funded Obligations	(264,395)	(226,022)	-	-
Present Value of Net Funded Obligations	(205,510)	(169,879)	-	-

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
28.4 Present Value of the Unfunded Obligation				
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations as at 1st April	2,913,207	2,632,593	-	-
Acquisition of Subsidiaries	(39,570)	3,000	-	-
Provision for the year (Note 28.4.1)	543,379	463,172	-	-
	3,417,016	3,098,765	-	-
Inter-company Liability Transfers				
Benefits paid by the Plan	(65,042)	(216,109)	-	-
Actuarial (Gains)/Losses (Note 28.4.1)	(43,160)	30,551	-	-
Present value of Defined Benefit Obligations as at 31st March	3,308,814	2,913,207	-	-
28.4.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	206,913	234,252	-	-
Interest Cost	336,466	228,920	-	-
Provision for the Year	543,379	463,172	-	-
Net Actuarial (Gains)/Losses	(43,160)	30,551	-	-
	500,219	493,723	-	-

Agarapatana Plantations Limited

According to the valuation done based on the full actuarial valuation carried out by a professionally qualified actuary firm M/s. Actuarial and Management Consultants (Pvt) Ltd as at 31st March 2020, the liability is Rs.1,531 million. If the Company had provided for gratuity for all employees on the basis of 14 days wages for workers and a half month salary for staff for each completed year of service for the year ended 31st March 2020, the liability would have been Rs 1,700 million (2019 - Rs.1,341 million). Hence, there is a contingent liability of Rs.168 million which would crystallise only if the Company ceases to be a going concern.

Kotagala Plantations PLC

The actuarial valuation had been carried out by Messrs. Actuarial & Management Consultants (Private) Limited. According to the valuation the gratuity liability on employees of the Company as at 31st March 2020 is Rs.873.81 million (2019 - Rs. 757.56 million).

Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Priyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2020. The actuarial present value of the accrued benefits as at 31st March 2020 is Rs. 11.61 million (2019 - Rs.8.46 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2020 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2020 is Rs.17.92 million (2019 - Rs.15.80 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March, 2020 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The actuarial present value of the accrued benefits as at 31st March 2020 is Rs. 12.01 million (2019 - Rs.8.61 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

C.W. Mackie PLC

The retirement benefit obligations as at 31 st March, 2020 is based on actuarial valuation carried out by Messrs. Piyal S Goonethilleke, Fellow of the Society of Actuaries (USA) , Member of American Academy of Actuaries, Consulting Actuary of Messrs .Piyal Goonetilleke and Associates and appropriate adjustments have been effected in the financial statements.

The liability as at 31st March, 2020 of the C.W. Mackie group was Rs.121.83 million (2019 - Rs.95.28 million).

J.F. Packaging Limited

The retirement benefit obligations as at 31st March 2019 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited. As per which liability as at 31st March 2020 was Rs.1.59 million (2019 - Rs.12.85 million).

Lankem Ceylon PLC

An actuarial valuation has been carried out as at 31st March 2020 by Messrs. Actuarial and Management Consultants (Private) Limited. as required by the Sri Lanka Accounting Standard 19 'Employee Benefits'.

Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs.3.8 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19 'Employee Benefits'.

C M Holdings PLC - Group

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31 March 2019.

E.B. Creasy & Company PLC

An actuarial valuation has been carried out as at 31st March 2020 by Messrs. Piyal. S. Goonathilake & Associates (Actuarial Valuer) as required by the Sri Lanka Accounting Standard LKAS 19 - 'Employee Benefits'.

The actuarial present value of the accrued benefits as at 31st March 2020 is Rs.521.35 million (2019 - Rs.469.74 million). The liability is not externally funded.

Present Value of the Unfunded Obligations

LKAS 19 - 'Employee benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the Obligation in order to determine the present value of the retirement benefit obligation. The key assumptions were made in arriving at the retirement benefit obligation as at 31st March 2020 in respect of following companies are stated below:

Notes to the Financial Statements contd.

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2020 Rs.million
Marawila Resorts PLC	7.5%	10%	55	11.61
Sigiriya Village Hotels PLC	7.5%	10%	55	17.92
Laxapana Batteries PLC	10%	10%	55	4.48
Lankem Ceylon PLC	8%	10%	55	138.70
Ceylon Tapes (Private) Limited	10%	10%	55	6.90
J.F.Packaging Limited	10%	10%	55	15.90
E.B. Creasy & Company PLC	10%	10%	55	521.35
E.B. Creasy Logistics Limited	10%	10%	55	1.84
Pattah Pharmacy (Private) limited	10%	10%	55	10.78
Beruwala Resorts PLC	7.5%	10%	55	12.01
BOT Hotel Services (Private) Limited	10%	10%	55	1.70
Galle Fort Hotel (Private) Limited	10%	10%	55	2.30
Darley Butler & Company Limited	10%	10%	55	174.25
Candy Delights Limited	10%	10%	55	13.26
SunAgro Life Science Limited	7.5%	10%	55	2.60
SunAgro Foods Limited	8%	10%	55	0.20
Sun Agro Farms Limited	8%	10%	55	-
Lankem Paints Limited	7.5%	10%	55	6.90
Lankem Consumer Products Limited	10%	10%	55	-
Lanka Special Steels Limited	10%	10%	55	19.71
Lak Kraft (Private) Limited	10%	10%	60	-
Sherwood Holidays Limited	10%	10%	60	1.00
Alliance Five (Private) Limited	10%	10%	55	7.00
Kiffs (Private) Limited	10%	10%	55	5.20
C M Holdings PLC - Group Colonial Motors (Ceylon) Limited	8%	10%	55	7.19
C.W. Mackie PLC - Group	10%	6.3%	Management & Allied staff - 60, other staff - 55	121.83
Kotagala Plantations PLC	Workers -16% every two years and other categories of staff - 10% p.a.	10%	60	873.81
Agarapatana Plantations Limited	Workers -16% increase once in two years and other categories of staff - 10% p.a.	10%	60	1,531.48

xii) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, C M Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels (Private) Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

28.5 Sensitivity of Assumptions Employed in Actuarial Valuation

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

Consolidated	2020		2019	
	Increase Rs.'000	Decrease Rs.'000	Increase Rs.'000	Decrease Rs.'000
Movement by 1%				
Discount Rate	(1,992,174)	1,525,866	(527,321)	611,576
Future salary scale	995,848	(1,524,788)	503,730	(425,785)

29 RENT RECEIVED IN ADVANCE

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Balance at the beginning of the Year	34,805	26,692	10,164	8,772
Received during the Year	38,833	64,771	38,086	42,244
Amount Recognised as Income during the Year	(55,168)	(56,658)	(39,362)	(40,852)
Balance at the end of the Year	18,470	34,805	8,888	10,164
Amount falling due within one Year	(8,888)	(10,164)	(8,888)	(10,164)
Amount falling due after one Year	9,582	24,641	-	-

30 TRADE & OTHER PAYABLES

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Trade Payables	2,817,212	2,722,158	-	-
Other Payables	4,966,371	4,914,245	15,650	26,866
Accrued Expenses	810,988	779,325	31,897	17,859
Bills Payables	673,581	878,887	-	-
Advance Received	355,193	516,535	-	-
Security Deposit	105,319	109,996	10,442	8,909
Unclaimed Dividend	44,392	-	5,932	5,933
	9,773,056	9,921,146	63,921	59,567

Notes to the Financial Statements contd.

31 RELATED PARTY TRANSACTIONS

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
31.1 Amounts due from Related Parties				
Subsidiaries				
Agarapatana Plantations Limited	-	-	83,835	7,054
Beruwala Resorts PLC	-	-	608	459
Colombo Fort Hotels Limited	-	-	155,727	142,583
Kotagala Plantations PLC	-	-	71,279	8,173
Lankem Ceylon PLC	-	-	37,343	38,856
Consolidated Tea Plantations Limited	-	-	12,716	30,984
Sigiriya Village Hotels PLC	-	-	1,255	1,103
Union Commodities (Private) Limited	-	-	90,529	-
Colombo Fort Group Services (Private) Limited	-	-	4,250	2,589
York Hotel Management Services Limited	-	-	456	2,943
	-	-	457,998	234,744
Less: Transferred to Loan given to Related Parties	-	-	-	-
Colombo Fort Hotels Limited	-	-	(70,000)	(70,000)
Consolidated Tea Plantations Limited	-	-	(7,000)	(27,000)
Union Commodities (Pvt) Ltd	-	-	(90,000)	-
	-	-	(167,000)	(97,000)
Less: Impairment Loss - Related Parties (Note 31.1.1)	-	-	(24,875)	(7,377)
	-	-	266,123	130,367
Other Related Parties				
Capital Finance Limited	346	346	-	-
CWM Hotel Holdings Ltd	81,939	81,939	-	-
Corporate Managers & Secretaries (Private) Limited	5,868	6,374	-	-
York Conventions (Private) Limited	5,531	5,495	3,470	3,442
Far Eastern Exports (Colombo) Limited	213	213	-	-
Property & Investment Holdings Limited	150,000	-	-	-
Others	1,895	1,559	-	-
	245,792	95,926	3,470	3,442
Less: Impairment Loss - Related Parties (Note 31.1.1)	(84,350)	(1,175)	(3,470)	-
	161,442	94,751	-	3,442
Total Amounts due from Related Parties	161,442	94,751	266,123	133,809

As at 31st March,	Group		Company	
	2020 Rs'000	2019 Rs'000	2020 Rs'000	2019 Rs'000
31.1.1 Impairment Loss				
Subsidiaries				
Colombo Fort Hotels Limited	-	-	7,213	4,550
Consolidated Tea Plantations Limited	-	-	716	1,365
Lankem Ceylon PLC	-	-	2,075	1,462
Agarapatana Plantations Limited	-	-	7,382	-
Kotagala Plantations PLC	-	-	5,427	-
York Hotel Management Services (Pvt) Ltd.	-	-	144	-
Union Commodities (Pvt) Ltd.	-	-	1,866	-
Colombo Fort Group Services (Pvt) Ltd.	-	-	15	-
Sigiriya Village Hotels PLC	-	-	15	-
Beruwala Resorts PLC	-	-	22	-
	-	-	24,875	7,377
Other Related Parties				
CWM Hotel Holdings Ltd.	81,939	-	-	-
Property & Investment Holdings (Pvt) Ltd.	1,057	-	-	-
York Conventions (Pvt) Ltd.	188	-	3,470	-
Others	1,166	1,175	-	-
	84,350	1,175	3,470	-
	84,350	1,175	28,345	7,377

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
31.2 Amounts due to Related Parties				
Subsidiaries				
C M Holdings PLC	-	-	224,394	71,524
Capital Leasing Co. Limited	-	-	3,106	1,100
Carplan Limited	-	-	10	238
Colombo Fort Holdings Limited	-	-	41,192	40,254
Creasy Plantations Management Limited	-	-	4,583	4,583
E.B. Creasy & Co PLC	-	-	18	-
Guardian Assets Management Limited	-	-	22,861	27,861
KIA Motors Limited	-	-	-	3,000
Lankem Plantations Services Limited	-	-	4,583	4,583
Lankem Tea & Rubber Plantations (Private) Limited	-	-	-	19,162
Union Investments (Private) Limited	-	-	6,748	6,748
York Arcade Holdings PLC	-	-	71,067	64,344
Imperial Hotels Limited	-	-	5,749	151,621
Union Commodities (Pvt) Ltd	-	-	35,000	-
	-	-	419,311	395,018
Associates				
Capital Investments Limited	-	1,523	-	1,524
Colombo Fort Investments PLC	2,904	49,320	2,904	49,320
Colombo Investment Trust PLC	5,503	51,710	5,503	51,710
	8,407	102,553	8,407	102,554
Affiliates				
Colombo Fort Properties (Pvt) Limited	-	-	780	624
Consolidated Holdings Limited	2,344	2,239	2,344	2,239
Corporate Holdings (Private) Limited	35,672	33,607	32,184	30,119
Corporate Managers & Secretaries (Private) Limited	40,295	50,425	20,596	28,075
Property & Investment Holdings (Private) Limited	-	22,291	-	19,370
Ceylon Tea Brokers PLC	53,196	136,193	-	-
York Conventions (Private) Limited	2,920	-	-	-
Financial Trust Limited	242,053	150,592	176,337	150,593
Sunquick Lanka (Private) Limited	350,323	546,584	-	-
Others	450	465	-	-
	727,253	942,396	232,241	231,020
Total Amounts due to Related Parties	735,660	1,044,949	659,959	728,592
Interest-bearing Borrowings (Note 31.2.1)	165,900	232,900	459,400	429,900
Non-interest-bearing Borrowings	569,760	812,049	200,559	298,692
	735,660	1,044,949	659,959	728,592

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
31.2.1 Interest-bearing Borrowings				
Subsidiaries				
C M Holdings PLC	-	-	184,500	32,000
Colombo Fort Holdings Limited	-	-	24,000	26,000
Creasy Plantation Management Limited	-	-	-	2,000
Union Commodities (Pvt) Ltd	-	-	35,000	-
Lankem Plantations Services Limited	-	-	-	2,000
York Arcade Holdings PLC	-	-	50,000	50,000
Imperial Hotels Limited	-	-	-	85,000
	-	-	293,500	197,000
Associates				
Colombo Fort Investments PLC	-	30,000	-	30,000
Colombo Investment Trust PLC	-	33,000	-	33,000
	-	63,000	-	63,000
Other Related Parties				
Consolidated Holdings (Private) Limited	800	800	800	800
Corporate Holdings (Private) Limited	15,100	15,100	15,100	15,100
Corporate Managers & Secretaries (Private) Limited	20,000	20,000	20,000	20,000
Financial Trust Limited	130,000	120,000	130,000	120,000
Property & Investment Holdings (Private) Limited	-	14,000	-	14,000
	165,900	169,900	165,900	169,900
	165,900	232,900	459,400	429,900

31.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	(4,457)	12,012
Loans (Taken)/Given	-	-	(106,500)	(30,000)
Interest (Expenses)/Income	-	-	(19,447)	(12,282)
Dividend (Paid)/Received	-	-	34,041	20,999
Rent (Taken)/Given	-	-	24,636	28,750
Guarantee Commission (Taken)/Given	-	-	624	704
(Received)/Payment of Outstanding Balances	-	-	328,064	5,804
Advance (Taken)/Given	-	-	(21,734)	2,574
Associates				
Loans (Taken)/Given	-	-	-	-
Interest (Expenses)/Income	(7,527)	(8,067)	(7,527)	(8,065)
Dividend (Paid)/Received	(1,865)	(17,820)	3,220	(7,036)
Received/(Payment) of Outstanding Balances	(107,481)	-	(107,481)	625
Transfer (Into) / Out of Current Account	1,050	(2,246)	-	-
Disposal / (Acquisition) / Issue of Shares	98,536	(342)	97,830	-

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Related Parties				
(Purchases)/Sales of Goods	976,541	1,145,042	-	-
(Received)/Payment of Rendering of Services	(676,098)	(601,913)	28	24
Dividend (Paid)/Received	-	(6,466)	-	(6,466)
Interest (Expenses)/Income	(25,125)	(21,063)	(25,125)	(21,063)
Loans (Taken)/Given	(56,700)	(30,000)	(24,152)	(30,000)
(Received)/Payment of Outstanding Balances	73,282	1,041	40,734	1,041
Advances Taken/Given	-	(18,400)	-	(18,400)

31.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

31.5 Recurrent and Non-Recurrent Related Party Transactions

During the year there were no Non-Recurrent transactions and Recurrent transactions for the Company, which exceeded the disclosure threshold mentioned in Section 9 of the Colombo Stock Exchange Rules.

31.6 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Short-Term Employee Benefits	471,529	525,189	11,400	12,113

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 16 of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

31.7 The Directors of the Company are also Directors of the following companies:

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Mr. C.P.R. Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓
Agarapatana Plantations Limited	Subsidiary	✓	✓			✓	✓	✓	
Beruwala Resorts PLC	Subsidiary		✓			✓	✓		✓
C M Holdings PLC	Subsidiary	✓	✓	✓		✓			✓
C. F. Travels Limited	Subsidiary								✓
Capital Leasing Company Limited	Subsidiary		✓			✓		✓	
Carplan Limited	Subsidiary		✓	✓					
Colombo Fort Group Services (Private) Limited	Subsidiary		✓			✓		✓	
Colombo Fort Holdings Limited	Subsidiary	✓							✓
Colombo Fort Hotels Limited	Subsidiary		✓			✓			✓
Colombo Fort Properties (Private) Limited	Subsidiary	✓							
Consolidated Tea Plantations Limited	Subsidiary	✓	✓				✓		
Creasy Plantation Management Limited	Subsidiary	✓	✓						
Darley Butler & Company Limited	Subsidiary		✓	✓	✓			✓	✓
E. B. Creasy Milk Foods Limited	Subsidiary		✓						✓
E.B. Creasy & Company PLC	Subsidiary	✓	✓	✓	✓			✓	✓
Guardian Asset Management Limited	Subsidiary		✓						
Kia Motors (Lanka) Limited	Subsidiary		✓	✓					
Kotagala Plantations PLC	Subsidiary	✓	✓	✓		✓	✓		
Lankem Ceylon PLC	Subsidiary		✓		✓	✓		✓	
Lankem Plantation Services Limited	Subsidiary	✓	✓						
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓			✓	✓		
Marawila Resorts PLC	Subsidiary		✓			✓	✓		✓
Muller & Phipps (Ceylon) PLC	Subsidiary		✓					✓	

Notes to the Financial Statements contd.

Name of the Company	Relationship	Name of the Director							
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Mr. C.P.R.Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam
SunAgro Foods Limited	Subsidiary		✓			✓			
SunAgro LifeScience Limited	Subsidiary		✓			✓			
Sigiriya Village Hotels PLC	Subsidiary		✓			✓	✓		✓
Sunquick Lanka (Private) Limited	Subsidiary					✓			
Union Investments (Private) Limited	Subsidiary	✓	✓	✓		✓			✓
York Arcade Holdings PLC	Subsidiary	✓	✓	✓					✓
York Hotel Management Services Limited	Subsidiary		✓						✓
Imperial Hotels Limited	Subsidiary		✓			✓			✓
Capital Investments Limited	Associate	✓	✓						
Colombo Fort Investments PLC	Associate	✓	✓	✓					✓
Colombo Investment Trust PLC	Associate	✓	✓	✓					✓
Capital Finance Limited	Related Company	✓							
Ceylon Tea Brokers PLC	Related Company						✓		
Consolidated Holdings (Private) Limited	Related Company	✓	✓						
Far Eastern Exports (Colombo) Limited	Related Company		✓			✓			
Financial Trust Limited	Related Company	✓				✓			✓
Property & Investment Holdings (Private) Limited	Related Company		✓			✓			✓

Mr. A.Rajaratnam resigned from the Boards of Kotagala Plantations PLC and Agarapatana Plantations Limited with effect from 30.09.2019.

Mr. Anushman Rajaratnam was appointed to the Boards of Kotagala Plantations PLC and Agarapatana Plantations Limited with effect from 01.10.2019 and to the Boards of Beruwala Resorts PLC, Marawila Resorts PLC and Sigiriya Village Hotels PLC with effect from 10.04.2019.

Mr. S.D.R. Arudpragasam and Mr. A.M. de S. Jayaratne resigned from the Boards of Carplan Limited and KIA Motors (Lanka) Limited with effect from 29.07.2019.

The above Note should be read in conjunction with Notes 15, 31 and 36.1.

32 COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

33 FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

33.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts, Amounts due from Related Companies, placements with Banking Instruments and in Government Securities.

Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

33.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Trade and Other Receivables	7,039,684	7,751,015	32,830	15,381
Amount due from Related Parties	245,792	95,926	461,468	238,186
Cash & Cash Equivalents	770,281	923,182	227,510	14,443
	8,055,757	8,770,123	721,808	268,010

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross	Impairment	Gross	Impairment	Gross	Impairment	Gross	Impairment
	31.03.2020 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2019 Rs. '000
Past due 0-365 days	-	-	-	-	260,527	-	14,944	-
More than one year	245,792	(84,350)	95,926	(1,175)	200,941	(28,345)	223,242	(7,377)
	245,792	(84,350)	95,926	(1,175)	461,468	(28,345)	238,186	(7,377)

33.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements."

As at 31st March	GROUP				COMPANY			
	2020		2019		2020		2019	
	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	20,173,097	20,173,097	11,120,219	9,052,878	18,550,081	18,550,081	10,849,988	7,700,093
Other Liabilities	358,210	358,210	348,628	9,582	398,409	398,409	373,769	24,640
Trade & Other Payables	8,606,875	8,606,875	8,606,875	-	8,625,286	8,625,286	8,625,286	-
Amounts due to Related Partys	735,660	735,660	735,660	-	1,044,949	1,044,949	1,044,949	-
Bank overdraft	3,354,992	3,354,992	3,354,992	-	3,102,465	3,102,465	3,102,465	-
Total	33,228,834	33,228,834	24,166,374	9,062,460	31,721,190	31,721,190	23,996,457	7,724,733

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March	COMPANY				COMPANY			
	2020		2019		2020		2019	
	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year	Carrying Amount	Contractual Cash Flows	Less than 1 year	More than 1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	107,387	107,387	53,383	54,004	154,389	154,389	46,576	107,813
Other Liabilities	56,916	56,916	56,916	-	58,192	58,192	58,192	-
Trade & other payables	32,024	32,024	32,024	-	41,708	41,708	41,708	-
Amounts due to Related Partys	659,959	659,959	659,959	-	728,592	728,592	728,592	-
Bank overdraft	137,251	137,251	137,251	-	-	-	-	-
Total	993,537	993,537	939,533	54,004	982,881	982,881	875,068	107,813

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

33.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

33.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2020 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Increase /(Decrease) in Exchange rate For the year ended 31st March,	Effect on Profit before Tax	
	2020 Rs.'000	2019 Rs.'000
Dollar (USA) + 10%	(297,120)	(455,103)
Dollar (USA) - 10%	297,120	455,103
Euro +10%	(2,609)	(1,245)
Euro -10%	2,609	1,245
Great Britain Pound +10%	(1,439)	(1,470)
Great Britain Pound -10%	1,439	1,470
Yen (Japan) +10%	(2,083)	(2,188)
Yen (Japan) -10%	2,083	2,188

33.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the Company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

As at 31 March	Effect on Profit before Tax	
	2020 Rs.'000	2019 Rs.'000
Variable rate instrument (1% decrease)	148,876	139,958
Variable rate instrument (1% Increase)	(148,876)	(139,958)

33.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

Notes to the Financial Statements contd.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
Total Liabilities	40,651,197	38,991,710	1,221,303	1,196,000
Less: Cash and Cash Equivalents	784,923	944,281	227,518	14,451
Net Debt	39,866,274	38,047,429	993,785	1,189,549
Total Equity	5,958,080	9,749,480	1,771,958	1,413,052
Net Debt to Equity Ratio	669%	390%	56%	84%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

33.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

Group	Note	Investments		Investments		Total Carrying Value Rs.	Fair Value Rs.
		Classified as Financial Assets FVOCI Rs.	Classified as Financial Assets FVTPL Rs.	Financial Assets at Amortised cost Rs.	Financial Liabilities at Amortised cost Rs.		
31st March, 2020							
Investment in Equity Securities	17.1	411,459	-	-	-	411,459	411,459
Unit Trust	17.1	221,317	-	-	-	221,317	221,317
Trade & Other Receivables	20	-	-	6,797,374	-	6,797,374	6,797,374
Amounts due from Related Parties	31	-	-	161,442	-	161,442	161,442
Other Financial Assets	17	-	450,876	-	-	450,876	450,876
Cash & Cash Equivalents	21	-	-	770,281	-	770,281	770,281
		632,776	450,876	7,729,097	-	8,412,749	8,412,749
Trade & Other Payables	30	-	-	-	9,773,052	9,773,052	9,773,052
Amounts due to Related Parties	31	-	-	-	735,660	735,660	735,660
Loans and Borrowings	25	-	-	-	20,173,097	20,173,097	20,173,097
Bank Overdraft	21	-	-	-	3,354,992	3,354,992	3,354,992
Other Liabilities		-	-	-	906,143	906,143	906,143
		-	-	-	34,942,944	34,942,944	34,942,944

Group		Investments Classified as Financial Assets FVOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised cost Rs.'000	Financial Liabilities at Amortised cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
31st March, 2019	Note						
Investment in Equity Securities	17.1	426,387	-	-	-	426,387	426,387
Unit trust	17.1.3	193,045	-	-	-	193,045	193,045
Trade & Other Receivables	20	-	-	7,618,522	-	7,618,522	7,618,522
Amounts due from Related Parties	31	-	-	94,751	-	94,751	94,751
Other financial assets	17.3	-	568,352	-	-	568,352	568,352
Cash & Cash Equivalents	21	-	-	923,182	-	923,182	923,182
		619,432	568,352	8,636,455	-	9,824,239	8,812,749
Trade & Other Payables	30	-	-	-	9,921,146	9,921,146	9,921,146
Amounts due to Related Parties	31	-	-	-	1,044,949	1,044,949	1,044,949
Loans and Borrowings	25	-	-	-	18,550,081	18,550,081	18,550,081
Bank Overdraft	21	-	-	-	3,102,465	3,102,465	3,102,465
Other Liabilities		-	-	-	952,331	952,331	952,331
		-	-	-	33,570,972	33,570,972	33,570,972
Company		Investments Classified as Financial Assets FVOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised cost Rs.'000	Financial Liabilities at Amortised cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
31st March, 2020	Note						
Investment in Equity Securities	17	993	-	-	-	993	993
Loans due from Related Parties	31	-	-	167,000	-	167,000	167,000
Trade & Other Receivables	20	-	-	32,830	-	32,830	32,830
Amounts due from Related Parties	31	-	-	433,123	-	433,123	433,123
Cash & Cash Equivalents	21	-	-	227,510	-	227,510	227,510
		993	-	860,463	-	861,456	861,456
Loans and Borrowings	25	-	-	-	107,386	107,386	107,386
Bank Overdraft	21	-	-	-	137,251	137,251	137,251
Trade and Other Payables	30	-	-	-	32,024	32,024	32,024
Amounts due to Related Parties	31	-	-	-	659,959	659,959	659,959
Other Liabilities		-	-	-	56,916	56,916	56,916
		-	-	-	993,536	993,536	993,536

Notes to the Financial Statements contd.

Company		Investments Classified as Financial Assets	Investments Classified as Financial Assets	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying Value	Fair Value
	Note	FVOCI Rs.'000	FVTPL Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
31st March, 2019							
Investment in Equity Securities	17.1	1,027	-	-	-	1,027	1,027
Loans due from Related Parties	31	-	-	97,000	-	97,000	97,000
Trade & Other Receivables	20	-	-	15,381	-	15,381	15,381
Amounts due from Related Parties	31	-	-	230,809	-	230,809	230,809
Cash & Cash Equivalents	21	-	-	14,443	-	14,443	14,443
		1,027	-	357,633	-	358,660	358,660
Loans and Borrowings	25	-	-	-	154,389	154,389	154,389
Trade and Other Payables	30	-	-	-	41,708	41,708	41,708
Amounts due to Related Parties	31	-	-	-	728,592	728,592	728,592
Other Liabilities		-	-	-	58,192	58,192	58,192
		-	-	-	982,881	982,881	982,881

34 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological assets						
Gain arising from changes in fair value.	Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis. Expected cash flows are discounted using a risk-adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Determination of timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content - the estimated timber prices per cubic meter - the estimated selling related costs. - the estimated maturity age - the risk-adjusted discount rate.	-	-	501 mn

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method				
	This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch /Per Square Feet	-	-	9,109 mn

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Investment property					
- Freehold land and buildings	Market comparable method / Income Method				
	Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	7,327 mn

35 CAPITAL AND FINANCIAL COMMITMENTS

35.1 Company

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

35.2 Group

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

35.2.1 Agarapatana Plantations Limited

The following are the Capital Commitments approved as at the reporting date.

As at 31st March,

	2020 Rs.Million	2019 Rs.Million
Field Development	97.3	71.7
Machinery & Factory Development	204.2	133.4

35.2.2 C W Mackie PLC

During the period, Sunquick Lanka (Private) Limited (the Joint Venture Company) entered into a contract to purchase plant and machinery worth of USD 1.5 million, of which the balance commitment outstanding as at 31 March 2020 is USD 0.31 million.

Notes to the Financial Statements contd.

36 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

36.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies Name of the Company

As at 31st March,	2020 Rs.'000	2019 Rs.'000
Commercial Bank of Ceylon PLC American Lloyd Travels Limited	10,000	10,000
Commercial Bank of Ceylon PLC York Hotel Management Limited	20,000	20,000
	30,000	30,000

Comfort letters are provided for Agaraptana Plantations Ltd and Kotagala Plantations PLC by the Company.

36.2 Group

36.2.1 Contingent Liabilities

E.B.Creasy & Company PLC

Contingent liabilities in relation to guarantees issued by E. B. Creasy & Company PLC to financial institutions on behalf of its Subsidiaries and Associate to obtain facilities from Financial Institutions, were as follows:

As at 31st March,	2020 Rs.'000	2019 Rs.'000
Darley Butler & Company Limited	460,000	130,000
Ceyflex Rubber Limited	64,353	64,353
Lankem Ceylon PLC	832,000	250,000
	1,356,353	444,353

Lanka Special Steels Limited

Lanka Special Steels Limited has given a guarantee of Rs.15,500,000/- to Sri Lanka Customs and USD 10,000/- to Bureau of Indian Standards, which were outstanding as at 31st March 2020

Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies and letters of comfort as indicated below as at 31st March 2020.

As at 31st March,	2020 Rs.'000	2019 Rs.'000
Darley Butler & Company Limited	260,000	130,000
Galle Fort Hotels Limited	-	-
Lankem Development PLC	62,080	62,080
SunAgro Foods Limited	120,000	185,000
SunAgro LifeScience Limited	404,972	310,000
Agarapatana Plantations Limited	200,000	200,000
J.F.Packaging Limited	546,870	150,000
	1,593,922	1,037,080

Comfort letters are provided for SunAgro Foods Ltd., SunAgro Farms Ltd., Lankem Consumer Products Ltd., Lankem Exports (Pvt) Ltd., Lankem Research Limited, Lankem Technology Services Ltd., Lankem Chemicals Ltd., Lankem Paints Ltd. and Nature's Link Limited and Marawila Resorts PLC by Lankem Ceylon PLC.

C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

	2020 Rs.Million	2019 Rs.Million
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	90	90
	197	197

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon by C.W. Mackie PLC on behalf of its subsidiaries' short term loan facilities, where repayment terms are less than 12 months.

Lankem Development PLC

The Company has issued a corporate guarantee amounting to Rs. 160 million to Indian Bank on behalf of Agarapathana Plantations Limited.

37 GOING CONCERN

GROUP

The Group has incurred a loss of Rs.3.7 billion and the Company has incurred a loss of Rs.44 Million respectively for the year ended 31 March 2020. Further, the Group and the Company have reported accumulated reserves of Rs.2.2 billion and Rs.1 billion respectively and current liabilities exceeded the current assets by Rs.10 billion and Rs.0.28 billion respectively as at 31 March 2020. However, the management envisages that implementation of new strategic plan focusing on core-business of the company and expansion of operations of Subsidiaries will help to establish long term sustained profitability in the business sectors in which the Group and the Company operate. Thus, the Directors are of the view that the Group and the Company would be able to continue as a going concern in the foreseeable future.

Directors of the below Subsidiary Companies are confident that the financial position of the following subsidiaries of the Group will significantly improve in coming years as a result of expected better financial performance. Accordingly, the Directors of the Companies are of the view that the below Subsidiaries are able to continue as a going concern and the Financial Statements have been prepared on the assumption on the basis that the Companies are going concern.

(i) Agarapatana Plantations Limited (AGPL)

AGPL reported a gross loss of Rs. 1,035.4 Million and a net loss of Rs. 1,211.9 Million during the year ended 31st March 2020 (2019 net loss: Rs. 102.9 Million). It reported negative net assets of Rs. 820.4 Million (2019: Positive Rs. 466.9 Million) and its current liabilities exceeded its current assets by Rs. 2,321 Million as of 31st March 2020 (2019: Rs. 1,306.9 Million).

AGPL is predominantly engaged in the cultivation of tea. Tea prices have significantly improved subsequent to the year ended 31st March 2020. Similar to the industry, AGPL strongly believe that these prices will remain firm till the end of next year and thereafter. Further, actions have been taken to revive the operations of AGPL from the loss-making position to a profitable business venture and therefore based on the future plans, the Board of directors is confident that AGPL will continue as a going concern for a foreseeable future. Adding to that, AGPL has taken following key steps to improve the financial status

- To enhance fertilizer applications, and thereby achieving a significant improvement to the yield as well as quality is expected during the 2nd half of the current year. A separate Broker funding in the form of a revolving short-term loan has been negotiated to meet this requirement.
- Negotiations are underway with Bank of Ceylon to raise a working capital facility of Rs. 200 Million at a reduced interest rate under the COVID -19 conditions. With the current AWPLR being around 6.5% the lending rate is expected to be approximately 9% (AWPLR+2.5%), which would thus be a competitive rate to replace the monthly Broker borrowings at 17%. The Company will make all attempts to avail this facility from Bank of Ceylon as a significant portion of the previous loans of Rs. 250 Million obtained from Bank of Ceylon has been successfully settled with a current outstanding balance of Rs. 50Million.

Notes to the Financial Statements contd.

- iii. The management has committed to bring in significant savings in the cost of harvesting by introducing mechanized plucking, with an increase in the production at a reduced labour cost which accounts for 60% of the cost of production. In this regard the management has strategized for 30% of the plucking extent to be mechanized within the next two years. The Company has successfully implemented the first phase of the mechanized plucking during August 2020, whereby almost 50 machines are already in operation and will be increased to 110 machines by the end of March 2021. Mechanized plucking operates by way of two pluckers per machine, harvesting at the rate of 50 Kgs per plucker per day, with a norm of 40 Kgs and the excess quantities are paid at Rs.30/- per Kg, whereas manual plucking yields 16 Kgs per plucker with a norm of 18 Kgs and the excess quantities are paid at Rs.40/- per Kg. The Company has lost a fair number of workers due to retirement etc. and as such, currently the required plucking rounds are unable to be implemented due to shortage of workers. This is also expected to be mitigated by mechanized plucking.
- iv. The management has issued a stringent operational policy on labour management that are to be strictly observed by the Estate management, whereby each estate is required to keep the total labour cost below 60% of the total cost of production, by way of deploying labour efficiently in terms of labour allocation to plucking rounds and other related works considering lean vs cropping periods whilst meeting the projected crop. This aspect of the estate management is measured on a weekly basis at Head Office, whereby a dashboard report is generated in numbers and circulated at top levels to monitor compliance. This is a tool to keep the labour cost outflows at minimum under the current financial crisis situation and to manage the available working capital funds and additional borrowings.
- v. The Board of Directors of Lankem Tea & Rubber Plantations (Pvt) Ltd, Managing Agent has decided to extend the moratorium placed on Management Fees for the coming financial year too. Further, on 16 September 2020 the Board of Directors of The Colombo Fort Land & Building PLC has provided a Letter of Comfort which has been accepted by the Board of AGPL by virtue of its resolution dated 16 September 2020 that AGPL will be getting financial assistance whenever is required to defray the external liabilities

(ii) Lankem Developments PLC

Lankem Developments PLC, a subsidiary, has incurred a loss of Rs. 135.9 Million during the year ended 31st March 2020 (2019: Rs. 33.5 Million). Its accumulated losses as of 31st March 2020 was Rs. 921.1 Million (2019: Rs. 785.1 Million). Further, the Company's net assets are less than the half of its stated capital resulting in a serious loss of capital situation as of 31st March 2020. These factors raised concerns over the appropriateness of the use of going concern assumption for the preparation of financial statements of the Company. However, the Board of Directors of the Company has determined that the use of going concern assumption in the

preparation of financial statements of the Company for the year ended 31st March 2020 is appropriate based on following factors.

The Company's principal operation is to manage its investment portfolio. The Company has recognized an impairment expense on the investment in its subsidiary Agarapathana Plantations Limited ("AGPL") amounting to Rs. 181.8 Million during the year ended 31st March 2020 (2019: Rs. 36.2 Million). This provision for impairment of Investment in subsidiary depends on market prices of peer companies in the plantation industry and performance of AGPL.

The management of AGPL has taken several steps to improve its profitability which comprises of investment initiatives on mechanization relating to plucking process to overcome the issue of worker shortage and proper application of agricultural inputs details of which are described in Note 37 (i) below

The Board of Directors of the company believe that in addition to the positive outcome from the said steps taken by the subsidiary AGPL, which will enable to improve the profitability of the AGPL, the plantation industry will also perform well in the future and as a result, market prices of peer companies in the plantation industry will increase

As such, a reversal of the impairment provision made against the investment in subsidiary AGPL will make possible the improvement in profitability and the accumulated loss situation of the Company.

In addition, the Board of Directors also believe that the 'Waverly Power Pvt Ltd, which declared dividends during the year 19/20 will continue to perform well and contribute more to the profitability of the company. WPL is currently having a power purchase agreement with CEB for 20 years.

(iii) Waverly Power (Pvt) Limited (WPL)

The Board of Directors also believe that the 'Waverly Power (Pvt) Ltd, a subsidiary of the group, operates in the power generation sector, which has reported net assets of Rs 86 million for the year will continue to perform well and further improves the company and group net assets in coming years. WPL is currently having a power purchase agreement with CEB for 20 years.

(iv) Kotagala Plantations PLC (KPL)

The Board of Directors have made an assessment of the KPL Group's ability to continue as a going concern and they do not intend either to liquidate or to cease trading.

The Group has incurred a loss of Rs 920 Million (Company- Rs. 829 Million) during the year ended 31st March 2020 and as of that date, accumulated losses amounted to Rs 1,074 Million (Company- Rs. 1,123 Million). Further, the Group's current liabilities exceeded its

current assets by LKR 3,267 Million (Company- Rs. 3,254 Million) as at the reporting date. The current liabilities of the Group include loans and borrowings amounting to LKR 668 (Company- Rs. 668 Million) Million which are due within 12 months from 31st March 2020. Further, the Company had faced certain challenges in meeting the Debenture commitment of Rs.250m which were due on 26th May 2020, amidst the Covid-19 situation

Notwithstanding this, the Financial Statements has been prepared on the going concern basis because the board of directors have assessed the sources of funding available to the Group, and firmly believe that the Group can continue as a going concern for the foreseeable future

In assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Company's affairs including, but not limited to:

- The cash flow forecast of the Company for the period up to next 12 months.
- The Company's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due and payable.
- Revenue and profitability forecasts for the Company for not only the next financial year, but beyond 31st March 2020, and
- The continued support of the ultimate parent company. Through this letter of support dated 17th November 2020 ultimate parent company undertake to provide unconditional financial assistance to the Company to ensure that it can pay its debts as and when they fall due and payable.
- The Company has successfully restructured the capital repayment on debentures amounting to Rs. 250 Million which was due on 26th May 2020 for a period of 5 - 6 years.

As a consequence of the above, the Board of Directors believe that the Group will be able to continue as a going concern into the foreseeable future and, accordingly, the Financial Statements of the Group have been prepared on a going concern basis without making adjustment that may be required to the recorded assets and the classification of liabilities if the Group is unable to continue as a going concern.

(v) Lankem Ceylon PLC

The Group and the Company has incurred a loss of Rs. 1,025.5 million and Rs. 324.3 million respectively for the year ended 31st March 2020. Further, the Group and the Company has reported accumulated losses of Rs. 1,280 Million and Rs. 815.2 million respectively and current liabilities exceed the current assets by Rs. 2,436.3 million and Rs. 2,231.2 million respectively as at 31st March 2020. However, the management envisage that implementation of new strategic plan focusing on core-business of the company and expansion of operations of subsidiaries will help to establish long

term sustained profitability in the business sectors in which the Group and the Company operates. Thus, the Directors are of the view that the Group and the Company is able to continue as going concern in foreseeable future.

(vi) E.B Creasy & Company PLC -Group

The Group recorded a loss Rs.424.5 Million during the year ended 31st March 2020, and as that date, the Current Liabilities of the Group exceeded its Current Assets by Rs.892.0 Million. However, the Group undertook initiatives focusing on the core-business of the loss-making business units and thereby expected to result in significant improvement in the financial results in the ensuing financial year. The significant lossmaking business units recorded profits in the six-month period ended 30th September 2020. Thus, the Directors are of the view that the Group is able to continue as going concern in foreseeable future.

(vii) Consolidated Tea Plantations Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. However, as of the Statement of Financial Position date, the company's current liabilities exceeded its current assets by Rs. 471 million (2019 – 419 million) and also net assets are less than the half of stated capital of the company which is a serious loss of capital as per section 220 of the Companies Act No 7 of 2007. Further, company revenue generation is mainly depending on dividend income from its subsidiaries. However, there were no dividend income received from its subsidiaries for 2020, 2019, 2018 & 2017. The directors are of the opinion that the financial supporting from related parties will mitigate this situation.

(viii) Lankem Tea & Rubber Plantations (Pvt) Ltd

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. However, as of the Statement of Financial Position date, the company's current liabilities exceeded its current assets by Rs. 132 million (2019 – 236 million) and also net assets are less than the half of stated capital of the company which is a serious loss of capital as per section 220 of the Companies Act No 7 of 2007. Further, The Company's main revenue source of management fee is derived from Agarapathana Plantations Ltd and Kotagala Plantations PLC. However, due to unfavorable market and industry conditions faced by the plantation companies, the board of directors of the Company has resolved to suspend the charging of management fee on a temporary basis. Accordingly, there were no revenue generation/ income received for 2020, 2019, 2018, 2017 & 2016. Therefore, Company is mainly depending on the support from borrowings from the financial institutions and related parties.

(ix) Union Commodities (Pvt) Ltd

The Board of Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease trading.

Notes to the Financial Statements contd.

The Group has incurred a loss of Rs.424million (2019: Rs.314million) during the year ended 31st March 2020 as of that date, accumulated losses amounted to Rs.842 million (2019: Rs.426 million). Further, the Group's current liabilities exceeded its current assets by Rs.577 million (2019: Rs.27million) as at the reporting date.

Notwithstanding this, the Financial Statements has been prepared on the going concern basis because the board of directors have assessed the sources of funding available to the Group, and firmly believe that the Group can continue as a going concern for the foreseeable future.

In assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Company's affairs including, but not limited to:

- The cash flow forecast of the Company for the period up to next 05 years
- The Company's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due and payable.
- Revenue and profitability forecasts for the Company for not only the next financial year, but beyond 31st March 2021

38 EVENTS OCCURRING AFTER THE REPORTING DATE

38.1 Company

Private Placement of Shares

On 2nd June, 2020 the Company announced the issue of Nineteen Million Six Hundred and Sixty Three Thousand One Hundred and Ninety Five (19,663,195) Ordinary Shares at a price of Rs.10/- per Share by way of a private placement and an application has been made to the Colombo Stock Exchange in this regard.

38.2 Group

(i) E.B Creasy & Company PLC

The Directors have recommended the payment of a First and Final dividend of Rs.18.00 per share for the year ended at 31st March, 2020 which will be declared at the Annual General Meeting to be held on 30th December 2020. In accordance with the Sri Lanka Accounting Standard 10 – “Event Occurring after the Reporting Date” this proposed First and Final dividend has not been recognised as a liability in the Financial Statements for the year ended 31st March 2020.

(ii) Laxapana Batteries PLC

The Directors have recommended the payment of a First and Final dividend of Rs.1.00 per share for the year ended at 31st March, 2020 which will be declared at the Annual General Meeting to be held on 18th December 2020. In accordance with the Sri Lanka

Accounting Standard 10 – “Event Occurring after the Reporting Date” this proposed First and Final dividend has not been recognised as a liability in the Financial Statements for the year ended 31st March 2020.

(iii) C M Holdings PLC

The Company's wholly owned subsidiary Union Investments (Pvt) Limited has acquired on 24th July 2020 an equity Stake of 23.12% (i.e 2,080,518 Ordinary Shares) in Sigiriya Village Hotels PLC on the trading floor of the Colombo Stock Exchange. The value of the total investment is Rs. 67 Mn.

(iv) Kotagala Plantations PLC

Ceased operations in overseas subsidiaries

The Group has ceased its operation in Consolidated Rubber Plantations PTE Ltd, Cambodian Rubber Plantation Industries PTE Ltd and Lanka Agro Plantations PTE Ltd from 1st April 2019 and the following were concluded by the Board Directors as at 28th September 2020. The receivable balances from third parties to the aforementioned Companies have been provided in full as at 31st March 2020. - No transactions have been taken place and recorded in the books of above Companies during the financial year 2019/20. - There are no unrecorded liabilities pertaining to these Companies other than those stated in the financial statements

Restructure of debenture payments

The Company had faced challenges in meeting the debenture commitment of Rs. 250 Mn which was due on 26th May 2020 on Type C debentures and instead, it has restructured the principal repayment on the Type C debentures, along with the Rs.250 million principal due on its Type D secured redeemable debentures, which will be due on 26th May 2021. The details of restructure on debenture payments are disclosed under note 25.4.2 to the financial statements.

(v) Lankem Ceylon PLC

The Company has disposed on 24th July 2020 an equity stake of 23.12%, in subsidiary company Sigiriya Village Hotels PLC on the trading floor of the Colombo Stock Exchange at a consideration of Rs. 66.57 Mn.

39 DISCLOSURE ON COVID-19 IMPACT

On 11 March 2020 the World Health Organization declared the coronavirus outbreak a pandemic, and the Sri Lankan government declared a state of emergency. Responding to the potentially serious threat the COVID – 19 presents to public health, the Sri Lankan government authorities have taken measures to contain the outbreak, including introducing restrictions on the cross-borders movement of people, entry restrictions on foreign visitors and the 'lock-down' of certain industries, pending further developments. In particular, airlines, suspended international transport of people, schools, universities, restaurants, cinemas, theaters and museums

and sport facilities, retailers excluding food retailers, grocery stores and pharmacies were closed. Some businesses in the country have also instructed employees to remain at home and have curtailed or temporarily suspended business operations.

The wider economic impacts of these events include: - Disruption to business operations and economic activity in the country, with a cascading impact on both upstream and downstream supply chains; - Significant disruption to businesses in certain sectors, both within Sri Lanka and in markets with high dependence on a foreign supply chain as well as export-oriented businesses with high reliance on foreign markets. The affected sectors include trade and transportation, travel and tourism, entertainment, manufacturing, construction, retail, insurance, education and the financial sector; - Significant decrease in demand for non-essential goods and services; - An increase in economic uncertainty, reflected in more volatile asset prices and currency exchange rates.

Plantation Sector

The entities operates in Plantation Sector that has not been significantly affected by the outbreak of COVID – 19. The Plantation sector being declared as an “essential service”, enabling the Companies to carry out its critical operations with minimum interruption during the lockdown period and the same prioritization will be provided to the industry in case of a future lockdown.

With the Government declaring the Plantation Sector an ‘essential service’, the Companies in Plantation Sector continued to operate its estates with a supervision, following many stakeholder meetings, the industry rallied together and established the Country’s first- ever electronic tea auction performed, resulting in the first ever Auction being held on Saturday, 4th April 2020. Although an improvement in tea prices was noted at auctions, the traded quantities were relatively low, primarily also due to crop losses arising from the prolonged drought in the first quarter of the year in tea growing regions, which resulted in a revenue drop. However, the Board of Directors are of the view that the Covid 19 pandemic would not have a significant impact to the business operations of the Sector primarily due to: - The Companies has sufficient financing arrangements both already negotiated and in the process of negotiation enabling to meet the financial commitments in a possible stressed situation. The behavioral pattern of tea and rubber prices will continue at the same trend. - ‘Shareholders of the Companies have provided the assurance that they shall provide necessary financial support and other assistance to the Companies to continue as a going concern in the future

Investment Holding

With regard to the investments, there may not be a significant change in judgement used in the determining the fair value of the investments due to impact of the COVID-19. The impairment of investments were tested as per the accounting standards and necessary provisions were made to the financial statements.

Leisure Sector

The Group operates in the leisure sector that has been significantly affected by the outbreak. Stringent measures taken by the health authorities in the country compelled the sector to temporary close operations at hotels owned. A limited number of employees particularly assigned to mandatory maintenance services were called on to report to work with the plan of resuming the operations no sooner the climate is conducive for the same. As such, hotels of the Group commenced its operations to the domestic travelers in early July 2020. Further, number of entities in the sector owned by the Group has offered their properties to repatriated Sri Lankans under the guidance of the Ministry of Health with effect from September 2020.

Trading Sector

The Group’s retail sector mainly comprises of sale of paint, pesticides, agro-chemicals and consumer goods. Despite disruptions and slow collections from trade debtors faced by the sector, overall performance of the agro-chemicals and pesticides remained at same levels with the agriculture sector being declared as an essential service. However, curfew and lockdown situations imposed by the Government from time to time disrupts operations ranging from sales to supply of raw material.

Deferment of Capital expenditures, cancellation of company events, restructuring of overhead, were several measures taken by the Company to conserve cash during the lock down period and the Company has applied for Covid-19 debt moratoriums introduced by the Central Bank of Sri Lanka for existing term loans. Further, the Company had faced certain challenges in meeting the Debenture commitment of Rs.250m which was due on 26th May 2020, amidst the Covid-19 situation and it was successfully restructured in order to improve the company’s liquidity position.

Notes to the Financial Statements contd.

40 NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	2020			2019		
	Trading Companies	Leisure and Other	Plantation	Trading Companies	Leisure and Other	Plantation
Revenue	33,937,828	2,068,763	5,898,442	37,284,985	2,789,953	7,264,624
Operating Profit / (Loss)	501,376	(116,042)	(1,474,012)	(56,327)	413,526	(487,906)
Finance Cost	(2,235,331)	(183,805)	(756,479)	(2,305,268)	(294,871)	(802,390)
Income Tax	14,001	8,391	(19,406)	373,047	(75,011)	(96,201)
Profit/ Loss After Tax	(1,719,954)	(291,456)	(2,249,897)	(1,988,548)	43,644	(1,386,497)
Total Comprehensive Income	(1,652,467)	(345,700)	(1,225,774)	2,231,251	1,174,960	(1,615,271)
Profit/ (Loss) allocated to NCI	(666,183)	(164,422)	(508,597)	1,301,960	530,807	(596,925)
Non Current Assets	12,768,635	4,784,041	10,102,379	14,354,158	5,176,888	9,743,311
Current Assets	18,034,412	2,208,504	1,489,600	19,603,388	1,875,212	2,254,422
Total Assets	30,802,776	6,992,545	11,591,979	33,957,546	7,052,100	11,997,733
Non Current Liabilities	7,402,542	1,651,163	6,282,278	6,650,624	1,542,946	5,377,754
Current Liabilities	20,616,913	3,049,668	8,750,313	21,336,600	2,519,582	7,709,439
Total Liabilities	27,984,528	4,700,831	15,032,591	27,987,224	4,062,528	13,087,193

Names of Significant Subsidiaries With Material Non Controlling Interest (NCI)

Trading Companies	Principal Place of Business	NCI Effective Holding	
		2020	2019
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.09%	40.10%
Lankem Ceylon PLC	212 A 3/1, Nawala road, Rajagiriya	34.94%	34.94%
Colonial Motors Ceylon Limited	297, Union Place, Colombo 02	34.45%	34.45%
C M Holdings PLC	297, Union Place, Colombo 02	34.45%	34.45%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.27%	69.28%
Pettah Pharmacy (Private) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.27%	69.28%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.09%	40.11%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.09%	40.11%
Candy Delights Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.09%	40.11%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.10%	69.11%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	69.10%	69.11%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	34.94%	34.94%
KIA Motors (Lanka) Limited	No. 297, Union Place, Colombo 02	0.00%	54.12%
Lanka Special Steels Limited	No. 53A, Ward Place, Colombo 07	40.11%	40.11%
Ceylon Tapes (Private) Limited	No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.	34.94%	34.94%
J.F.Packaging Limited	No. 306, Minuwangoda road, Kotugoda.	34.94%	34.94%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	57.44%	57.82%
Marawila Resorts PLC	Thalwilawella, Thoduwawa, Marawila	61.58%	59.69%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	34.94%	34.94%
Galle Fort Hotel (Private) Limited	Galle	34.14%	35.12%
Baruwala Resorts PLC	Moragalla, Beruwala	50.65%	51.03%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	45.48%	46.05%
Waverly Power (Private) Limited	Agarapatana - Nuwara Eliya District.	44.88%	44.88%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	39.05%	39.13%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	58.52%	58.54%
Lankem Development PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	52.68%	52.70%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	16.82%	16.82%

Notes to the Financial Statements contd.

41 OPERATING SEGMENTS

	Trading of Consumer Products				Trading of Industrial Products				Leisure				Plantations				Others				Total	
	2020		2019		2020		2019		2020		2019		2020		2019		2020		2019		2020	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Revenue	24,196,876	26,548,500	9,740,952	10,736,485	1,171,437	1,700,969	5,898,442	7,264,624	1,030,466	1,137,011	42,038,173	47,387,589										
Inter Segments	(5,456,190)	(5,338,539)	(76,547)	(82,115)	(1,568)	(2,617)	(133)	-	(272,942)	(274,962)	(5,807,380)	(5,698,233)										
Revenue from External Customers	18,740,686	21,209,961	9,664,405	10,654,370	1,169,869	1,698,352	5,898,309	7,264,624	757,524	862,049	36,230,793	41,689,356										
Segment Results after Eliminations	591,244	(29,954)	(112,487)	16,747	113,046	441,021	(872,205)	(232,597)	(181,947)	(118,513)	(462,350)	76,703										
Gain from Bargain Purchase	-	-	-	-	-	-	-	-	-	-	-	193										
Finance Expenses	(1,250,784)	(1,269,153)	(984,547)	(1,036,115)	(127,270)	(222,008)	(756,479)	(802,390)	(136,328)	(147,072)	(3,255,408)	(3,476,738)										
Share of Results of Associate	-	-	-	-	-	-	-	-	1,168	(6,889)	1,168	(6,889)										
Share of Results of Joint Venture	7,963	46,659	-	-	-	-	-	-	-	-	-	7,963										
Profit Before Tax	(651,577)	(1,252,447)	(1,097,034)	(1,019,368)	(14,224)	219,013	(1,628,684)	(1,034,987)	(317,107)	(272,282)	(3,708,626)	(3,360,071)										
Taxation	(90,934)	100,921	104,943	272,126	12,345	(56,564)	(19,406)	(96,201)	(4,563)	(24,832)	2,377	195,450										
Profit for the Year	(742,511)	(1,151,526)	(992,100)	(747,242)	(1,879)	162,449	(1,648,090)	(1,131,188)	(321,669)	(297,114)	(3,706,249)	(3,164,621)										
Equity Holders of the Parent	(604,719)	(780,745)	(797,158)	(583,820)	148,150	137,428	(633,318)	(638,613)	(314,268)	(308,051)	(2,201,313)	(2,173,801)										
Non Controlling Interest	(137,792)	(370,781)	(194,941)	(163,423)	(150,029)	25,021	(1,014,772)	(492,575)	(7,402)	10,938	(1,504,936)	(990,820)										
Total	(742,511)	(1,151,526)	(992,100)	(747,242)	(1,879)	162,449	(1,648,090)	(1,131,188)	(321,669)	(297,114)	(3,706,249)	(3,164,621)										
Depreciation and amortisation	384,722	471,249	250,720	227,941	150,667	127,437	706,824	371,677	40,380	53,498	1,533,312	1,251,801										
Property, Plant & Equipments - Additions	556,834	939,061	169,070	250,019	54,127	86,113	1,602,586	793,730	4,209	24,792	2,309,189	2,093,714										
Non-Current Assets																						
Property, Plant & Equipment	6,998,989	9,124,356	3,100,623	3,186,762	4,778,988	4,919,892	6,538,270	7,151,780	367,348	399,719	21,784,218	24,526,759										
Leasehold Properties	-	-	-	-	-	-	849,009	409,436	2	2	849,011	409,438										
Investment Properties	1,238,245	919,387	237,401	92,674	181,551	157,144	-	-	800,822	804,233	2,309,312	1,973,438										
Biological Assets	-	-	-	-	-	-	2,653,128	1,988,592	-	-	2,653,128	1,988,592										
Investment in Associates & Joint Venture	341,765	380,461	-	-	-	-	-	-	179,309	208,411	521,074	588,872										
Other Long-Term Investments	399,050	409,654	18,751	14,165	179	232	221,714	193,504	1,737	1,877	641,431	619,432										
Retirement Benefit Obligations - Plan Assets	30,371	29,133	28,514	27,010	-	-	-	-	-	-	58,885	56,143										
Deferred Tax Assets	436,320	347,234	316,787	89,802	-	299	-	-	32,446	25,571	785,553	462,906										
	9,444,740	11,210,225	3,553,374	3,410,413	4,960,718	5,077,567	10,262,121	8,743,312	1,381,664	1,439,813	29,602,613	29,881,330										
Goodwill	-	-	-	-	-	-	-	-	-	-	797,262	823,791										
Income Tax Recoverable	-	-	-	-	-	-	-	-	-	-	194,448	185,818										

41 OPERATING SEGMENTS (Contd.)

	Trading of Consumer Products		Trading of Industrial Products		Leisure		Plantations		Others		Total	
	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non-Current Liabilities												
Interest-Bearing Borrowings	2,456,662	1,273,134	2,731,436	3,071,592	702,051	616,325	2,777,229	2,372,500	385,500	366,542	9,052,878	7,700,093
Capital Grants	14,000	16,663	428	146	-	-	533,505	537,113	-	-	547,933	553,922
Deferred Tax Liabilities	823,639	1,105,236	76,208	68,341	514,703	575,327	565,744	307,239	154,746	225,366	2,135,040	2,281,509
Retirement Benefit Obligations	853,107	769,399	241,515	203,632	47,392	44,849	2,405,800	2,099,133	25,395	22,216	3,573,209	3,139,229
Rent Received in Advance	9,582	24,640	-	-	-	-	-	-	-	-	9,582	24,640
	4,156,990	3,189,072	3,049,587	3,343,711	1,264,146	1,236,501	6,282,278	5,315,985	565,641	614,124	15,318,642	13,699,393
Current Liabilities												
Income Tax Payables	-	-	-	-	-	-	-	-	-	-	339,740	363,605

Group Financial Summary

As at 31st March,	2020	2019	2018	2017	SLFRS 2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000 Restated	Rs.'000 Restated	Rs.'000 Restated	Rs.'000	Rs.'000	Rs.'000
TRADING RESULTS										
Group Revenue	36,230,793	41,689,356	43,293,386	41,016,474	36,860,104	35,384,600	35,029,794	29,918,015	31,771,237	27,758,034
Profit/(Loss) before Tax	(3,708,626)	(3,360,071)	(155,716)	(916,447)	(518,466)	85,726	53,749	1,596,841	2,757,954	2,564,025
Income Tax Expense	2,377	195,450	(152,561)	(161,816)	(161,751)	(334,213)	(329,384)	(396,877)	(649,892)	(424,969)
Profit/(Loss) for the Period	(3,706,249)	(3,164,621)	(308,277)	(1,078,263)	(680,217)	(248,487)	(275,635)	1,199,964	2,108,062	2,139,056
Other Comprehensive Income	(176,665)	4,884,082	(227,573)	339,965	224,102	58,039	(142,790)	(229,597)	(1,762,361)	-
Attributable to :										
Equity Holders of the Parent	(3,100,616)	511,909	(609,384)	(740,430)	(236,610)	208,795	(94,546)	647,598	-129,352	1,146,897
Non - Controlling Interest	(782,298)	1,207,552	73,534	2,132	(219,505)	(399,243)	(323,879)	322,769	475,052	992,159
	(3,882,914)	1,719,461	(535,850)	(738,298)	(456,115)	(190,448)	(418,425)	970,367	345,701	2,139,056
CAPITAL EMPLOYED										
Stated Capital	730,368	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058
Revenue Reserves	2,188,358	5,181,961	4,779,872	6,539,747	7,358,967	7,717,790	7,477,502	7,477,502	7,196,989	7,348,455
	2,938,784	5,529,019	5,126,930	6,886,805	7,706,025	8,064,848	7,824,560	7,824,560	7,544,047	7,695,513
Non - Controlling Interest	3,019,296	4,220,461	3,159,291	4,003,925	4,246,250	4,443,556	4,993,804	4,993,804	5,411,705	5,563,904
Total Equity	5,958,080	9,749,480	8,286,221	10,890,730	11,952,275	12,508,404	12,818,364	12,818,364	12,955,753	13,259,417
Total Debt	23,528,089	21,652,546	22,893,299	19,675,316	18,135,808	15,064,936	12,477,962	12,477,962	8,932,057	6,794,671
	29,486,170	31,402,026	31,179,520	30,566,046	30,088,084	27,573,340	25,296,326	25,296,326	21,887,810	20,054,088
ASSETS EMPLOYED										
Property, Plant & Equipment	21,784,218	24,526,759	19,330,577	19,440,906	18,989,573	18,522,474	16,039,000	16,039,000	12,816,158	11,368,935
Other Non-Current Assets	9,464,555	7,147,281	5,699,579	4,761,462	4,485,260	4,384,477	3,569,478	3,569,478	3,929,215	5,464,619
Current Assets	15,300,504	16,999,784	19,512,494	17,493,433	17,012,222	16,728,532	15,832,651	15,832,651	12,560,110	10,257,705
Assets Held for Sale	60,000	67,365	60,000	207,956						
Liabilities Net of Debt	(25,332,554)	(25,292,317)	(24,671,381)	(21,143,353)	(19,478,040)	(17,480,580)	(15,287,631)	(15,287,631)	(10,319,085)	(8,064,766)
	21,276,723	23,448,873	19,931,269	20,760,404	21,009,015	22,154,903	20,153,498	20,153,498	18,986,398	19,026,493
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	(1,941,991)	1,684,826	(484,935)	726,188	(1,904,014)	(1,386,736)	1,643,947	(542,829)	2,522,199	239,990
Investing Activities	(7,214)	(1,179,861)	(2,238,075)	(1,887,804)	(1,400,615)	(3,421,836)	(1,345,360)	(3,089,110)	(2,911,007)	(1,216,237)
Financing Activities	1,537,320	(1,392,370)	2,999,320	1,264,414	2,303,916	2,278,260	217,398	1,810,567	553,817	1,744,333
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(11.93)	(12.08)	(2.78)	(4.89)	(1.73)	0.32	(0.83)	4.12	7.03	31.86
Net Asset/(Liability) per Share (Rs.)	13.34	30.72	28.48	38.26	42.81	44.80	43.47	43.47	41.91	123.68
Price Earnings Ratio (Times)	(0.60)	(1.12)	(6.91)	(3.70)	(11.28)	79.83	-30.73	7.04	5.97	13.00
KEY INDICATORS										
Market Value per Share (Rs.)	7.10	13.50	19.20	18.10	19.50	25.20	25.50	29.00	33.90	400.40
Market Capitalisation (Rs.'000)	1,562,000	2,430,000	3,456,000	3,258,000	3,510,000	4,536,000	4,590,000	5,220,000	6,102,000	14,414,400
Current Ratio (Times)	0.61	0.61	0.49	0.51	0.53	0.62	1.04	1.04	1.20	1.25
Interest Cover	(0.14)	0.03	0.94	0.57	0.67	1.06	1.03	2.40	4.56	4.99

Share Information

Distribution of Shareholding

No. of Shares Held	As At 31st March 2020			As At 31st March 2019		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,323	433,725	0.20	1,172	413,799	0.23
1,001 - 10,000	803	3,158,489	1.43	748	3,035,774	1.68
10,001 - 100,000	244	7,326,173	3.32	208	6,177,353	3.44
100,001 - 1,000,000	45	14,276,765	6.48	44	15,002,753	8.33
Over 1,000,000	25	195,141,653	88.57	20	155,370,321	86.32
	2,440	220,336,805	100.00	2,192	180,000,000	100.00

Analysis of Ordinary Shareholders

	As At 31st March 2020			As At 31st March 2019		
	No. of Shareholders	Total Holdings	%	No. of Shareholders	Total Holdings	%
Individuals	2,263	26,953,289	12.23	2,038	24,880,461	13.82
Institutions	177	193,383,516	87.77	154	155,119,539	86.18
	2,440	220,336,805	100.00	2,192	180,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2020 was 34.50% (2019 - 37.95%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2020 were 2,420 (2019 - 2,175)

FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.13.1 on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalisation as at 31st March 2020 was Rs.570.12 million.

MARKET VALUE OF SHARES

	2019/2020 Rs.	2018/2019 Rs.
Highest	18.90	20.90
Lowest	7.10	12.70
Year end	7.50	13.50

NET ASSETS PER SHARE

	Rs.
31.03.2020	8.04
31.03.2019	7.85

Share Information

TWENTY MAJOR SHAREHOLDERS

Position	Full Name of Shareholder	31st March 2020		31st March 2019	
		No. of Shares	Share Percentage	No. of Shares	Share Percentage
1	Property and Investment Holdings (Pvt) Ltd	44,299,690	20.11%	24,799,690	13.78%
2	Colombo Investment Trust PLC	30,112,969	13.67%	25,112,969	13.95%
3	Colombo Fort Investments PLC	26,668,586	12.10%	21,668,586	12.04%
4	Capital Investments Limited	19,484,375	8.84%	19,484,375	10.82%
5	Corporate Holdings (Pvt) Ltd A/C No.02	9,099,080	4.13%	9,099,080	5.06%
6	Sampath Bank PLC/Mr.Arunasalam Sithampalam	8,126,040	3.69%	6,094,530	3.39%
7	Financial Trust Limited	7,311,280	3.32%	7,287,000	4.05%
8	Sampath Bank PLC/ Dr.T.Senthilvel	6,922,023	3.14%	6,922,023	3.85%
9	Seylan Bank PLC/Arunasalam Sithampalam	5,700,000	2.59%	5,000,000	2.78%
10	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	5,361,804	2.43%	-	-
11	Union Investments (Private) Ltd	4,300,000	1.95%	4,089,680	2.27%
12	Seylan Bank PLC/W.D.N.H.Perera	4,088,310	1.86%	177,319	0.10%
13	Commercial Bank of Ceylon PLC/Capital Investments Ltd	3,600,000	1.63%	3,600,000	2.00%
14	Commercial Bank of Ceylon PLC/Property & Investment Holdings (Pvt) Ltd	3,600,000	1.63%	3,600,000	2.00%
15	Corporate Holdings (Private) Limited A/C No.01	1,978,265	0.90%	1,953,265	1.09%
16	Jacey Trust Services (Private) Limited-Account No 01	1,858,500	0.84%	1,858,500	1.03%
17	Mr. Radhakrishnan Maheswaran	1,800,000	0.82%	1,800,000	1.00%
18	Miss. Andal Radhakrishnan	1,800,000	0.82%	1,800,000	1.00%
19	Miss. Meenambigai Priyadarshini Radhakrishnan	1,800,000	0.82%	1,800,000	1.00%
20	Associated Electrical Corporation Ltd	1,543,866	0.70%	1,157,900	0.64%
	Total	189,454,788	85.99%	147,304,917	81.85%

Notice of Meeting

Notice is hereby given that the One Hundred and Twenty First Annual General Meeting of The Colombo Fort Land & Building PLC will be held on Tuesday, 19th January 2021 at 10.00 a.m and conducted as a Virtual Meeting from 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, or 98, Sri Sangaraja Mawatha, Colombo 10, and the business to be brought before the meeting will be:

1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2020 with the Report of the Auditors thereon.
2. To re-elect Mr. S.D.R. Arudpragasam who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
3. To re-elect Mr. S. Rajaratnam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 04).
5. To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 year of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 05).
6. To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 06).
7. To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 07).
8. To authorise the Directors to determine contributions to Charities.
9. To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.
10. Special Business:
To consider and if thought fit to pass the following Special Resolution to amend the Articles of Association of the Company in the manner following:

Special Resolution

Resolved –

- That the following words and meaning be included in the table under Article 2 of the Articles of Association immediately following the words “The Act” and the meaning set opposite:

Electronic Facility/ies	A system or method providing an electronic means of participating at a meeting including audio, or audio and visual communication by which all shareholders and or participants participating can simultaneously hear each other throughout the meeting.
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- That the meaning set opposite the words “In writing” in the table under Article 2 of the Articles of Association be amended to read as follows:

In writing	Written or to the extent permitted by law in any other form
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- That the existing Article 47 be renumbered as Article 47(1) and the following new Articles numbered 47(2) and 47(3) be included immediately after the renumbered Article 47(1):

47 (2) A General Meeting may be held-

- (i) by means of audio, or audio and visual communication by which all Members participating and constituting a quorum, can simultaneously hear each other throughout the meeting; or
- (ii) by the quorum being present and assembled together at the place, date and time appointed for the meeting; or
- (iii) by simultaneous attendance and participation partly by means of an Electronic Facility/ies and by being assembled together at a place, where all Members participating and constituting a quorum, can simultaneously hear each other throughout the meeting.

Notice of Meeting

- (3) In the event all persons participating in the General Meeting cannot be accommodated in the meeting room where the Chairman will be, the Directors can arrange for any people who they consider cannot be seated in such main meeting room, to attend in an overflow room or rooms. Any overflow room must have a live video and two way sound link with the main room for the General Meeting, where the Chairman will be. The video and sound link must enable those in all the rooms to see and hear the proceedings of the other rooms. The notice of the General Meeting does not have to give details of any arrangements under this Article. However at the discretion of the Board the notice and or a circular accompanying the notice shall incorporate details on maximum number of Members to be accommodated in the main room. The Directors can decide on how to divide people between the main room and any overflow room. If any overflow room is used, the General Meeting will be treated as being held in the main room.
- That the following new Article 49(4) be included immediately after the existing Article 49 (3):
- 49 (4) In the case of any General Meeting being conducted partly or completely by an Electronic Facility/ies the notice and or a circular accompanying the notice shall provide details on the method of access and participation including how to speak and vote at the meeting.
- That the existing Article 53 be deleted and the following be substituted therefor:
- 53 (1) No business shall be transacted at any General Meeting unless a quorum is present when the meeting proceeds to business. The quorum for all purposes shall be five (05) each being a Member or a proxy for a Member or attorney or (in the case of a corporation) by an authorized representative.
- (2) In determining attendance at a General Meeting, it is immaterial whether any two or more members attending it are in the same place as each other.
- (3) Where a General meeting is held partly or completely by Electronic Facility/ies, the Board and the Chairman may stipulate any requirement that is reasonably necessary to ensure the identification of such participants and the security of the electronic communication.
- That the existing Article 57 be renumbered as Article 57(1):
 - That of the renumbered Article 57(1) Sub Article 57(1) (ii) be deleted and the following be substituted therefor:
- 57 (1) (ii) Not less than five persons present in person or by attorney or representative or by proxy and entitled to vote; or
- That the following new Article numbered 57(2) be included immediately after the renumbered Article 57(1):
- 57 (2) Notwithstanding the aforesaid provisions contained in Article 57(1) at any General Meeting held partly or completely by means of an Electronic Facility/ies, a resolution put to the vote shall be decided either by members signifying their assent or dissent via electronic means or in the event of a poll, such poll votes may be cast by such electronic means as the Board deems appropriate.
- That existing Article 69 be deleted and the following be substituted therefor:
69. A non-resident shareholder may appoint and revoke proxies by cable or facsimile or by any other electronic means provided such appointment or revocation by cable, facsimile or any other electronic means under the shareholder's signature is received not less than Forty Eight (48) hours before the commencement of the Meeting at which it is to be used.
- That the existing Article 94 be deleted and the following be substituted therefor:
94. The Board may concurrently participate either in person or by telephone, radio, conference television or similar equivalent communication or any other form of audio or audiovisual instantaneous communication by which all persons participating in the conference are able to hear and be heard by all other participants for the dispatch of business and adjourn and otherwise regulate the conference as they think fit or by a combination of such methods. All provisions relating to the convening of a meeting of the Board, including the giving of Notice thereof and Agenda, the quorum for such conference meeting and the votes to be cast shall be the same as is applicable under these Presents in relation to such Meetings.

- That the existing Article 95 be deleted and the following be substituted therefor:

95. A resolution passed by such conference meeting may be constituted by an instrument in hard copy or electronic form (duly executed) and shall notwithstanding that the Directors are not present together at one place at the time of the conference, be deemed to have been passed at a conference of the Directors held on the day and at the time at which the conference was held and shall be deemed to have been held at the registered office of the Company unless otherwise agreed, and all Directors and other persons including the Secretary participating at that conference shall be deemed for all purposes to be present at the conference.

- That the existing Article 102 be deleted and the following be substituted therefor:

102. A resolution in writing signed by all the Directors for the time being in Sri Lanka (provided such number of Directors in Sri Lanka shall constitute a valid quorum of Directors as hereinbefore set out) shall be as effective as a resolution passed at a meeting of the Directors duly convened and held, and may consist of several documents in the like form, each signed by one or more of the Directors. Provided always that a resolution faxed, emailed or transmitted by any other electronic means, under their respective signature/s shall be deemed to have been signed by them for all purposes.

- That the existing Article 118 be deleted and the following be substituted therefor:

118. The Directors shall cause minutes to be maintained in either books or electronic means as permitted by law for the purpose:-
 (a) of all the appointments of officers made by the Directors;
 (b) of the names of the Directors present at each meeting of the Directors and of any committee of the Directors;
 (c) of all resolutions and proceedings at all Meetings of the Company, and of the Directors, and of committees of Directors;

and every Director present at any meeting of Directors or committee of Directors shall sign his name in a attendance register to be kept for that purpose.

- That the existing Article 140 be deleted and the following be substituted therefor:

140. A copy of every balance sheet and profit and loss account which is to be laid before a General Meeting of the Company (including every document required by law to be annexed thereto) together with a copy of every report of the Auditors relating thereto and of the Directors' report, shall not less than fifteen working days before the date of the meeting be sent by post or any other instantaneous method of communication, or made available on the Company's website and/or on the website of the Colombo Stock Exchange to every Member of, and every holder of debentures of the Company and to every other person who is entitled to receive notices from the Company under the provisions of the Act or of these presents (provided that this Article shall not require a copy of these documents to be sent to any person of whose address in Sri Lanka the Company is not aware or to more than one of the joint-holders, but any Member to whom a copy of these documents has not been sent, shall be entitled to receive a copy free of charge on application at the office).

Notwithstanding anything to the contrary and in accordance with section 167 of the Act, the Company may, in the first instance, send every Member by post or any other instantaneous method of communication, or made available on the Company's website and/or on the website of the Colombo Stock Exchange the Annual Report together with the Financial Statements in the summarised form as may be prescribed, in consultation with the Institute of Chartered Accountants of Sri Lanka. The Company shall inform each Member that he is entitled to receive, if he so requires, the full Financial Statement or a printed copy of the Annual Report within a stipulated period of time.

- That the existing Article 147 be renumbered as Article 147(1) and the following new Article numbered 147(2) be included immediately after the renumbered Article 147(1):

147 (2) In the event of a postal disruption, the Company may issue communication/notices through the Company's website and/ or on the website of the Colombo Stock Exchange and/or by any other electronic means.

- That the existing Article 150 be deleted and the following be substituted therefor:

Notice of Meeting

150. If a Member has no registered address in Sri Lanka, and has not supplied to the Company an address outside Sri Lanka for the giving of notices to him, a notice posted up in the registered office of the Company and/or on the Company's website and/or the Colombo Stock Exchange website shall be deemed to be duly given to him at the expiration of 24 hours from the time when it is so posted up."

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
17th December, 2020

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.
2. Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to represent them and vote on their behalf. Members are advised to complete the Form of Proxy and their voting preferences on the specified resolutions to be taken up at the meeting and submit the same to the Company in accordance with the instructions given on the reverse of the Form of Proxy.
3. Please refer the "Circular to Shareholders" dated 17th December 2020 for further instructions relating to the Annual General Meeting and for joining the Meeting virtually.
4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution:
"Resolved –
That Mr. A.M. de S. Jayaratne who is eighty years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne."
5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution:
"Resolved –
That Mr. A. Rajaratnam who is seventy nine years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam."
6. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution:
"Resolved –
That Mr. R. Seevaratnam who is seventy seven years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam."
7. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr.C.P.R. Perera as an Ordinary Resolution:
"Resolved –
That Mr. C.P.R. Perera who is seventy six years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera."
8. In the event the Company is required to take any further action in relation to the meeting due to the COVID-19 Pandemic, and / or any communications, guidelines, directives or orders issued by the Government of Sri Lanka, Notice of such action shall be given by way of an announcement to the Colombo Stock Exchange.

Notes

Notes

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|---------------------------------------|----------------------------|
| 1. Alagarajah Rajaratnam | of Colombo or failing him, |
| 2. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him, |
| 3. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him, |
| 4. Ranjeevan Seevaratnam | of Colombo or failing him, |
| 5. Anushman Rajaratnam | of Colombo or failing him |
| 6. Chrisantha Priyange Richard Perera | of Colombo or failing him, |
| 7. Parakrama Maithri Asoka Sirimane | of Colombo or failing him, |
| 8. Sanjeev Rajaratnam | of Colombo, |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Twenty First Annual General Meeting of the Company to be held on Tuesday, 19th January 2021 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2020 with the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. S.D.R. Arudpragasam, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
3. To re-elect Mr. S. Rajaratnam, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
5. To reappoint Mr. A. Rajaratnam as a Director. As Mr. A. Rajaratnam is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
6. To reappoint Mr. R. Seevaratnam as a Director. As Mr. R. Seevaratnam is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
7. To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
8. To authorize the Directors to determine contributions to charities.	☐	☐
9. To reappoint Messrs KPMG, Chartered Accountants, as Auditors and to authorize the Directors to determine their remuneration.	☐	☐
10. Special Business - To amend the Articles of Association by way of a Special Resolution as set out in the Notice of Meeting	☐	☐

As witness my/our hand(s) this day of, 2020/2021.

.....
 Signature of Shareholder

Note:

- A proxy need not be a member of the Company.
- Please indicate with an X in the space provided how your proxy is to vote. If there is in the view of the proxy holder doubt (by reason of the way in which the instructions contained in the proxy have been completed) as to the way in which the Proxy holder should vote, the Proxy holder shall vote as he thinks fit.
- Instructions as to completion appear on the reverse hereof;

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

Board of Directors

A. Rajaratnam - Chairman

FCA

(Alternate - Anushman Rajaratnam)

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Anushman Rajaratnam - Group Managing Director

B.Sc.(Hons.), CPA, MBA

A.M. de S. Jayaratne

B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

R. Seevaratnam

B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

C.P.R. Perera

P.M.A. Sirimane - Group Finance Director

FCA, MBA

S. Rajaratnam

B.Sc., CA

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

Company No.

PQ172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG, Chartered Accountants

Legal Advisers

Julius & Creasy
Attorneys-at-Law

Tax Advisors

Messrs. KPMG, Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

Concept & Designed by



